Chapter 20. Proxy Contests and Contested Meetings

I. Introduction

20:1. Generally

The business of shareholders' meetings usually proceeds without incident. The outcome on motions is a foregone conclusion, largely as a result of proxies being held by management. Occasionally, however, shareholders or other interested persons may seek to challenge management or meeting proceedings. The method commonly used by dissidents[1] is the proxy contest, through which such persons seek, in competition with management, to solicit support for their program from shareholders' proxies. Issues vary widely and may include changes in board composition, challenges to actions proposed by management or support of proposals made by shareholders or other interested persons.

After a period of relative efflorescence from the 1940s through to the late 1960s,[2] proxy contests suffered a decline in the face of a growing prevalence of hostile takeover bids in Canada and the U.S.. However, p~~P~~roxy contests have enjoyed ~~somewhat of~~ a resurgence recently. The number of contests between 2008 and 2012 was nearly double the contests between 2003 and 2007 (101 to 55).[3] Furthermore, in Canada, recent years have yielded record dissident numbers, with~~There were~~ 69 contests initiated in 2023 and 76 in 2024.~~47 proxy contests initiated in Canada in 2021.~~[3.30] ~~In 2022 there were 35 Canadian proxy contests, the lowest number since 2017.~~[3.50] This increase may result from countermeasures taken against takeover bids and a rise in shareholder activism occasioned, in part, by institutional investors' willingness to challenge management over corporate governance issues, if not over control itself. Rather than being perceived as an alternative, proxy contests, particularly in the U.S., are increasingly being used in tandem with takeover bids to dismantle anti-takeover defences or to obtain shareholder approval for offer-related transactions..[4] Proxy contests are also increasingly being used in the

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The term, “dissident”, is used in this chapter to refer to persons active in opposition to management; see the definition~~s~~ in *OBCA Reg.* s. 32.~~1 and *CBCA Reg.* s. 37.~~

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See, for example, F.D. Emerson and F.C. Latcham, “Proxy Contests: A Study in Shareholder Sovereignty” (1953), 41 *Cal. L. Rev.* 393.

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2013 Canadian Proxy Contest Study, Fasken Martineau.

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~~See *Lexology* August 19, 2022. Blake, Cassels and Gaydon.~~

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Kingsdale Advisors 20~~22 Proxy Session.~~24 Proxy Season Review

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U.S. in connection with shareholder proposals unrelated to specific transactions as part of an attempt to effect changes in corporate behaviour.

While historical success rates have been low, in recent years there has been a significant increase with 504 percent of Canadian proxy contests ~~between 2008 adn 2012~~in 2019 ~~in Canada~~ resulting in ~~particular~~ partial or full success for the dissident group.[5]

II. Dissident's Position[1]

A. Preliminary Preparations and Considerations

20:2. Generally

Persons proposing to launch a proxy contest will need to formulate clear strategic and tactical objectives and to consider dispassionately what they hope to achieve. They must be prepared to take a sober, detailed look at the chances for success as well as at the costs attendant upon even a successful contest. The initial steps in any shareholder initiative will typically include an approach to management with a proposal to effect changes in governance, operations, structure or management either alone or together with a threat to elevate matters to a public challenge where no response is forthcoming.

The principles and laws governing contested meetings are no different than those governing other meetings. While a self-evident proposition, a proxy contest requires a meeting, and the dissident will have to consider whether to wait for the regular annual meeting to requisition a meeting, or whether to seek a court-ordered meeting (see Chapters 13 and 14).

The dissident will have to comply with all applicable laws governing the solicitation of proxies, including the preparation of a dissident's circular. The dissident may wish to consider inclusion in the management circular of a shareholder proposal concerning his or her challenge. As discussed below, the dissident will need to provide materials to convince the shareholders entitled to vote at the meeting. The outcome of a proxy contest depends, simply and crucially, on the ability of the dissident to communicate with the shareholders and to persuade them of his or her position to the extent that they will cast their votes in the dissident's favour.

An IRRC study, cited in A.R. Brownstein, "Developments in Takeover Defense and Their Impact on Proxy Contests" in Eppler and Gilroy, at 670, noted that the majority of proxy contests that occurred at 100 corporations between 1981 and 1985 were waged by dissidents seeking shareholder approval of transactions against management's wishes. These contests were often coupled with bids where the bidder sought to either elect nominees to the board in order to further the bid or pass a precatory resolution approving an ongoing tender offer, proposed transaction, sale or restructuring. See R.H. Miller, "Proxy Contests Will Re-Enter the Spotlight" June 4, 1990, *N.Y. Law J.*, at 5 and 7.

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201~~3~~9 Canadian Proxy Contest Study, Fasken Martineau.

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See J.J. Gavin, "Proxy Contests: Advance Planning in Corporate Governance and Control Situations" in Eppler and Gilroy, at 585 et seq.

B. Selection of a Target Corporation[1]

20:3. Generally

There may be a number of reasons for selecting a particular corporation as the target of a proxy contest, including an existing financial stake, vulnerability, past history and familiarity. A dissident may be an existing shareholder seeking to analyze the chances of a successful challenge, or an outsider wishing to identify a candidate for an advantageous transaction. At the outset, several factors should be considered:

(1) the size of shareholdings of the incumbent management;[1]

(2) the size of shareholdings of any controlling or other significant shareholders, whether these shareholders are supportive or critical of existing management, and whether they are long-term investors or short-term traders;

(3) the proportion of stock in the hands of non-management persons or groups, such as institutional investors, who might be approached for support;

(4) the existence of other significant stakeholder constituencies, such as banks, other creditors and unions, which may be able to influence management or the business or financial state of the corporation;

(5) current shareholder relations;

(6) any previous history of shareholder discontent or proxy contests;

(7) any existing disharmony within or between the incumbent management and board;

(8) the liquidation or book value versus the market value of the corporation;

(9) the value and character of the corporation's assets and business;

(10) the financial performance, earnings and dividends of the corporation, both absolutely and in comparison with similar companies in its industry or sector;

(11) the existence of any management-related controversies, such as excessive compensation or perquisites, golden parachutes, stock options, benefit packages, self-dealing or legal proceedings; and

(12) the existence of anti-takeover or anti-contest provisions in the articles or by-laws.

A preliminary determination, based on the above factors among others, will need to be made as to the suitability of a particular corporation as the target of a proxy contest and as to whether other strategies might be more appropriate. Such determination may be influenced by whether or not an outright change in control over management is sought.

C. Takeover Bids Versus Proxy Contests

20:4. Generally

Although takeover bids, particularly of the unsolicited and highly-leveraged variety, have

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P.W. Richter, Proxy Contests Handbook (New York: Clark Boardman Ltd., 1990) (“Richter”), at 2-12 et seq.

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The lower the better from the viewpoint of securing a voting advantage and raising as issues management's disinterest and lack of a stake in the success of the corporation.

declined in incidence since the mid-to late 1980s,[1] they remain the dominant tactic for achieving hostile changes in control. Proxy contests, however, have, particularly in the United States, come to be used to assist in bid situations -- such as where a change in board composition is sought to approve transactions like mergers or dispositions -- to avoid anti-takeover legislation, to redeem or terminate a shareholder rights plan (poison pill), to eliminate anti-takeover charter provisions or to assist in "bust-up" transactions, or where, as in the U.S., shareholder approval is required under state anti-takeover legislation. Proxy contests generally do not trigger the kind of bid defences which have increasingly come to hamper takeover bids in isolation. Such defensive measures include poison pills[2] and, in the U.S., state anti-takeover legislation in the form of

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See the discussion below with respect to takeover bid defences. Additionally, and affecting in particular the size and incidence of bids in the U.S., there has been a decline in the availability of high-yield debt financing and reforms removing certain U.S. tax advantages of leveraged tender offers. See The Wall Street Journal (7 March 1990) C1-C2.

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A number of U.S. cases have concluded as to the legality of poison pills. Moran v. Household Intern. Inc., 500 A.2d 1346 (Del. Sup. 1985); Dynamics Co. of America v. C.T.S. Co., 805 F.2d 705 (7th Cir. 1986); Revlon Inc. v. MacAndrews & Forbes Holdings Inc., 506 A.2d 173, 54 U.S.L.W. 2483, 66 A.L.R. 4th 157 (Del. Sup. 1985). The decision not to redeem a rights plan is accorded the protection of the business judgment rule under Delaware law: Carmody v. Toll Bros., Inc., Civ. A. No. 15983, slip op. at 11 (Del. Ch. August 4, 1998); Unitrin, Inc. v. American Gen. Corp., 651 A.2d 1361, 1390 (Del. 1995); Moore Corp. v. Wallace Computer Serv~~w~~s., Inc., 907 F.Supp. 1545, 1564 (D. Del. 1995); BNS Inc. v. Koppers Co., 683 F.Supp. 458, 474-76 (D. Del. 1988).
In Carmody v. Toll Bros, Inc., Civ. A. No. 15983, July 24, 1998, revised July 27, 28 and August 4, 1998 (discussed at (1998), 30 S.R.L.R. 1157), the court considered (and effectively invalidated) on both statutory and fiduciary duty grounds dead hand pills which include a continuing director provision that provides for redemption of a rights plan only by directors in office at the dine the pill was instituted. The provision is intended to protect a target company from the possibility of a proxy contest to elect a new board of directors to redeem a pill. The court upheld as sustainable claims that the clause purposefully disenfranchises shareholders without compelling justification by precluding a bidder from waging a proxy contest by coercing shareholders supportive of the offer to vote for incumbent board members and is a disproportionate measure making a proxy contest realistically unattainable. Limited duration dead hand provisions were left open. Previously in Invacare Corp. v. Healthdyne Technologies Inc., 968 F.Supp. 1578 (N.D.Ga., 1997) a Georgia court had upheld such a provision largely because of the latitude accorded directors under that state's corporations statute; while in Bank of New York v. Irving Bank Corp. et al, 528 N.Y.S. 2d 482 (1988), a New York court had concluded that such a pill provision unlawfully restricted management powers of the board.
In Mentor Graphics Corp. v. Quickturn Design Systems Inc., Del Ch. CA 16584, C.A.No. 16588, December 2, 1998, the "no-hand" delayed redemption provision of Quickturn's poison pill was invalidated. Under such provision a newly elected board could not redeem the rights plan for six months after assuming office if its purpose or effect could be to facilitate a transaction with an interested person, i.e., the person proposing, nominating or financially supporting the election of

control share statutes,[3] merger moratorium legislation, notably, but not exclusively, in Delaware

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new directors. The directors were found to have violated their fiduciary duties under *Unocal* and *Unitrin.*

As to poison pills in Canada, the first was introduced in 1988 by Inco, see the cases of 347883 Alberta Ltd. v. Producers Pipelines Inc., [1991], 4 W.W.R. 577, 80 D.L.R. (4th) 359 (Sask. C.A.), and Re Canadian Jorex Ltd. and Mannville Oil & Gas Ltd. (1992), 15 O.S.C. Bulletin 257, 4 B.L.R. (2d) 1 (O.S.C.); R. Conner, "The Poison Pill Phenomenon" (1990), 3 *Can. Corp. L.R.* C107; J.G. MacIntosh, "The Poison Pill; A Noxious Nostrum for Canadian Shareholders" (1989), 15 *Can. Bus. L.J.* 276; G. Coleman, "Poison Pills in Canada" (1988), 15 *Can. Bus. L.J.* 1; P. Dey and R. Yalden, "Keeping the Playing Field Level: Poison Pills and Directors' Fiduciary Duties in Canadian Take-Over Law" (1990), 17 *Can. Bus. L.J.* 252: J.G. MacIntosh, "Poison Pills in Canada: A Reply to Dey and Yalden" (1991), 17 *Can. Bus. L.J.* 323; S. Wishart, "Are Poison Pills Illegal?"; (1998) 30 Can. Bus. L.J.105. D. Stevens, "The Regulation of Takeovers and the Idea of the Corporation" in Meredith Lectures 1994/1995: Corporations at the Crossroads (Montreal: McGill University, Faculty of Law, 1995); R. Yalden, "Controlling the Use and Abuse of Poison Pills in Canada: 347883 Alberta Ltd. v. Producers Pipelines Inc." (1992), 37 McGill L.J. 887; J.W. Forsyth, "Poison Pills: Developing a Canadian Regulatory and Judicial Response" (1991) 14 Dalhousie L.J. 158; J.P. Bernier, "Shareholders' Rights Plans -- The Poison Pill in the U.S. and Canada: Background and Legal Considerations" (1990), 21 R.D.U.S. 123.

See also the discussion in §20:44. ~~Recently the~~The first instance was seen in Canada of a defeat by institutional shareholders of a management proposal to put a poison pill in place in the case of *John Labatt Ltd.*

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Upheld by the U.S. Supreme Court in CTS Corp. v. Dynamics Corp. of America (1987), 107 S. Ct. 1637 (U.S. Sup. Ct.), and by T. Altman and B. Wexler, "Using The Proxy Machinery in Takeover Situations: A Tactical Overview" in Eppler and Gilroy, at 199 et seq. Control-share statutes provide for a shareholder vote when an acquirer obtains beneficial ownership of a threshold percentage of shares. The acquirer is barred from voting its shares unless a disinterested shareholder majority affirms its voting rights; a contest is therefore required before its stake becomes so large that the statute sterilizes it. 2013 Canadian Proxy Contest Study, Fasken Martineau at 554-55, notes that control-share statutes give rise to certain threshold issues regarding the use of proxies by acquirers, such as whether holding a revocable proxy constitutes beneficial ownership. In Committee for New Management of Guaranty Bancshares Corp. v. Dimeling (1993), Fed. Sec. L. Rep. §97,448 No. 1535 (E.D. Pa.) a U.S. federal court determined that a judge of elections had correctly determined under the Pennsylvania *Control Shares Act* that all proxies held by a shareholder committee were sterilized. It was held that the statute prohibited revocable proxies granting discretionary authority even where the proxy contest was not accomplished by a take-over bid.

and New York,[4] and a variety of omnibus-type legislation.[5]

Poison pills typically provide for the redemption of rights issued there-under at the instance of the board. Other defences, intended to enhance the board's ability to negotiate on the shareholders' behalf, are generally subject to board amendment or disposition. Board seats may give access to information and resources for furthering a transaction and, indeed, for reimbursing the costs of the contest. Of course, victory may create potential director and insider liability (and, in the U.S., section 16(b) exposure).

The likelihood of a proxy contest being launched concurrently with a bid for a Canadian corporation having a pill in place may be somewhat reduced by virtue of the terms of such pills and the manner in which pills are instituted in Canada. Canadian corporations have generally been required by stock exchanges (such as the TSE) to obtain shareholder approval of pills. In addition, a significant proportion of Canadian poison pills include a permitted bid mechanism which provides that a bid complying with certain criteria will be referred to the corporation's shareholders for approval at a special meeting called to consider the bid.[6] Proxy contests have occurred in Canada at the initial stage of putting a pill in place.[7] Once a pill is in place, a contest is most likely to occur when a permitted bid has been made and the target's management solicits proxies in opposition to the bid. Alternatively, of course, where a bid does not qualify as a permitted bid, the offeror may seek to redeem the poison pill through a proxy contest.

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At least 42 states have implemented such legislation (see (1990), 22 S.R.L.R. 1216). These statutes prohibit a person who acquires more than a threshold amount of shares from causing the target to enter into a merger or similar business combination for three years (in the case of Delaware) or five years (in the case of New York) thereafter. Board approval of the acquisition provides an exception, and therefore control of the board must be sought.

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The most notorious of such ~~recent~~ legislative initiatives was the Pennsylvania anti-takeover statute adopted in April 1990 within the context of the Belzberg/Armstrong proxy contest (see (1990), 22 S.R.L.R. 514). See Armstrong World Industries Inc. v. Adams, [1992] CCH Fed. Sec. L. Rep. §96,589 (3d Cir., C.A.) where shareholders were held not to have standing to challenge the law in the absence of an actual tender offer.

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There are no corporate or securities law provisions as such requiring that shareholder approval by obtained by a *CBCA* or *OBCA* corporation to implement a poison pill rights plan. However, a securities commission could oppose implementation of such a plan in certain circumstances. See ~~National Policy Statement No. 38, "Take-Over Bids--Defensive Tactics"~~National Instrument 62-104 "Take-Over Bids and Issuer Bids" and NP 62-202 "Defensive Tactics". Shareholder approval appears to satisfy securities ~~commisions~~commissions' concerns. A plan may be implemented pending shareholder approval. See, generally, . Coleman, "Poison Pills in Canada" (1989), 15 *Can. Bus. L.J.* 1, at 11~~G. Coleman, "Poison Pills in Canada" (1989), 15 *Can. Bus. L.J.* 1, at 11~~.

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Notably, in the cases of Inco Ltd. and Pancontinental Oil Ltd.

Where outright control of a corporation is sought, a takeover bid will generally be a surer method than a proxy contest. A proxy contest is usually an attractive option only when market purchases or a bid are not available. A potential insurgent must assess the incremental benefits in the value of its investment against the costs of pursuing a proxy contest strategy.

A proxy contest for changes in board composition is generally similar to an electoral campaign. As a means of effecting changes in management or corporate policy, proxy contests have several potential pitfalls when compared to bids, particularly those for cash. Unlike takeover bids, proxy contests do not offer immediate financial gains to shareholders.[8] Arbitrageurs and speculative and other short-term buyers will generally prefer a bid. They, as well as other shareholders, may well be suspicious of the ability to achieve improved management or stock performance through a change in control. Issues raised by dissidents may be of insufficient interest to attract the support of shareholders who are normally passive or inclined to support management. A proxy contest will consume management's attention and may well have an adverse effect on the target's performance and stock price. An offer may be relatively limited in duration, and this will prevent a build-up of management defensive mechanisms. Proxy contests tend to be more drawn out and, as a result, provide management with a greater opportunity to address matters at issue. While control of the takeover bid is in the hands of the bidder, that of the proxy contest, the meeting and the corporation throughout the process resides with management, which may pursue a number of reactive strategies largely at the corporation's expense.

The relative expense of a proxy contest as opposed to a tender offer depends on the way in which it is viewed. In a proxy contest, control may be achieved at a lower cost in terms of absolute outlay, but much of the expense of a bid results in an investment. In the event of failure, and particularly in the case of a competing bid, part if not all of the investment may be recouped by a sale. Because proxy contests may not have a similarly positive effect on the stock price, the advantageous sale of an accumulated block may be unavailable.

In the wake of *Paramount Communications Inc. v. Time Inc.*,[9] companies may be more likely to simply reject bids. As discussed above, however, a proxy contest may be a useful ancillary weapon in dismantling takeover-bid defences.

Proxy contests, however, may be fought for other reasons than those raised in takeover bids. As noted above, a proxy contest may be carried out at a lower absolute cost than a bid and, especially where the cash bid is the alternative, will not saddle the corporation with as much debt. There is no change in ownership but a change in control. This may be desirable where there are regulatory ownership limits. When a bargain purchase is unavailable and the party does not wish either total or majority ownership, there may be reasons for salvaging or protecting an existing minority stake where there is a disagreement with management, for instance, as to how to achieve a turnaround. A smaller investment in this context may still enhance value. Board

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Shareholders may more readily deliver their shares at a premium over market price than their votes for no consideration.

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Paramount Communications Inc. v. Time Inc., [1989] CCH Fed. Sec. L. Rep. §94, 514, 47 B.L.R. 252 (Del. Ch.); affd (1989), 571 A. 2d 1140 (Del. Sup. Ct.).

representation, rather than outright control or input into management, may also be desired.

Poison Pills and Shareholder Activism

2020 saw the adoption in the U.S. of approximately three times as many shareholder rights plans ("poison pills") as in recent prior years, apparently in response to the virtual collapse in public company equity prices upon the occasion of the COVID-19 pandemic which rendered companies more vulnerable both to opportunistic acquisition but also shareholder activist strategies. Companies could choose either to implement the plans outright or to carry out the work to prepare them but hold them in abeyance for later implementation (i.e. leave them "on the shelf"). [Morrison & Foerster "2020 Poison Pill Recap and Current Trends" February 24, 2021.] Adoption tended to be more concentrated in the case of smaller cap issuers (with market capitalizations under US$2 billion).

Traditionally in the US the triggering percentage for poison pills has been set at 20% or 15% (the latter corresponding to the ownership percentage of an "interested stockholder" under Delaware's anti-takeover statute, Section 203 of the Delaware General Corporation Law). Companies have, however, more recently taken to setting the trigger at 10%, especially to deal with an activist investor threat. Activists will customarily acquire a smaller stake and then utilize it either alone or in league with other investors to pursue a change at the corporation in question. Activists are unlikely to seek 15% or 20%, the trigger thresholds of takeover pills.

Rights plans may provide for so-called bifurcated triggers with a higher percentage for passive investors (such as 13G filers) and a lower percentage for other investors. Where in recent cases general triggers are set below 15%, the passive investor trigger is typically set at 20%; bifurcated triggers have been accepted by Delaware courts in certain circumstances [e.g. Third Point LLC v. Ruprecht]. Apparently of the 70 "non-NOL" rights plans adopted in 2020, more than half had bifurcated triggers.

Where a specific threat is being faced, the company may wish to address it differentially, for instance with higher triggers in the case of takeover bids seeking outright control or 100% of the company's shares, but, in the case of an activist threat a bifurcated trigger of 20% for passive investors and 10% generally (to address the activist) as activists may be seeking to materially affect control and exert influence through a smaller stake.

Over the years, especially in the past decade, increased investor activism (particularly hedge fund activism) has given rise to stockholders coordinating their activities in ways not captured by the traditional definition of beneficial ownership. A chief example of this is hedge funds with small stakes in companies (i.e., less than 5%) coordinating in a way that aggregates to a large block of stock that allows them greater leverage to influence management. Hedge funds with the same or similar (often short-term) objective may form a loose network and communicate informally. When they act in concert or in parallel to effect change at a company, they may do so without any formal or even tacit agreements. Because there is no actual agreement, arrangement or understanding, the traditional definition of beneficial ownership will not always capture their coordination. To protect against this type of stockholder activity, some companies have included "acting in concert" provisions in their rights plans that broaden the traditional definition of beneficial ownership to capture certain kinds of informal coordination among stockholders. Two types of acting in concert provisions have emerged: (1) an express provision and (2) a general provision.

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Under an express provision, a person is deemed to beneficially own any shares that are beneficially owned by any other person with respect to which such person is "Acting in

Concert."

"Acting in Concert" then is defined to provide, with some potential variations, that a person will be deemed to be "Acting in Concert" with another person if such person knowingly acts (whether or not pursuant to an express agreement, arrangement or understanding) at any time after the first public announcement of the adoption of the rights plan in concert or in parallel with such other person, or towards a common goal with such other person, relating to changing or influencing the control of the company or in connection with or as a participant in any transaction having that purpose or effect, where:

(i) each person is conscious of the other person's conduct, and this awareness is an element in their respective decision-making processes; and

(ii) at least one additional factor supports a determination by the board that such persons intended to act in concert or in parallel, which additional factors may include exchanging information, attending meetings, conducting discussions, or making or soliciting invitations to act in concert or in parallel; provided that the additional factor required shall not include actions by an officer or director of the company acting in such capacities.

The defined term also makes clear that a person is not "Acting In Concert" with another person as a result of (a) making or receiving revocable proxies given in response to a public solicitation made to more than ten stockholders of the company pursuant to the Exchange Act or (b) soliciting or being solicited in connection with a public tender or exchange offer made pursuant to the Exchange Act.

A rights plan alternatively may provide that a person is deemed to beneficially own any shares which are beneficially owned by any other person with which the first person has any agreement, arrangement or understanding (whether or not in writing) to cooperate in obtaining, changing or influencing control of the company.

Not all rights plans have such acting in concert provisions. With respect to plans adopted in 2020, only about a half apparently included them. [Morrison and Foerster]

It is noteworthy that while Delaware courts have generally upheld use of the traditional beneficial ownership definition in rights plans, they have not expressly ruled on triggering thresholds which include an acting in concert provision. Shareholders have criticized acting in concert provisions in certain circumstances as drilling their ability to communicate with fellow shareholders. Companies should consider the applicable facts and circumstances--including any actual threats in their determination as to whether to include an acting in concert in their plan. Where a plan, for example, is adopted in the face of an actual takeover bid an acting in concert provision may prove unnecessary and cause unnecessary challenges to its enforceability. Where a rights plan is adopted to respond to an activist investor, especially if it has a history of parallel action alongside other activists, an acting in concert provision may be prudently considered.

Consideration might also be given to inclusion of a grandfathering clause to protect against unintentional triggering of the pill upon its implementation even where the board has not identified an existing shareholder holding in excess of the trigger amount of securities. The lower the trigger the greater the chance that there may be an unknown shareholder with a large share position.

It may be expected that lower percentage triggers will attract enhanced scrutiny from the courts or regulators. In the case of the rights plan adopted by The Williams Companies (a non-NOL plan) with a 5% trigger, ISS recommended a vote against the corporate board chair and "cautionary support" for other directors, characterizing the 5% trigger as highly restrictive. About 1/3 of the votes were cast against the chair at the AGM and certain non-activist

shareholders launched a lawsuit against the pill calling the 5% trigger “stunningly low” and claiming it “undermine[d] the stockholder franchise”.

The Delaware Court of Chancery in The Williams Companies Stockholder Litigation, C.A. No. 2020-0707-KSJM (Del. Ch. February 26, 2021) decided to enjoin this “unprecedented” rights plan, adopted at the beginning of the COVID-19 pandemic, which was cast broadly to defend against shareholder activism.

The Williams Company adopted the pill in March 2020 out of a concern that shareholder activists might exploit a sudden decline in its stock price brought on by the pandemic to acquire positions in the company. The court noted that the plan exhibited “a more extreme combination of features than any pill previously evaluated by this court” including a 5% trigger (including both beneficial and derivative ownership interests), an expansive “acting in concert” definition including parallel conduct and a limited “passive investor” exception. No specific shareholder activist threat had been identified; this was simply a pre-emptive action to prohibit possible future threats. The court decided generic hypothetical activism did not justify the plan under consideration even though the board had conducted a good faith and reasonable investigation and Delaware law did not categorically foreclose the possibility that activist shareholder conduct might in certain circumstances give rise to a cognizable threat. While a rapid accumulation of shares by an activist wolf pack could possibly justify a rights plan, nevertheless the “extreme, unprecedented collection of features” here did not bear a reasonable relationship and proved disproportionate to the threat in this instance. [Wachtell, Lipton, Rosen & Katz, “Court of Chancery Enjoins Anti-Activist Rights Plan” March 1, 2021]

While this case illustrates that overly broad plans inadequately related to recognizable challenges to corporate policy were vulnerable to attack, it did not dismiss out of hand the availability of more tailored plans adopted on the basis of a record and properly in defence of long term corporate policy.

It is notable that shareholder rights plans (or poison pills) originally developed to address and defend against hostile takeovers have experienced “mission creep” and evolved to address other purposes including the protection of non-operating loss (“NOL”) assets and more recently in defence against shareholder activism. [Marcel Kahan & Edward Rock, “Anti-Activist ~~&~~ Poison Pills”, 99 B.U.L. Rev. 915 (2019); Ofer Eldar, Tanja Kirmas & Michael Wittry, “The Rise of Anti-Activist Poison Pills”, ECGI Finance Working Paper No. 869 (2023)]

The Unocal standard of review in Delaware requires a two part inquiry--first asking if the board had reasonable grounds for identifying a threat to the corporation and second asking if the response was reasonable in relation to the threat posed. About 50% of Williams' shares were held by 20 institutional investors and three of them--Blackrock, Vanguard and State Street--held almost a quarter of the company's stock.

One of the directors, Charles Cogut, formerly a senior M&A lawyer at Simpson, Thacher & Bartlett LLP developed a proposal for a pill effecting a one year moratorium on activism to insulate management. The pill was not intended to address takeovers or preserve non-operating losses.

The plan was provided to expire at the end of one year and had four key features: 1) a 5% trigger; 2) a definition of “acquiring person” that captured beneficial ownership as well as ownership of certain derivative interests such as warrants and options; 3) an “acting in concert” provision that extended to parallel conduct and included a “daisy chain” concept; and 4) a limited “passive investor” exemption.

The court canvassed the interplay of the pill with certain regulatory requirements.[10]

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Rights plans in the US customarily draft trigger thresholds to apply to the aggregated ownership of certain groups of shareholders with the definition of beneficial ownership extended beyond beneficial ownership for purposes of Regulation 13D under the Exchange Act to capture securities subject to any agreement, arrangement or understanding for the purposes of acquisition, holding, voting or disposition of a target issuer's securities.
[17 CFR §240 13d-3-Determination of beneficial owner provides as follows:

(a) For the purposes of sections 13(d) and 13(g) of the Act a beneficial owner of a security includes any person who, directly or indirectly, through any contract, arrangement, understanding, relationship, or otherwise has or shares:

(1) Voting power which includes the power to vote, or to direct the voting of, such security; and/or,

(2) Investment power which includes the power to dispose, or to direct the disposition of, such security.

(b) Any person who, directly or indirectly, creates or uses a trust, proxy, power of attorney, pooling arrangement or any other contract, arrangement, or device with the purpose or effect of divesting such person of beneficial ownership of a security or preventing the vesting of such beneficial ownership as part of a plan or scheme to evade the reporting requirements of section 13(d) or (g) of the Act shall be deemed for purposes of such sections to be the beneficial owner of such security.

(c) All securities of the same class beneficially owned by a person, regardless of the form which such beneficial ownership takes, shall be aggregated in calculating the number of shares beneficially owned by such person.

(d) Notwithstanding the provisions of paragraphs (a) and (c) of this rule:

(1)(i) A person shall be deemed to be the beneficial owner of a security, subject to the provisions of paragraph (b) of this rule, if that person has the right to acquire beneficial ownership of such security, as defined in Rule 13d-3(a) (§240.13d-3(a)) within sixty days, including but not limited to any right to acquire: (A) Through the exercise of any option, warrant or right; (B) through the conversion of a security; (C) pursuant to the power to revoke a trust, discretionary account, or similar arrangement; or (D) pursuant to the automatic termination of a trust, discretionary account or similar arrangement; provided, however, any person who acquires a security or power specified in paragraphs (d)(1)(i)(A), (B) or (C), of this section, with the purpose or effect of changing or influencing the control of the issuer, or in connection with or as a participant in any transaction having such purpose or effect, immediately upon such acquisition shall be deemed to be the beneficial owner of the securities which may be acquired through the exercise or conversion of such security or power. Any securities not outstanding which are subject to such options, warrants, rights or conversion privileges shall be deemed to be outstanding for the purpose of computing the percentage of outstanding securities of the class owned by such person but shall not be deemed to be outstanding for the purpose of computing the percentage of the class by any other person.

(ii) Paragraph (d)(1)(i) of this section remains applicable for the purpose of determining the obligation to file with respect to the underlying security even though the option, warrant, right or convertible security is of a class of equity security, as defined in §240.13d-

Section 13(d) of the Exchange Act requires that non-passive investors report "beneficial ownership" of more than 5% of a class of stock giving such investors 5~~10~~ days to report ownership levels using a Schedule 13D form. During the 5~~10~~ day window the investor is able to continue accumulation of stock. Section 13(d) does not include derivative securities in the definition of "beneficial ownership". Section 13(d) aggregates the beneficial ownership of investors who act in concert which the Exchange Act holds to occur if "two or more persons agree to act together for the purpose~~s~~ of acquiring, holding, voting or disposing of equity securities of an issuer", "Acting in concert" for these purposes does not include "parallel conduct" or a "daisy chain" concept. Section 13(d) does not include "passive investors" who are persons acquiring securities in the ordinary course of business and not with the purpose nor with the effect of changing or influencing the control of the issuer.

Under the Williams plan, the acting in concert concept applied where investors knowingly acted in concert or in parallel or towards a common goal where it relates to changing or influencing the control of the company, where each person is conscious of the other's conduct

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1(i), and may therefore give rise to a separate obligation to file.

(2) A member of a national securities exchange shall not be deemed to be a beneficial owner of securities held directly or indirectly by it on behalf of another person solely because such member is the record holder of such securities and, pursuant to the rules of such exchange, may direct the vote of such securities, without instruction, on other than contested matters or matters that may affect substantially the rights or privileges of the holders of the securities to be voted, but is otherwise precluded by the rules of such exchange from voting without instruction.

(3) A person who in the ordinary course of such person's~~his~~ business is a pledgee of securities under a written pledge agreement shall not be deemed to be the beneficial owner of such pledged securities until the pledgee has taken all formal steps necessary which are required to declare a default and determines that the power to vote or to direct the vote or to dispose or to direct the disposition of such pledged securities will be exercised, provided, that:

(i) The pledgee agreement is bona fide and was not entered into with the purpose nor with the effect of changing or influencing the control of the issuer, nor in connection with any transaction having such purpose or effect, including any transaction subject to Rule 13d-3(b);

(ii) The pledgee is a person specified in Rule 13d-1(b)(ii), including persons meeting the conditions set forth in paragraph (G) thereof; and

(iii) The pledgee agreement, prior to default, does not grant to the pledgee;

(A) The power to vote or to direct the vote of the pledged securities; or

(B) The power to dispose or direct the disposition of the pledged securities, other than the grant of such power(s) pursuant to a pledge agreement under which credit is extended subject to regulation T (12 CFR 220.1 to 220.8) and in which the pledgee is a broker or dealer registered under section 15 of the act.

(4) A person engaged in business as an underwriter of securities who acquires securities through such person's~~his~~ participation in good faith in a firm commitment underwriting registered under the Securities Act of 1933 shall not be deemed to be the beneficial owner of such securities until the expiration of ~~forty~~ 40 days after the date of such acquisition.

and this awareness forms part of their decision-making and there is the presence of at least one additional factor determined by the board. This parallel conduct element of acting in concert is a feature of some contemporary pills (at times called a "wolfpack" provision). A wolf pack is a loose association of hedge funds that employ consciously parallel activist strategies toward target corporations while intentionally endeavouring to avoid group status under section 13(d). [William R. Tevlin, "The Conscious Parallelism of Wolf Packs: Applying the Antitrust Conspiracy Framework to Section 13(D) Activist Group Formation", 84 Fordham L. Rev. 2335 (2016)]

The daisy chain concept provides that any person acting in concert with another is deemed to be so acting with any third party also acting in concert with such other person. The passive investor who is carved out of the acquiring person definition is a beneficial owner of common shares and either has a Schedule 13G on file with the SEC (under Rule 13d-1(b) or (c)) or a Schedule 13D on file and has stated in the filing not to have a plan or proposal that relates to or would result in any actions in item 4 of Schedule 13D or otherwise no intent to seek control or has certified to the corporation to have no such plan, proposal or intent, and (ii) acquires Beneficial Ownership in the ordinary course of such person's business not with the purpose or effect of exercising the power to direct or cause the direction of management and policies of the corporation and (iii) does not amend its Schedule 13D or certificate inconsistently with its representation of having no plan, proposal or intent.

As noted above, the plan was not adopted to protect against any specific threat or to protect any specific asset like non-operating losses. The declining stock price was the initial catalyst. Based on the defendant directors' testimony, the plan was intended to deter shareholder activism; to insulate the board from activists pursuing short term agendas and generally from distraction and disruption; and to guard against the possibility that a shareholder might stealthily and rapidly accumulate larger amounts of stock.

Under Unocal, the board seemed to have satisfied the first prong, i.e. demonstrated that it had conducted a good faith reasonable investigation in adopting the plan. The problem was not the process followed but the threats identified all three of which appeared purely hypothetical.

The court stated that, "[u]~~U~~nder Delaware law, directors cannot justify their actions by arguing that ""~~"~~without their intervention, the stockholders would vote erroneously out of ignorance or mistaken belief""~~"~~ in an uncoerced fully informed election. The notion that directors know better than the stockholders about who should be on the board is no justification at all."~~"~~ Viewing all stockholder activism as a threat is an extreme manifestation of the proscribed we-know-better justification for interfering with the franchise. That is, categorically concluding that *all* stockholder efforts to change or influence corporate direction constitute a threat to the corporation runs directly contrary to the ideological underpinnings of Delaware law. The broad category of conduct referred to as stockholder activism, therefore, cannot constitute a cognizable threat under the first prong of Unocal. To be sure, Delaware law does not categorically foreclose the possibility that certain conduct by activist stockholders might yet give rise to a cognizable threat." [Williams, pp. 64] In respect of four cases cited by the defendants, the court commented: "None of these decisions support the notion that generalized concern about stockholder activism constitutes a cognizable threat under Unocal. Rather, these cases demonstrate that a board has authority to respond to a specific takeover attempt, even when the attempt does not involve a traditional tender offer. ...The Board's general concern about stockholder activism is insufficient." [Williams, pp. 70-71]

The court continued that ""~~"~~[a]~~A~~lthough there is room to disagree as to whether short-

termism or distraction could be deemed cognizable threats under Delaware law, this decision does not resolve that issue. Even if justifications of short-termism or disruption could~~would~~ rise to the level of a cognizable threat, hypothetical versions of these justifications cannot. The concerns in this case are raised in the abstract~~—there~~ ~~– there~~ is no "s~~"s~~pecific immediate" ~~"~~ activist ploy seeking short-term profit or threatening disruption. When used in the hypothetical sense untethered to any concrete event, the phrases "short-termism" and "disruption" amount to m~~e~~ere euphemisms for stereotypes of stockholder activism generally and thus are not cognizable threats." [Williams, p. 73]

As for the third justification of the plan, namely serving as an early detection device for any attempt by activists to acquire over 5%, the court noted:

"In his March 2015 Harvard Business Review article, Corporate Governance 2.0, ~~[~~Professor Subramarian~~]~~ advocates for boards of public companies to adopt what he calls an "advance notice" pill with a 5% threshold. He argues that "when an activist investor threatens a proxy contest...," boards often react with a "no-holds-barred scorched-earth" defense rather than providing~~e~~ stockholders with an "orderly shareholder voice." As a contributing factor to this problem, he cites "lightning strike attacks," which are rapid, undetected accumulations of stock in a short period of time... ~~" [Williams, pp. 74-75]~~

~~———~~Lightning strikes go undetected under the federal disclosure regime..." [Williams, pp. 74-75]

"To avoid lightning strikes and promote an "orderly shareholder voice," Subramarian recommends that boards effectuate a private-ordering response in the form of an advance-notice pill. A similar private-ordering solution to perceived defects in the federal disclosure regime was endorsed by Professors John Coffee and Dairus Palia in their Spring 2016 article, "The Wolf at the Door: The Impact of Hedge Fund Activism on Corporate Governance." [41 J. Corp. L. 545 (2015)]."

The Williams decision does not decide whether a gap-filling pill such as those discussed above would be permissible, rather it points out that the Williams plan under discussion has features more extreme than those of any of such pills above. Rather than decide whether gap-filling pills are permissible and represent a legitimate corporate purpose, the court assumed those things and turned to whether adoption of the plan was a proportional response to an assumedly valid threat and whether it fell within a range of reasonable responses to the lightning-strike threat. In its advice to the board Morgan Stanley had indicated that only 2% of all plans had a trigger lower than 10%. The plan was one of only nine pills to utilize a 5% trigger which was not an NOL plan.[1] The other plan features were also unusual. There was also mentioned, in addition to gap-filling pills, in the literature a window-closing pill. It would maintain an express agreement acting in concert definition but include a lower trigger of as little as 5.1% if the acquiror did not file a Schedule 13D before purchasing stock in excess of the specified threshold. The window closing pill is intended for the objective of compelling disclosure. More offensive than the trigger, the court found the acting in concert language to be troubling in its potential chilling effect on benign stockholder communications and grant excess discretion to the directors. The pill did not specify what actions would trigger the pill and would make "wolf-pack" conduct and parallel actions without agreement problematic.

The court concluded by finding that the defendants had failed to show that their actions were reasonable and that "this extreme, unprecedented collection of features bears a reasonable

[1] In Siegel v. Morse, 2025 WL 1101624 (Del. Ch.) the court referred to Williams, stating that the "unique nature of the 5% trigger in [the case]," distinguished the plan in Willliams.

relationship to their stated corporate objective." [Williams, pp. 88-89] The plan was declared unenforceable and was permanently enjoined; the directors were held to have breached their fiduciary duties on its adoption.

D. Analysis of the Target

20:5. Generally

An extensive review of available materials and sources of information must be carried out to familiarize the dissident thoroughly with the target corporation and its business, management and shareholders. A prospective dissident will need to take the following steps:

(1) with respect to the corporation as a whole, review all recent public filings, including previous proxy circulars and other publicly-available meeting materials, annual reports, annual information forms, prospectuses, rights-offering circulars, takeover-bid, issuer-bid and directors' circulars, material change reports, press releases and other statutory filings;[1]

(2) review the articles and, to the extent available, the by-laws of the corporation to identify, among other things, any potential anti-proxy-contest provisions, such as blank-cheque preferred shares, cumulative-voting or staggered-board requirements, prenotification provisions, *etc.;*[2]

(3) review the annual audited and interim unaudited financial statements, and any other announcements of recent results or developments in order to identify strengths and weaknesses;

(4) review publicly-available information with respect to shareholdings, such as ~~*OSA* s. 101 filings~~early warning reports under National Instrument 62-103, insider reports, proxy circulars and prospectuses;[3]

(5) identify management benefits and any interested transactions;

(6) confer with professional proxy solicitors and investment dealers who have knowledge of the composition of the shareholder body and voting history;

(7) contact brokers and, subject to any applicable constraints on solicitation, principal shareholders, and identify institutional and other major investors, their voting tendencies and contact persons;

(8) discuss the corporation and its management with those persons familiar with them, such as analysts, customers, suppliers, *etc.;*

1

In the case of corporations the securities of which are registered under U.S. securities legislation, Form 10-Ks and Form 10-Qs *(1934 Act)*, and similar documents on the public record should be reviewed.

2

Insofar as corporate by-laws must be presented to shareholders for their approval, copies may be available in previous proxy circulars.

3

In the case of corporations with securities registered in the U.S. under the *1933 Act*, there are several additional sources of information available in the form of Schedule 13Ds, Schedule 13Gs, Form 4s, Form 3s, etc., under that Act.

(9) develop a personality profile of management;

(10) analyze historical trading volumes and prices, and identify, to the extent possible, potential volatility, speculators and arbitrageurs;[4] and

(11) identify the shareholder profile according to whether and to what degree it is widely or closely held, institutional, community-based or employee-based, and identify the respective shareholder constituencies.

E. Shareholders and Shareholdings

20:6. Introduction

It will be apparent from the above list that an understanding of and familiarity with the shareholder body is crucial to the success of any proxy contest.

20:7. Shareholders' List

A dissident pursuing a proxy contest must obtain a current shareholders' list to identify the number of shares owned, controlled or directed by the various shareholder constituencies, and, in particular, by management, the dissident(s) and its (their) respective allies, and by any undecided swing voters, and to analyze shareholder constituencies and potential voting patterns. In order to solicit effectively, the names and addresses of shareholders entitled to vote will be required for any communication and for the distribution of materials.[1] The jurisdictions in which shareholders reside will need to be identified to determine the laws applicable to the solicitation.

Generally, the sooner a shareholders' list is obtained the better. However, unless available to the dissident, the list must be requested from the corporation, its registrar and transfer agent, or, where applicable, a depositary such as CDS. Such a request will generally alert the corporation. In the initial stages of preparation for a contest, the dissident may be reluctant to so reveal his or her intentions, and may need to rely on public filings for the names of major shareholders or on other sources of shareholder information. Certain organizations[2] will provide for a fee information services to potential contestants, including so-called bridge reports setting out major institutional holdings that are compiled from publicly-available information, such as filings by mutual funds. Other sources include insider trading reports (management, employees,

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It is generally possible to obtain daily price-, volume- and broker-breakdown information directly from the stock exchanges on which securities of the corporation trade.

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A fundamental practical problem in making contacts is that shareholders' lists rarely include phone numbers.

2

Such as Shareholder Communications Canada in Canada which maintains a database of investors developed over the years based, among other things, on mutual fund holdings disclosed in their financial statements required to be filed quarterly with Canadian securities regulatory authorities. Additionally, other public information is incorporated, including significant pension funds that disclose their holdings, listed closed-end funds, posted pension funds and holdings of insurance companies.

family, outside allies), street contacts (arbitrageurs, traders, brokers, back office), analysts, unusual price or volume changes, block trades, peer groups, street dialogue, general market trends, indices and types of clients behind trades. As well, and in the U.S. in particular, there are a number of potentially helpful (though not completely satisfactory) alternatives.[3]

When the dissident finally makes the request for a shareholders' list, he or she may be met with delays, or the request may be refused. When this occurs, it is imperative for the insurgent to initiate legal proceedings to obtain delivery. Even summary judicial relief may be applied for. Management, for its part, must decide on the appropriateness of refusing the demand and forcing the dissident to litigate. The ability of management to delay its response gives it an advantage in contacting shareholders. An adverse court ruling, however, could have detrimental effects on management's position. Dilatoriness or refusal may have the undesirable effect of making management appear to other shareholders as arbitrary and as abusive of the board's obligations and powers. It may be a positive step for management to allow access to the list and to confront insurgents on the issues.

Shareholders are entitled by statute to a list of shareholders. The *CBCA*-type statutes contain three different provisions with respect to shareholders' lists: (1) a basic list can be obtained at any time upon delivery of a statutory declaration in prescribed form and a fee; (2) a shareholder is entitled to review corporate records, including shareholder records, and to take extracts therefrom; and (3) a list of shareholders entitled to notice, prepared in contemplation of a shareholders' meeting and intended to fix entitlement to vote thereat, must be made available for review at the meeting and during normal business hours in advance thereof. In each case, the basic formal requirements for obtaining the list must be met.[4]

20:8. Shareholders' List-- Obtaining the Shareholders' List

Pursuant to section 146 of the *OBCA*,[1] shareholders and creditors, along with their respective agents and legal representatives and, "[where] the corporation is an offering

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Proxy statements must set forth 5% holders and holdings of directors and senior officers. Various *1933 Act* registration statements, such as Forms S-1, S-2, S-4, S-11 and S-18, must also disclose 5% holders. Schedule 13D filings must be made with regard to the acquisition of 5% holdings and amendments reported thereto. Schedule 13G reports are made by 5% institutional investors. Schedule 14D-1 filings must be made in tender offers, along with Schedule 13E-3 going-private tender offers and Schedule 13E-4 filings in self-tender offers. Institutional portfolio managers (with portfolios of aggregate market values in excess of $100,000,000) must make quarterly Schedule 13F filings. Officers and directors of companies with *1933 Act* registered securities must make Form 3 and 4 filings. In addition to commercial data bases containing these filings, there are research companies which can compile rough profiles of principal shareholders.

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See also Ch. 4.

1

Subsections 21(3) to (9) of the *CBCA* contain basically the same provisions; the *CBCA* requires an affidavit rather than a statutory declaration. Notably, under the *CBCA*, the Director is also authorized to require production of a list.

corporation, any other person, upon payment of a reasonable fee and upon sending to the corporation or its transfer agent" a statutory declaration in prescribed form, may require to be furnished with a basic shareholders' list. Such list must set out the names of the shareholders, the number of shares of each class and series owned by each of them and the address of each shareholder, as indicated on the corporation's records.[2] While such list must be provided as soon and be as current as is practicable, it must in any case be furnished not more than 10 days following receipt of the statutory declaration and be current as of a date not more than 10 days before being furnished.

In *American Eagle Petroleum Ltd. v. Maxx Petroleum Ltd.*[3], it was held that the court had no power under subsection 21(3) of the *CBCA* to vary or suspend the ten-day deadline, although there might be circumstances where deliberate withholding of the list could be oppressive.

A corporation or its agent may also be required, upon payment of a reasonable fee, to furnish supplemental lists setting out changes for each business day following the date of the basic list. Such supplemental lists must be provided on the date of furnishing the basic list if the information relates to changes that took place prior to that date, and on each business day thereafter if the information relates to changes that occurred on or after the date the basic list was furnished. This updating provision may prove crucial where a record date for notice is subsequently set and/or where subsequent transfers occur and there are changes in the persons entitled to vote at the meeting. An applicant may also require to be included in the supplemental lists the names and addresses of known holders of options or rights to acquire shares of the corporation.

The prescribed statutory declaration must state the applicant's name and address, identify the applicant as a shareholder, creditor or any other proper person, and, where the applicant is a body corporate, provide the name and address for service. The applicant must declare that any list will be used solely for the purposes permitted by the statute, *i.e.*, in an effort to influence voting by shareholders, an offer to acquire shares or any other matter relating to the affairs of the corporation.[4] Where the applicant is itself a body corporate, the statutory declaration must be made by a director or officer. Any misuse of the list is an offence.[5]

2

In Hemmerling v. IMTC Systems Inc. (1993), 86 B.C.L.R. (2d) 390 (C.A.), it was held that a debentureholders' register under the British Columbia *Company Act* need not contain the residence or business address of the holder, as a forwarding address sufficed.

3

American Eagle Petroleum Ltd. v. Maxx Petroleum Ltd. (1993), 9 Alta L.R. (3d) 325, 10 B.L.R. (2d) 48 (Alta. C.A.).

4

OBCA ~~*Reg.* s. 61~~subs. 146(1), (6)-(8).~~.~~ ~~The statutory declaration referred to in *OBCA* subs. 146(1) is required to be in Form 19.~~ See *CBCA* sub~~s~~s. 21(7) and (8). A list of debt obligation holders can be sought under *OBCA* s. 52 upon demand to the trustee and provision of a statutory declaration (see ~~*OBCA Reg.* s. 60, Form 18;~~ *CBCA* s. 85).

5

OBCA cl. 258(1)(b); *CBCA* subs. 21(10). ~~In addition to statutory restrictions on the use of~~

In Re MacMillan Bloedel Ltd.,[6] it was held that applications for a shareholders' list may be made by anyone and that an applicant acting as an agent is not required to disclose his or her principal. The application, however, must be supported by a statutory declaration containing the prescribed wording, even though the particular corporate purposes do not have to be spelled out.

This case was distinguished in *Dylex Ltd. v. Marks Work Wearhouse Ltd.*[7] where an application compelling production of a shareholder list, governed by the Alberta *Business Corporations Act*, was made based upon delivery of a statutory declaration by a lawyer on behalf of a client, followed a day later by a letter from the client. The court referred to the decision in *Nathan v. Montreal Trust Co.*[8] where the court was of the view that an application by a law student would where the student was acting on behalf of a corporation, without the particulars of the corporation, circumvent the requirements of CBCA ss. 21(7) and (8). The Alberta Court (as had the Ontario Court) dismissed the application for the shareholder list.

20:9. Shareholders' List-- Access to Corporate Records

Subsection 145(1) of the *OBCA* and subsection 21(1) of the *CBCA* both entitle shareholders, creditors and their respective agents and representatives, and the Director to examine corporate records, including the minutes of meetings and resolutions of shareholders, and the securities register. These records may be examined during the corporation's usual business hours, and entitled persons may take extracts therefrom free of charge. Where the corporation is an offering corporation,[1] any other person may do so on payment of a reasonable fee.

In *R. v. Numac Oil & Gas Ltd.*,[2] where an officer instructed the registrar and transfer

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~~shareholders' lists, Uniform Act Policy No. 2-06, "Use of Shareholders' Lists by Registrants", provides that any use of a list by a registrant for a purpose other than one similar to that authorized by the corporate legislation, or the selling of or trafficking in such lists by registrants, will be considered contrary to the public interest and will affect fitness for continued registration.~~

In an interesting situation, where Quorum Growth Inc. was involved in a proxy contest targeted at ISG Technologies Inc., the target turned the tables and sought the shareholder list of the dissident, an investment company. An Ontario court ruled that Quorum must turn over its list. (See Financial Post, December 11, 1996, p. 21).

6 In Re MacMillan Bloedel Ltd., [1976] 6 W.W.R. 475 (B.C. S.C.).

7 Dylex Ltd. v. Marks Work Wearhouse Ltd., (1997) 38 B.L.R. (2d) 52 (Alta. Q.B.).

8 Nathan v. Montreal Trust Co. [1987] O.J. No. 1179, Action No. RE 2562/87 (Ont. H.C.).

1 As defined by *OBCA* subs. 1(1). See also *CBCA* *Reg* subs. ~~126(1)~~2(1)~~, "distributing corporation"~~.

2 R. v. Numac Oil & Gas Ltd. (1979), 8 B.L.R. 153 (Alta. Q.B.)

agent not to permit shareholder inspection of the register, the company was held party to the offence of refusing to permit inspection.

The practical benefits of this right may be questionable where a corporation is of significant size, and the dissident must copy the entire list by hand since it is not clear whether the taking of extracts includes the right to make photocopies or to cause the corporation to make them.[3] It is unlikely that management would volunteer such assistance.

20:10. Shareholders' List-- Meeting Shareholders' List[1]

Subsection 100(1) of the *OBCA* requires the corporation to prepare a list of shareholders entitled to receive notice of a meeting, arranged alphabetically indicating the number of shares held by each shareholder. Such list is to be prepared: (1), where a record date is fixed, not later than 10 days after such date; or (2), where a record date is not fixed, (a) at the close of business on the day immediately preceding the day on which notice is given, or (b), where notice is not given, on the day on which the meeting is held.[2]Subsection 100(4) of the *OBCA*[3] provides that a shareholder may examine such list during usual business hours at the corporation's registered office, or wherever its central securities register is maintained, and at the meeting for which it was prepared.

20:11. Shareholders' List-- National Instrument 54-101

Part 6 of NI 54-101 permits any person to request from a reporting issuer its most recent NOBO list at any time upon paying the requisite fee. Upon receipt of such a request, the NOBO list must be delivered within 10 days. In addition, any person is entitled to request a list of intermediaries and beneficial ownership information from the intermediaries. NI 54-I01 allows potential dissidents to have access to the same information about shareholders that is available to the reporting issuer. The person requesting the information must follow the same procedures as the reporting issuer and must provide the requisite undertakings with respect to the use of such information. The person requesting such information must provide the issuer with a copy of the request, thus alerting the corporation to the fact that this information has been sought.

20:12. Shareholders' List-- United States

In the U.S., shareholders have two alternative means of obtaining a shareholders' list: either through the use of SEC Rule 14a-7 *(1934 Act)*, where a proxy solicitation is to be undertaken by management, or through the use of state corporate legislation.

3

Aranow & Einhorn, at 49.

1

See also §15:5.

2

See *CBCA* subs. 138(1).

3

See *CBCA* subs. 138(4).

SEC Rule 14a-7 provides that a dissident may apply to the corporation for a shareholders' list affirming that the list will be used for a proper purpose.[1] The Rule requires management to furnish to the requesting securityholder, within five business days after receipt of the request, notification as to whether the issuer has elected to mail the materials or provide the securityholder list, information regarding the number of record and beneficial shareholders separated by type of holder and class (or any more limited group of holders designated if available or retrievable under the issuer's or its transfer agent's data systems), and an estimate of mailing costs which must be paid by the dissident. Significantly, the information to be provided includes the most recent list of names, addresses and security positions of beneficial owners in the possession or which subsequently comes into the possession of the issuer. The securityholder list information is to be in the form requested by the requesting securityholder to the extent such form is available to the issuer without undue burden or expense. The information can only be retained until the end of the solicitation and must be returned upon its termination.[2] In the large majority of cases, management apparently chooses to carry out the mailing itself. Where it does so, the insurgent may be left without recourse under the *1934 Act* for obtaining a list.[3] There may be good reasons for not wanting a transfer agent (who is employed by and bound by contract with the corporation) to mail the insurgent's materials. Management can review the materials prior to mailing and prepare a comprehensive response in advance. The issuer is required to mail the securityholder's materials with reasonable promptness and without waiting until the issuer's own materials are ready for mailing.[4]

State corporate legislation provides an alternative and potentially more effective mechanism whereby a shareholder, upon making a proper demand stating the purpose thereof, may inspect, or in some cases obtain copies of, the corporation's shareholders' list.[5]

Such right is usually summarily exercised by delivery of a letter to the corporation. State statutes granting access to shareholders' lists usually provide for a minimum of five days[6]

1

Rule 14a-7(c)(2).

2

Rule 14a-7(da)~~(2)(ii)~~.

3

In the case of roll-ups and going private transactions, the shareholder list must be released at the requesting shareholder's option (Rule 14a-7(b)).

4

Rule 14a-7(a)(2)(i).

5

General Corporation Law of Delaware, 8 Del. C. Ch. 1~~Ch. 50, Laws of 1967, as am~~., s. 220; New York Business Corporation Law, ~~McKinney's Consolidated Laws of New York, 1986 (Minneapolis, Minn.: West Publishing Co., 1986),~~ s. 624.

6

Delaware: 5 business days.

between the date of initial demand and the commencement of judicial proceedings to force surrender of the list in the case where the corporation refuses inspection or fails to reply to a demand.[7] Charter or by-law provisions which effectively deny or restrict a shareholder's inspection rights have been held non-binding and void.[8]

State corporate statutes commonly require a shareholder requesting inspection to have a proper purpose, i.*e.*, one which is reasonably related to such person's interest as a shareholder. Where a shareholder otherwise complies, the burden of proof is on the corporation to establish an improper purpose.[9] Inspection for the purpose of soliciting proxies has been held to be a proper purpose.[10]

Improper purposes have been held to include an intention to use the information in bad faith to involve the corporation in litigation,[11] to improve the applicant's position in pending tort

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Failure to permit inspection based on a need for additional information before responding amounts to refusal (Henshaw v. American Cement Corp. (1969), 252 A. 2d 125 (Del. Ch.)), as does a failure to respond within the minimum statutory period (Helmsman Management Services Inc. v. A. & S. Consultants Inc. (1987), 525 A. 2d 160 (Del. Ch.)).

8

In Loew's Theatres Inc. v. Commercial Credit Co. (1968), 243 A. 2d 78 (Del. Ch.), a charter provision purporting to restrict inspection rights to holders of 25% or more of any class of shares was voided.

9

W.L. Duffy, “Shareholder Initiatives”, in Block and Pitt, at 71.

10

In Hatleigh Corp. v. Lane Bryant Inc. (1981), 428 A. 2d 350 (Del. Ch.), a demand was held to be not premature simply because it was made seven months in advance of the next annual meeting for a proxy solicitation to oust existing management. In General Time Corp. v. Talley Industries Inc. (1968), 240 A. 2d 755 (Del. Sup. Ct.), any secondary purpose in seeking the list was held irrelevant. See also Kerkorian v. Western Air Lines Inc. (1969), 253 A. 2d 221 (Del. Ch.); affd (1969), 254 A. 2d 240 (Del. Sup. Ct.); Credit Bureau of St. Paul Inc. v. Credit Bureau Reports Inc. (1972), 290 A. 2d 689 (Del. Ch.); affd (1972), 290 A. 2d 691 (Del. Sup. Ct.), where the shareholder's principal purpose was to communicate with other shareholders preliminary to launching a proxy contest; Skoglund v. Ormand Industries Inc. (1976), 372 A. 2d 204 (Del. Ch.); Schnell v. Chris-Craft Industries Inc. (1971), 285 A. 2d 430 (Del. Ch.); revd (1971) 285 A. 2d 437 (Del. Sup. Ct.); Northwest Industries Inc. v. B.F. Goodrich Co. (1969), 260 A. 2d 428 (Del. Sup. Ct.), where it was held that the statement of proper purpose, in circumstances where it is intended to communicate with fellow shareholders, must be sufficiently detailed to permit determination of whether a reasonable relationship exists between the purpose and the shareholder's interest in the corporation (*cf.*Mite Corp. v. Heli-Coil Corp. (1969), 256 A. 2d 855 (Del. Ch.)).

11

litigation,[12] for the purpose of selling the list,[13] or for mere curiosity or some indefinite, doubtful, uncertain or merely vexatious purpose.[14] The courts of at least one state[15] have held that, notwithstanding the inability of a shareholder to meet the qualification requirements of the governing statute, where the request is made in good faith and is demonstrative of a proper purpose, a shareholder of record may have a common law right of inspection.[16]

Delaware and other state courts have granted shareholders access to Cede & Co. breakout lists.[17] The courts apparently draw a distinction between Cede & Co. breakout lists and lists of

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State ex rel. National Bank of Delaware v. Jessup & Moore Paper Co. (1913), 88 A. 449 (Del. Sup. Ct.).

12

Bergmann v. Lee Data Corp., Minn. C.A., C6-90-2174, C8-90-2368, 4 February 1991 (unreported); cited in (1991), 23 S.R.L.R. 568.

13

State ex rel. Theile v. Cities Service Co. (1921), 114 A. 463 (Del. Sup. Ct.); affd (1922), 115 A. 773 (Del. Sup. Ct.).

14

State ex rel. Miller v. Loft Inc. (1931), 156 A. 170 (Del. Sup. Ct.). A tender offeror's request for inspection of the books of the target for the primary purpose of deciding whether to increase its offering price was held not reasonably related to its interest as a shareholder. BBC Acquisition Corp. v. Durr-Fillauer Medical Inc., Del. Ch. Ct., Civil Action No. 12646, (1992) 24 S.R.L.R. 1528.

15

New York, in Rockwell International Inc. v. SCM Corp. (1980), 496 F. Supp. 1123 (S.D. N.Y.); Johncamp Realty Inc. v. Sanders (1979), 415 N.Y.S. 2d 192 (Sup. Ct.).

16

The burden of proof as to bad faith is on the corporation (S. & S. Realty Corp. v. Kleer-Vu Industries Inc. (1976), 384 N.Y.S. 2d 796 (App. Div.)). In a California case, Schnabel v. Superior Court of Orange County, Calif. Sup. Ct. No. S024822, (1993), 25 S.R.L.R. 1050, the court held a private company bound to turn financial and tax information over to a spouse of a shareholder (not herself a shareholder of record) trying to discover corporate records in a marriage dissolution.

17

Hatleigh Corp. v. Lane Bryant Inc. (1981), 428 A. 2d 350 (Del. Ch.); Tactron Inc. v. KDI Corp., Del. Ch., No. 7885, 4 January 1985 (unreported); Giovanini v. Horizon Corp, Del. Ch., C.A. No. 5961, 12 September 1979 (unreported), cited in C.L. Reisner and D. Malaquin, “Organization of Solicitation: The Lawyer's Function” in Eppler and Gilroy, at 521. The Second Circuit has recently decided that under New York state law a qualified shareholder was entitled to have the issuer compile a NOBO (non-objecting beneficial owners) list as this would provide shareholders the same opportunity as management to communicate with their fellow shareholders. See S.

non-objecting beneficial owners ("NOBO"s). While a corporation may be called upon to provide to a shareholder a NOBO list in its possession, it may not be required to prepare or to cause or request preparation of such list for delivery specifically to a dissident.[18]

In one case,[19] the court also required the corporation to provide a computer magnetic tape and daily transfer sheets indicating transactions in the issuer's shares.

20:13. Distribution of Materials

Once the dissident possesses the necessary information with respect to shareholders entitled to vote, arrangements must be made for providing materials to these shareholders, including a dissident's circular. Clause 112(1)(b) of the *OBCA*, paragraph 150(1)(b) of the *CBCA* and clause 86(1)(b) of the *OSA* all require that a dissident send a circular to each shareholder[1] whose proxy is solicited. While in those cases where the registered holder is also the beneficial owner this should present no problem in terms of communication, the dissident faces the same problem as management in communicating with non-registered beneficial owners, and, from the dissident's viewpoint, this latter issue may not adequately be dealt with by ~~National Policy Statement No. 41~~National Instrument 54-101.[2]

Section 49 of the *OSA* and section 153 of the *CBCA*, which predate the ~~policy~~National Instrument, contemplate that a registrant[3] shall send or deliver to beneficial owners copies of meeting materials, including any circular provided to it.

In the case of the *OSA:*

> Forthwith after receipt of a copy of a notice of a meeting of security holders of an issuer, the registrant or

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Feldman, "Shareholder Inspections of Corporate Books and Records", 32 *Corporation Journal* 56.

18

In Shamrock Assoc. v. Texas American Energy Corp. (1986), 517 A. 2d 658 (Del. Ch.), it was held that, under the Delaware statute, a corporation which had itself acquired a NOBO list had to make it available to a shareholder. In RB Assoc. of New Jersey L.P. v. Gillette Co., Del. Ch., No. 9711, 22 March 1988 (unreported), it was held that a corporation would not be constrained to obtain and deliver such a list where it had not obtained one itself and did not plan to do so. See T. Gilroy and R.R. Levine, "Overview of Decisional Law in the Contest Area" in Eppler and Gilroy ("Gilroy and Levine"), at 73 et seq.

19

Hatleigh Corp. v. Lane Bryant Inc. (1981), 428 A. 2d 350 (Del. Ch.).

1

OSA cl. 86(1)(b) says "security holder".

2

Where the shareholder requisitions a meeting and the board refuses to call the meeting, leaving the shareholder in the position of having to give notice, a similar problem will arise.

3

And custodian, in the case of the *OSA*.

> custodian shall, where the name and address of the beneficial owner of securities registered in the name of the registrant or custodian are known, send or deliver to each beneficial owner of such security so registered at the record date for notice of meeting a copy of any notice, financial statement, information circular or other material but the registrant or custodian is not required to send or deliver such material unless the issuer or the beneficial owner of such securities has agreed to pay the reasonable costs to be incurred by the registrant or custodian in so doing.[4]

The sender of the materials is constrained on request of the registrant or custodian to furnish at the sender's expense requisite copies of the material. A proxy must be given by the registrant or custodian to the beneficial owner only upon the latter's written instructions.

Under the *CBCA*, the requirement to deliver materials is worded somewhat differently, and is tied to a prohibition against voting by the registrant of non-beneficially owned shares in the absence of the forwarding of materials. Subsection 153(1) of the *CBCA* specifically excepts the sending of forms of proxies. The *CBCA* otherwise contains requirements basically similar to those in the *OSA.*

In~~Although in~~ instituting ~~National Policy Statement No. 41~~National Instrument 54-101 the CSA recognized the insufficiency of the foregoing statutory provisions for communicating with non-registered beneficial owners. For this reason, NI 54-101 requires proximate intermediaries who receive securityholder materials from a reporting issuer for sending to beneficial owners to promptly[2] send:[3]

a) one set of the materials to each OBO of the relevant securities that is a client of the proximate intermediary;
b) one set of the materials to each NOBO of the relevant securities if the reporting issuer stated in the applicable request for beneficial ownership information, or otherwise advised the proximate intermediary, that the reporting issuer will send the materials to NOBOs indirectly through intermediaries; and
c) appropriate quantities of materials to all intermediaries holding securities of the relevant class or series that are clients of the proximate intermediary, for sending by [the subsequent intermediary].[4]

~~s, the policy~~ National Instrument 54-101 also contains various provisions to allow dissidents to send their required materials. Section 6.2 states that "[a] person or company may take any action permitted under this Instrument to be taken by a reporting issuer and, in so doing, has all the rights, and is subject to all of the obligations, of a reporting issuer in connection with that action, unless this Instrument specifies a different right or obligation." Section 7.2(2) confirms that dissidents may send materials indirectly to beneficial owners using the procedures in section 2.12. Furthermore, Section 2.7.7 allows dissidents to utilize notice-and-access to send materials. Each of these provisions help dissident shareholders communicate with beneficial shareholders of the issuer.

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4 *OSA* subs. 49(2). *Quaere* whether a dissident may force the registrant to do so by agreeing to pay.

[2] Within four business days after receipt in the case of securityholder materials to be sent by prepaid mail other than first class mail; and within three business days after receipt in the case of securityholder materials to be sent by any other means.

[3] National Instrument 51-104 Subs. 4.2(1).

[4] Under Subs. 4.2(3) of National Instrument 51-104, further intermediaries have obligations to send within one day of receipt one set of materials to each OBO that is a client of the intermediary; and appropriate quantities of the materials to all further intermediaries holding securities of the relevant class or series that are clients of the intermediary

~~fails in some ways to adequately address the sending of dissident materials. It contemplates the fulfilment of a number of obligations by the issuer and its board of directors,[5] and delivery dates which are based on the issuer's notice-giving and circular obligations.~~

~~While the policy states in Part IX that the use of the shareholder communication system it sets forth "is not mandated for materials other than proxy-related materials delivered on behalf of issuers", it states additionally that "other senders of material that is required by law to be delivered to registered holders, including shareholders soliciting proxies, are entitled to and encouraged to use the communication system" under the policy. It is not clear to what extent the other parties subject to the policy, such as intermediaries and clearing agencies, will be accountable or bound to comply with their obligations in respect of non-issuer materials with regard to which the dissident is dependent on their co-operation. Another potentially open question is the fee structure provided by the policy.~~

~~Part X of the policy states:~~

~~The issuer has the alternative of offering to deliver the material itself or through its transfer agent or service company if it can do so on a less costly basis. The issuer is free to make arrangements with intermediaries that will encourage them to use this option.~~

~~A dissident, or a service company employed by it, might be able to convince intermediaries of this alternative.~~

~~Another~~ A final potential problem or disadvantage faced by a dissident is the arrangement of the mailing, where, as is often the case, the transfer agent (under contract with the corporation) declines to co-operate with the dissident to either provide a set of coded mailing labels for shareholders or mail the dissident's materials.

20:14. Share Position

The prospective contestant must consider the level of shareholding in the target corporation that will be required to enhance his or her chances of success. It is unlikely that in the absence of a significant level of share ownership a shareholder will have a sufficient economic stake or incentive to run the potentially high costs of influencing or replacing incumbent management. A small shareholder will usually watch and wait, if he or she does not sell, and attempt to take advantage of those better positioned, for instance, by means of a takeover bid. A significant block of stock may be needed from the viewpoint of both providing a broader springboard for a majority vote and demonstrating to fellow shareholders adequate economic commitment.[1]

The need for a significant shareholding may, however, be issue specific. Some commentators have questioned whether a significant shareholding is a material determinant of success in waging proxy contests.[2] This would more likely be true in radical business changes

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~~Where in a requisition situation the board fails to call a meeting, it is not entirely clear to what extent the dissident may purport to act in its stead or, alternatively, is bound to act in a manner consistent with the issuer's obligations under the policy.~~

1

2013 Canadian Proxy Contest Study, Fasken Martineau at 582, n. 204~~.~~

2

R. Schrager, "Corporate Conflicts: Proxy Fights in the 1980s" (Investor Responsibility Research

meant to benefit all shareholders than in elections which appear to benefit the contestant alone.

Where a dissident decides to assemble a significant block of stock, he or she may do so by open market purchase, private purchase, voting trust or other arrangement, or by a partial takeover bid. Any acquisition should be timed to avoid sudden shifts in market price, which may alert management prematurely and render the overall purchase more expensive. Where a record date has been publicly announced, the dissident may schedule his or her purchases and filings. Where there is more than one dissident, purchases should be co-ordinated to avoid competition for available stock. Purchases from holdings sympathetic to management serve the dual purpose of increasing the dissident's holdings and reducing those of its opposition. The acquisition of a significant block of stock may by itself create pressure on management.

A fundamental problem is that of premature disclosure. Acquisitions of shares of reporting issuers may be subject to a number of public disclosure and other requirements. A dissident and persons acting jointly or in concert must comply with any applicable takeover bid provisions. In addition, each person acquiring "beneficial ownership of, or control or direction over, voting or equity securities of any class of a reporting issuer, or securities convertible into voting or equity securities of any class of a reporting issuer, that, together with the acquiror's securities of that class, constitute 10% or more of the outstanding securities of that class" must issue and file a news release containing prescribed information no later than the opening of trading on the next business day following the acquisition; and ~~beneficial ownership of, or the power to exercise control or direction over, or securities convertible into, voting or equity securities of any class of a reporting issuer", which together with such person's securities constitute 10% or more of the class, must issue and file a press release containing prescribed information and,~~ within two business days ~~thereafter~~from the date of the acquisition, file a report containing the same information.[3] In the case of any material change in any fact in such report or any disposal or acquisition of ~~an additional~~ 2% or more of the outstanding securities of the class, a further press release must be issued and filed, and a further report filed within two business days thereafter.[4]

A person accumulating shares must comply with applicable ~~*OSA* and *CBCA*~~ insider reporting requirements. Under subsection 107(1) of the *OSA*, a person or company becoming an insider of a reporting issuer[5] must, within ten days ~~after the end of the month in which he or she~~

Center, 1986), at 47-53 (cited in N.I. Koether, R.J. Schechter and M.J. Kaplan, "Organizing a Proxy Solicitation: The Contestant's Perspective" in Eppler and Gilroy, at 548.

3

~~*OSA*~~ National Instrument 62-104 Part 5.2(1)~~subs. 101(1).; *OSA Reg.* s. 175c.~~

4

National Instrument 62-104 Part 5.2(2), this requirement also applies to securities convertible into 2% or more of the outstanding securities of the issuer.
~~OSA subs. 101(2).~~

5

Other than a mutual fund. The term "insider" is defined in *OSA* subs. 1(1) to include, among others,

> "...~~any person or compan~~a person or company that has, (i) beneficial ownership of, or control or direction over, directly or indirectly, securities of a reporting issuer carrying more than 10 per cent of the voting rights

becomesof becoming an insider, file a report disclosing "disclosing "any direct or indirect beneficial ownership of or control or direction over securities of the reporting issuer and any interest in, or right or obligation associated with, a related financial instrument." The insider must also make such other disclosure as may be required by National Instrument 55-104.any direct or indirect beneficial ownership of or control or direction over securities of the reporting issuer as may be required by the *[OSA]* regulations".[6] Whenever a change occurs in the shareholding of an insider from that shown in the latest report, the insider must, within ten days after the end of the month in which theof the change change occurred, file a further report.[7]

Under the *CBCA*, any person who becomes an insider[8] shall, within ten days after the end

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attached to all the reporting issuer's outstanding voting securities, excluding, for the purpose of the calculation of the percentage held, any securities held by the person or company as underwriter in the course of a distributiony who beneficially owns, directly or indirectly, voting securities of a reporting issuer or who exercises control or direction over voting securities of a reporting issuer or a combination of both carrying more than 10 per cent of the voting rights attached to all voting securities of the reporting issuer for the time being outstanding other than voting securities held by the person or company as underwriter in the course of a distribution ..."

The definition also includes "a director or officer of a person or company that is itself an insider or subsidiary of a reporting issuerevery director or senior officer of a company that is itself an insider or subsidiary of a reporting issuer". Where an issuer becomes an insider of a reporting issuer, every director or senior officer of the issuer is deemed to have been an insider of the reporting issuer for the previous six months or such shorter period during which he or she was a director or senior officer of the issuer.

6

OSA Reg. Part VII, Form 36. Summaries of the reports filed are published in the *OSC Bulletin* (*OSA* s. 120).

7

OSA subs. 107(2). There is also a question as to the degree to which voting intentions and solicitation activities are themselves material non-disclosed information: *TSC Industries, Inc. v. Northway, Inc.* (1976), 426 U.S. 438, at 449; *Basic Inc. v. Levinson* (1988), 108 S. Ct. 978. May non-disclosing solicitors, or institutions who have indicated their voting intentions to them but not generally, trade shares; may large holders who have been contacted by solicitors trade; may intermediaries advise clients on the basis of material non-public information; are issuers, intermediaries and institutional investors taken out of the market by possession of such information? In Azurite Corp. Ltd. v. Amster & Co., [1994] CCH Fed. Sec. L. Rep. §98,090 (S.D.N.Y.), it was held that a risk arbitrageur had not failed to make timely disclosure of a decision to wage a proxy contest in its 13D filing; disclosure was only required of definite, not tentative, plans and the consideration of various options did not rise to the appropriate level of resolve to require disclosure.

8

CBCA subs. 126(1) defines "insider" to include, among others,
"... a person who beneficially owns more than ten per cent of the shares of a distributing corporation or who exercises control or direction over more than ten per cent of the votes attached to shares of a distributing corporation, excluding shares owned by an underwriter under an underwriting agreement while those shares are in the course of a distribution to the public ..."

~~of the month in which he or she becomes an insider, file with the Director under the *CBCA* an insider report in prescribed form.[9] The *CBCA* also requires the filing of subsequent insider reports in the event of changes in the shareholdings of an insider.[10]~~

In the United States, S~~s~~ection 13(d) and Rule 13d-1 of the *1934 Act* require persons acquiring in excess of 5% of a class of registered securities to make a Schedule 13D filing within ~~ten~~ five business days.[11] Such reporting requirements have given rise in the U.S. to numerous suits where acquirers have allegedly failed to disclose adequately or accurately their intentions and holdings, or to update them by subsequent amendments.[12] As soon as more than 10% are acquired, section 16(b) of the *1934 Act* and the short-swing profits rule also become potentially applicable. As discussed above, share purchases may also trigger state takeover legislation.

In July 2020, the SEC made a controversial proposal to amend Form 13F which threatened to reduce the transparency of the holdings of institutional investors in public companies. It had historically required institutional investment managers to submit quarterly reports within 45 days of the end of each quarter disclosing their (long position) holdings of equities. The minimum reporting threshold had been $100 million. The SEC's proposal had been to raise that minimum threshold to $3.5 billion. As many activist investors (including a substantial proportion of significant activist hedge funds) do not hold $3.5 billion of 13(f) securities, adoption of the change would have led to a significant reduction in the level of public

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~~There is also a question as to the degree to which voting intentions and solicitation activities are themselves material non-disclosed information: *TSC Industries, Inc. v. Northway, Inc.* (1976), 426 U.S. 438, at 449; *Basic Inc. v. Levinson* (1988), 108 S. Ct. 978. May non-disclosing solicitors, or institutions who have indicated their voting intentions to them but not generally, trade shares; may large holders who have been contacted by solicitors trade; may intermediaries advise clients on the basis of material non-public information; are issuers, intermediaries and institutional investors taken out of the market by possession of such information? In Azurite Corp. Ltd. v. Amster & Co., [1994] CCH Fed. Sec. L. Rep. §98,090 (S.D.N.Y.), it was held that a risk arbitrageur had not failed to make timely disclosure of a decision to wage a proxy contest in its 13D filing; disclosure was only required of definite, not tentative, plans and the consideration of various options did not rise to the appropriate level of resolve to require disclosure.~~

~~9~~

~~*CBCA* subs. 127(2).~~

~~10~~

~~*CBCA* subs. 127(4).~~

11

An irrevocable proxy does not constitute beneficial ownership (Calumet Industries Inc. v. MacClure (1978), 464 F. Supp. 19 (N.D. Ill.)); however, a written or otherwise explicit agreement is not a prerequisite (Zimmerman v. SEC (1979), 440 U.S. 913).

12

See Albert J. Li, "the Meaning of Item Four of Schedule 13D of the Securities Exchange Act of 1934: A New Framework and Analysis" (1997), 52 *The Business Lawyer* at 851.

reporting by funds in their holdings.

As a result, it would have become substantially more difficult to identify whether one or more activists held stock in an issuer. It was estimated that increasing the reporting threshold to $3.5 billion would have effectively reduced the number of reporting filing investors by 90%, from 5,089 to 550. Form 13F would practically have largely ceased to provide a meaningful reporting regime for most institutional investors including numerous activists hedge funds. The proposal was met by a hue and cry and not surprisingly, according to one report, of the 2,262 comment letters filed with the SEC in response to its proposal approximately 99% were opposed and only 24 letters in favour.

The SEC had apparently made the proposal in order to reduce the reporting burden on smaller institutional asset managers noting that since Form 13F had originated 40 years ago the total value of U.S. public equities had increased more than 30 times from $1.1 trillion to $35.6 trillion. The significance of managing $100 million of assets had declined considerably. The raising of the reporting threshold from $100 million to $3.5 billion would be commensurate with the market value of U.S. equities that $100 million would have represented back in 1975.

The proposal would have resulted in reduced transparency and mark an adverse change for many investors including those who follow the investing practices of hedge funds and seek to gain advantages from investing alongside activists in anticipation of engagement with management and boards of investor companies. In addition, issuers (particularly small cap companies) would have lost a material source of information with regard to their shareholder base. The SEC ultimately cancelled the proposed rule change in light of the negative response to the proposal – still acknowledging that it "remains clear that the current threshold is outdated".[5] ~~It appears likely, given the negative response to the proposal, that the SEC is unlikely to proceed with it.~~

In a June 23, 2021, speech, the chair of the SEC expressed an intention as follows to enhance transparency regarding beneficial ownership reporting, derivative ownership as well as short sales:

> I will briefly discuss how we might consider updating various rules related to transparency.
> One such area is beneficial ownership. In 1968, our Congress mandated that large shareholders of public companies disclose information that helps the public understand their ability to influence or control that company. Under current rules, beneficial owners of more than 5 percent of a public company's equity securities who have control intent have 10 days to report their ownership.
> We haven't updated that deadline in over 50 years. Those rules might've been appropriate for the 1970s, but I have my doubts about whether they continue to make sense given the rapidity of current markets and technologies. I've asked staff how we might update these rules, including possibly shortening reporting deadlines.
> Another area is around security-based swaps, essentially, derivatives on individual companies that provide exposure to the company without traditional equity ownership. The disclosures there aren't as robust as they are in the rest of the market. The collapse in March of the family office Archegos Capital Management is a reminder of why this could be relevant.
> Thirdly, I think we can bring more transparency to short selling. We have unused authorities in that space that were granted by Congress a dozen years ago ...
> When investors cannot access critical information, particularly when some other market participants may have such information, such information asymmetry can increase risk and reduce liquidity. I believe we should update the transparency regimes to better reflect current business models and practices.

~~The~~ In late 2022, the SEC adopted rule changes ~~on September 29, 2021, announced proposed amendments~~ to Form N-PX (under the Investment Company Act of 1940) to expand

[5] Benjamin Bain & Robert Schmidt, "Hedge Funds' Shot at Keeping Stock Investments Secret Fades, Bloomberg 2020.

the information that mutual funds, exchange traded funds and certain other funds are required to report with respect to their proxy voting (the "2022 Amendments").

~~Additionally, the SEC proposed rule and form amendments under the 1934 Act requiring institutional investment managers (subject to the 1934 Act) to report annually how they voted proxies related to executive compensation matters.~~

These changes ~~are being~~were ~~pursued to~~in an effort to complete implementation of relevant requirements under the Dodd-Frank Wall Street Reform and Consumer Protection Act having been in the pipeline for a long time as a result of the resistance of investment management forms.

The SEC noted that mutual funds, ETFs and other registered investment management companies hold substantial institutional voting power which they exercise on behalf of millions of fund investors. Such funds own approximately 30 percent of U.S. corporate equities and may well own a greater percentage of the equities of a particular issuer. Consequently funds can affect the outcomes of a wide variety of matters which public issuers put forward to a vote.

These include governance, corporate actions and transactions as well as shareholder proposals. Funds' proxy voting decisions can affect the more than 5045% of U.S. households which own funds as well as other participants in the U.S. equity markets. For example, index funds the investment policies of which do not allow them to dispose of stocks comprising the subject indices, cannot sell a stock where they are disappointed with performance or management. ~~Consequently~~Consequently, they may therefore need to utilize their voting power to involve themselves in corporate governance.

Index funds have greatly expanded recently comprising ~~nearly half~~over half of the overall assets in equity funds. The net assets of index funds as a proportion of the aggregate held by mutual funds and ETFs have more than doubled after 2010.

Investors have an interest in the voting behavior of funds given their voting power and the effects of their voting practices on corporate issuers and the value of their securities. As well, in recent years there has been enhanced interest in how funds vote on environmental, social and governance ("ESG") matters.

The SEC considered that while funds had since 2003 been required to file Form N-PX reports with disclosure as to how they had voted proxies in relation to their investments, investors faced potential difficulties in their analysis of the reports. This resulted, among other things, from reports of votes being made in an inconsistent manner or in formats which were not machine readable. The 2022 SEC rule changes were~~The SEC has therefore made a proposal~~ intended to render proxy voting records more user friendly and enhance investors' ability to monitor voting by funds held by them and compare voting by various funds.

The 2022 A~~a~~mendments to Form NP-X ~~proposed by the SEC would require~~require funds to tie their description of each voting matter to the issuer's form of proxy and categorize every matter by type to assist investors to identify votes of interest to them and enable them to compare Funds' respective voting records. I~~The SEC proposal would, i~~n addition, the amendments mandate how funds are to organize their reports and the use by them of a structured data language in order to make the funds' filings easier to analyze. ~~Furthermore, funds would be required to disclose how their stock lending activities affected their voting.~~

Futhermore, the 2022 Amendments require investment managers who file form 13F to annually file a Form N-PX disclosing the manner in which they have voted on certain pay-related proposals held by the companies whose securities they hold.[6]

[6] Cooley, New SEC Requirements for Form 13F Filers Effective July 1, 2024; Final Rule: Enhanced Reporting of

~~Institutional investment managers would also be required to disclose the manner in which they voted on executive compensation, i.e. "say-on-pay" resolutions, thereby fulfilling a remaining rulemaking mandate under the Dodd-Frank Wall Street Reform and Consumer Protection Act.~~

~~———~~On July 13, 2021, the Alberta Securities Commission ("ASC") announced that an ASC panel had issued an oral ruling in the context of competing bids for Inter Pipeline Limited ("IPL") by Pembina Pipeline Corporation ("Pembina") and by Brookfield Infrastructure Corporation Exchange Limited Partnership ("Brookfield"). The parties made contending applications to the ASC. The IPL and Pembina applications concerned certain cash settled total return swap agreements ("TRS") entered into by Brookfield with a swap dealer counterparty. The ASC panel concluded that Brookfield's use of and disclosure concerning the TRS were clearly abusive to IPL shareholders and the capital market and therefore contrary to the public interest.

The ASC panel also found that the disclosure in the Brookfield offer did not comply with the applicable regulatory requirements.

The ASC panel, as a result, prohibited Brookfield from purchasing IPL securities under its offer unless more than 55% (rather than the usual 50%) of the IPL securities subject to the offer were deposited and not withdrawn, and disclosure was made of the modified minimum tender condition, the name of the TRS counterparty, the dates of the relevant ISDA agreements, the dates of the swap transaction, and certain information as to Brookfield's relationship with the TRS counterparty. Effectively Brookfield was treated as if it had acquired an economic interest in the shares which were the subject matter of the TRS, an apparent departure from the treatment applied to TRS arrangements in the past.

~~———Δ more detailed set of reasons will be forthcoming.~~

– [See also CSV case in the U.S. It is noteworthy that notwithstanding the following comment by Judge Winter in that case no action has been yet taken by the SEC to treat shares which are the subject matter of a TRS as beneficially owned by the swap counterparty in the absence of facts leading to the conclusion of "joint action": ~~It is noteworthy that notwithstanding the following comment by Judge Winter in that case no action has been yet taken by the SEC to treat shares which are the subject matter of a TRS as beneficially owned by the swap counterparty in the absence of facts leading to the conclusion of "joint action":~~

~~———~~"Total-return cash-settled swap agreements can be expected to cause some party to purchase the referenced shares as a hedge. No one questions that any understanding between long and short parties regarding the purchase, sale, retention, or voting of shares renders them a group - including the long party - deemed to be the beneficial owner of the referenced shares purchased as a hedge and any other shares held by the group. Whether, absent any such understanding, total-return cash-settled swaps render a long party the beneficial owner of referenced shares bought as a hedge by the immediate short party or some other party down the line is a ~~questions of law~~question of law not fact. At the time of the district court opinion, the SEC had no authority to regulate such "understanding" - free swaps. It has such authority now ..."

Following the CSV decision the SEC adopted final rules to amend beneficial ownership reporting requirements under the Securities and Exchange act, which, among other things revised Item 6 of Schedule 13D to require the disclosure of interests of cash-settled derivatives.

Proxy Votes by Registered Management Investment Companies; Reporting of Executive Compensation Votes by Institutional Investment Managers

However, these revisions do not deem holders of cash-settled derivatives as beneficial owners.[7]] ~~Certain commentators take the view that the SEC should be exercising its rule making authority to bring total return swaps and similar derivatives under the ambit of Section 13(d).~~

~~[Wachtell Lipton, "Alberta Regulator Slaps Down Synthetic Share Ownership Arrangement", July 22, 2021.]]~~

– Brookfield commenced acquisition of IPL shares in March 2020 and between June and October, 2020, entered into TRS with Bank of Montreal. The TRS provided Brookfield with economic exposure to IPL similar to owning IPL shares without actual beneficial ownership thereof. As Brookfield's beneficial ownership remained below 10% it was not compelled to disclose its position in an early warning report. On its announcement of its intention to make an unsolicited bid for IPL, there was a degree of surprise in the market when it indicated that in addition to a beneficial stake of 9.75% in IPL shares it also had further economic exposure of an additional 9.9% through the TRS.

~~The~~ The ASC released its written reasons on December 21, 2021 in Re: Bison Acquisition Corp., 2021 ABASC 107. The written reasons stated that Brookfield was in compliance with the EWR regime since it was not strictly required to disclose its interest in the swaps under the EWR. However, by using the IPL swaps, Brookfield was able to keep the IPL share price suppressed until it made an offer, affecting IPL's ability to find the maximum value available for its shareholders. This use of the swaps to obtain a 19.65% economic interest without making any disclosure until Brookfield launched their offer was plainly abusive to IPL shareholders and Alberta Capital markets, despite compliance with EWR standards.[8] ~~promised written reasons of the ASC panel are much anticipated given the not uncommon use of TRS and the prevailing interpretation that in the absence of an understanding beyond the TRS regarding the voting and sale or retention of the subject shares, those shares should not be treated as owned by a party in Brookfield's position. Brookfield and the swap counterparty did not appear to be treated as joint actors by the ASC nor was its position vis-a-vis early warning requirements challenged. And yet it was found to have acted abusively; the constituent elements of such conclusion will be carefully scrutinized as it may potentially have an impact on market behaviour and related legal advice which to date have not been viewed by sophisticated market participants as in any way abusive.~~

Commented [DL1]: R NF

~~[Davies, "Pulling Out All the Swaps: Alberta Securities Commission Finds Total Return Swaps Abusive", July 20, 2021]~~

– The purchase of votes rather than of shares may be considered.[13] While some academic

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[7] Torys, SEC amends Schedule 13D and 13G beneficial ownership reporting requirements; SEC, Modernization of Beneficial Ownership Reporting (Release Nos. 33-11253; 34-98704; File No. S7-06-22) (Oct. 10, 2023).

[8] Bennett Jones, Share Swaps and Break Fees: ASC Decision Provides Guidance on Break Fees and Disclosure of Swaps; McMillan LLP; A Look at Some Key Findings by the Alberta Securities Commission in *Re Bison Acquisition Corp.*

[13] See R.C. Clark, "Vote Buying and Corporate Law" (1979), 29 *Case West Res. L. Rev.* 776; 2013 Canadian Proxy Contest Study, Fasken Martineau, in general. It would appear that a proxy is not treated as a security, and, were a price to be put on proxies and a market made in same for monetary consideration, an offer for same would not constitute a takeover bid notwithstanding

commentators have argued for the validity of this strategy, its legal status remains ambiguous, particularly in Canada, in the absence of relevant authority.[14]

20:15. Shareholder Constituencies

Before initiating a contest, a dissident will typically need substantial information concerning the composition of the shareholder body of the corporation with regard to: numbers and geographic distribution; constituencies and the identification of significant non-registered beneficial owners; institutional shareholdings; big blocks and their owners; and the shares held by management and parties related to them.[1] Not only may the issues which will appeal to different constituencies vary, but the manner of dealing with them and seeking their support will also vary. While every vote counts, particularly in a close contest, the larger the block the more valuable it is in achieving a majority and the more time may need to be expended in seeking its support.

Major shareholders need to be contacted to ascertain potential support and to identify potential obstacles. The dissident should be prepared to contact a maximum number of shareholders personally, including visiting institutional and other key holders. Such shareholders

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the votes attached thereto.

14

Early U.S. cases cast doubt on this approach. Vote buying arrangements have been prohibited in some states. New York Business Corporation Law, McKinney's Consolidated Laws of New York, 1986 (Minneapolis, Minn.: West Publishing Co., 1986), section 609(e) states: “A shareholder shall not sell his vote or issue a proxy to vote to any person for any sum of money or anything of value” except where pursuant to a voting agreement or, in some cases, irrevocable proxies. In Macht v. Merchants Mortgage & Credit Co. (1937), 194 A. 19 (Del. Ch.), obtaining deposits of shares induced by the payment of money was held contrary to public policy and in fraud of other shareholders. The subject votes could not be cast. The purchase of voting rights was also held void as against public policy in Chew v. Inverness Management Corp. (1976), 352 A. 2d 426 (Del. Ch.), a case involving cash payments for irrevocable proxies. Courts may also enjoin the voting of shares purchased with money borrowed by an officer from the corporation in order to perpetuate control (see Atterbury v. Consolidated Coppermines Corp. (1941), 20 A. 2d 743 (Del. Ch.)). More recently, however, in Schreiber v. Carney (1982), 447 A. 2d 17 (Del. Ch.), where a corporation made a loan to a major shareholder otherwise reluctant to approve a reorganizational merger because of a tax problem, the court held that, insofar as the loan was approved by a majority of shares other than those held by the shareholder, vote buying was acceptable and cured by shareholder approval. See also Wincorp Realty Investments Inc. v. Goodtab Inc., Del. Ch., No. 7314, 13 October 1983, WESTLAW 1983 WL 8948 (unreported). While agreements transferring voting rights without ownership are not *per se* illegal (see, for instance, §21:18 on voting trust agreements), where the purpose is not to defraud or disenfranchise other shareholders, judicial concern has been expressed that there be some justification for the agreement other than a mere intent to purchase voting rights, and that the arrangement be subject to a test of intrinsic fairness.

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Aranow & Einhorn, at 29.

expect to play a central role in any contest and, thus, will most likely anticipate contact by the principals. In the case of smaller shareholders, in addition to receiving the mailed circular, they will likely be contacted either by a member of management or by an employee of the corporation, or, where one has been retained, by a professional proxy solicitor, such as an investment dealer representative.

An increasingly significant division is that between private investors and institutions, the latter of which hold a growing percentage of the shares of public corporations. In some ways, the concentration of voting power in the hands of institutions can make the assemblage of the necessary blocks easier for contestants.

Canadian institutions have generally taken large stakes in corporations without demanding a comparably significant role in management.[2]

As discussed in Chapter 17, the so-called Wall Street Rule is not as automatic as it once was. With the growing size of institutional investors and their domination of the market has come an increasing difficulty with liquidity. Institutions such as public and private pension funds, mutual funds, insurance companies, banks and trust companies can no longer sell out of a position in a corporation whose management or policy they disagree with without adverse effects on the stock price. Neither is it always simple, especially in a small market like Canada's, to find a ready substitute position. Fiduciary obligations also bind institutions to seek to enhance returns.[3]

Unlike in the past, funds may now find it worthwhile to review materials, consider shareholder proposals, and even vote against corporation management where this maximizes value. In the case of large funds, such as those buying on an indexed basis, it may be difficult to deal in detail with each circular, and, at least in non-controversial situations, some may adopt

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With the possible exception of the ~~Caisse de dépôt et placement du Québec~~Caisse de dépôt et placement du Québec. A research study prepared by the Canadian Institute of Chartered Accountants in 1997 established that of the corporations comprising the TSE - 300 index, 45% had a 20% plus shareholder and 21% had a 50% plus shareholder. The comparable U.S. statistics based on the S & P index were 16% and 2% respectively. See K.G. Ottenbreit and J.E. Walker, "Learning from the Delaware Experience: A Comparison of the Canada Business Corporations Act and the Delaware General Corporation Law" (1998), 29 Con. Bus. L.J. 364, 367 n. 7 and P.S. Rao and C.R. Lee-Sing, "Governance Structure, Corporate Decision-Making and Firm Performance in North America" in Corporate Decision-Making in Canada (Ottawa: Ministry of Supply and Services, 1995).

3

The voting of shares by a fund may affect the value of the shares held as assets and, therefore, constitute part of the discretionary management thereof and attract fiduciary duties and consequent liabilities where, for instance, the plan manager follows a direction issued by management. (M. Klevan, "Fiduciary Duty and Proxy Voting" (1988), 7 *Ann. Rev. Bank. Law* 229.) The U.S. Department of Labor, in a January 1990 letter to Institutional Shareholders' Services, stated that ERISA requires pension fund managers to vote proxies and to do so in accordance with the best interests of plan participants and beneficiaries (P.W. Richter, Proxy Contests Handbook (New York: Clark Boardman Ltd., 1990) ("Richter"), at introduction to 6).

voting guidelines for use by employees. As their holdings grow, so does the likelihood that institutions will seek changes in their own particular interest.[4]

20:16. Dissident Groups

While contests tend to be led by one or a few shareholders, or by other interested persons, dissidents may consider creating a shareholders' protective committee or similar group to broaden the base of support, involve additional significant shareholders and identify them with the cause. An appeal by a single shareholder could appear self-interested and, especially on the grounds of motivation, vulnerable. A shareholders' committee may project an appearance of formality, organization and disinterest (or non-self-interestedness). As a practical matter, however, it may be difficult to convince persons with desirable qualifications to agree to serve. Where a proxy contest becomes a common effort, consideration should be given to formalizing in writing matters such as voting arrangements, control over the conduct of the contest, the division of expenses, indemnifications, stock dispositions and the nomination of slates.

F. Timetable

20:17. Generally

The preparation for a contest will require extensive time and effort. A detailed, comprehensive and practically-achievable timetable should be prepared which assigns responsibilities and provides for a reasonable amount of time for compliance with all regulatory and stock exchange requirements and the taking of every step in the process, including the preparation, filing and mailing of materials, and the identification and contacting of shareholders. Time must be allowed for the preparation of materials, from draft stage, through review, to printing and mailing.[1] In Canada, unlike in the U.S., there is no need to factor in the regulatory

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T. Gilroy and S.J. Nelson, “The Reactions of Institutional Investors to Shareholder Initiatives and Management Defensive Proposals” in Eppler and Gilroy, at 959 et seq. The involvement of institutional shareholders is likely to be a key element in any further development of the proxy contest as a control or corporate governance policy tool. Recent history in the U.S. has indicated the willingness of such investors to become involved in contests dealing with shareholder proposals. Institutions, particularly those in the public sector, have also become actively involved in initiating reforms of the proxy system itself.

The list of issues raised by institutional investors include:

(a) the separation of the office of the CEO and chair;

(b) the creation of the position of “lead director”, an independent director designated to lead certain matters of business such as the evaluation of the CEO and ownership issues such as changes of control.

(c) the payment of board members in stock and the elimination of outside director pension plans;

(d) the structural elimination of poison pills and staggered boards;

(e) non-management director composition of the principal oversight committees: audit, compensation and nominating.

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Aranow and Einhorn, at 17, mentions three months as a minimum period for a contest, although

review and preclearance of proxy materials; under the multijurisdictional disclosure system, Canadian issuers with securities registered under the *1933 Act* are no longer required to clear materials. Ideally, all documents should be drafted prior to the launch of the contest. Potential delays must be factored into the process, including any caused by litigation. The most practical method is generally that of working backwards from the meeting date.

Consideration must be given to the timing of the dissident's activities relative to those of management: is it wiser to be the first to appear or is it better to wait? Depending on the type of meeting proposed to be held, it is sometimes wise for the dissident to delay announcement of the contest until after the meeting and record dates have been set in order to prevent these from becoming a source of contention, or, indeed, to wait until management has mailed materials without knowledge of a contest, although shareholders may already have automatically returned proxies. Where a dissident so waits, he or she should be prepared to move quickly thereafter. Whenever a dissident does the mailing, even if the dissident cannot be the first to get the message across, he or she should strive wherever practicable to be the last to be heard by shareholders in order to obtain the maximum number of revocations of management proxies. In the U.S., during the so-called build-up period prior to the mailing of proxy materials by an issuer, dissidents may declare their positions, and management and/or the dissidents may sometimes send fight letters out to shareholders prior to the provision of the actual circulars which set out, or defend against, challenges to management. Such a preliminary communication would probably be treated in Canada (as in the U.S.) as the first step in an actual solicitation, and therefore subject to the proxy regulations.[2]

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circumstances clearly vary. An often-cited counter-example is that of Alan Clore, a British investor, who carried out a successful contest within 18 days after the accumulation of a 15% stake in Gulf Resources and Chemical Corp. in advance of its annual meeting (M. Lipton and E.H. Steinberger, Takeovers & Freezeouts (New York: Law Journal Seminars-Press, 1989) ("Lipton and Steinberger"), at §1.06(6)).

2

Aranow & Einhorn, at 230 et seq.
Since 1992, the SEC has had a policy of not reviewing "fight letters", which opens up the possibility of paring down the proxy statement which is still reviewed and saving the argument and advocacy for persuading shareholders for the fight letter.
In October 1992, the SEC changed its rules eliminating the need for filing fight letters prior to use. Under Rule 14a-~~6(6)~~12(b) under the 1934 Act, fight letters need only be filed or mailed for filing with the SEC on the same day as they are first published, sent or given to shareholders. A fight letter may also be sent to shareholders before they receive the proponent's proxy statement as long as the fight letter is deemed a solicitation in opposition under Rules 14a-1(l~~o~~) and 14a-12(b-c). The view taken by the SEC was that in place of regulatory oversight, the parties themselves should be free to reply to statements in a timely and cost effective manner, through the dissemination of contrary soliciting material.
They are still subject to Rule 14a-9 where false or misleading; for instance, where (i) predictions are made as to specific future market values; (ii)~~~~ material is produced that directly or indirectly impugns character, integrity or personal reputation, or directly or indirectly makes charges concerning improper, illegal or immoral conduct or associations, without factual foundation.~~there are personal attacks on character or reputation~~; (iii) there is a failure to identify a proxy

To overcome management's control of the corporate calendar, including control of the timing and length of the solicitation, record dates, *etc.*, consideration may be given to the requisition of a special meeting. Such meeting may be called to remove the incumbent board and elect a new slate without waiting for the next annual meeting. The timing may be propitious from the viewpoint of shareholder discontent. Aa dissident may have lost a contest by a narrow margin and may wish to launch a new challenge without delay. Aa special meeting also provides the means to avoid a classified board of directors: the incumbent directors may all be removed at once and a new board elected.

G. Matter of the Contest

20:18. Framing the Issues[1]

Proxy contests may be used to achieve a number of objectives. These may include the furthering of a takeover bid strategy, changing the composition of the board, seeking to promote or defeat a significant corporate transaction (such as a going private transaction or a related party transaction governed by OSC Policy Statement No. 9.1Multilateral Instrument 61-101),[2] affecting poison pills and resolving corporate governance issues.

There is an obvious need from the outset to select and formulate the significant issues to be raised and addressed during the contest. Insurgents' issues may include the following:

(1) composition of the board;

(2) shareholder proposals, in particular those concerning corporate governance issues;[3]

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statement, form of proxy and other soliciting material as to clearly distinguish it from the soliciting material of any other person or persons soliciting for the same meeting or subject matteraccusations of illegal, improper or immoral conduct or associations; or (iv) implying that the fight letter was sent by the opposition; or (v) claims are made regarding the results of the election prior to the meeting.prior to a meeting regarding the results of a solicitation.

See S.N. Gofman and J.K. Baer, "Proxy Contests -- Fight Letters: An Effective Tool in Proxy Contests" Insights vol. 10, no. 5, May 1996, at 12.

1

See R.C. Lewis and H.L. Harris, "Shareholder Pressure" in Block and Pitt, vol. 1, at 91 et seq.

2

"Disclosure, Valuation, Review and Approval Requirements and Recommendations for Insider Bids, Issuer Bids, Going Private Transactions and Related Party Transactions" (1991), 14 *O.S.C. Bulletin* 3345.

3

Including increased representation of shareholder constituencies, independent directors, nominating or other shareholder advisory committees, executive compensation (particularly in relation to severance arrangements, known euphemistically as golden parachutes), cumulative voting, directors' stock ownership, confidential voting, greenmail prohibition, rescission or revision of poison pills, opting out of state takeover statutes, etc. The U.S. concept of greenmail has not arisen to a significant degree in Canada, in part by virtue of the fact that a reporting issuer repurchasing shares held by a potential bidder would generally be involved in an issuer bid and required by *OSA* s. 95National Instrument 62-104 to extend an offer on equal terms to all

(3) maximization of shareholder values, whether with regard to the market or asset values;
(4) tender offers;
(5) corporate defensive mechanisms, including redemptions of pills;
(6) liquidations, sales or other restructurings;
(7) changes in corporate policy to address, among other things, financial performance;
(8) management entrenchment or compensation;
(9) selling or liquidating the corporation or a subsidiary;
(10) accepting or rejecting a proposed business transaction;
(11) below book-value market price;
(12) level of incumbent management's equity ownership;
(13) absence of corporate strategy through management incompetence or lack of imagination;
(14) earnings;
(15) dividends;
(16) shareholder dissatisfaction.[4]

In framing the issues, one must keep in mind the audience to whom one is appealing. Any issue should be meaningful to professional investors and analysts, the media and the general shareholder body. The issue should, when possible, be economic in nature and offer potential benefits to other shareholders. Often, a contest over corporate governance, management, entrenchment, anti-takeover measures or other similar issues may prove more successful than an election contest or change in management. Institutional and other shareholders still side presumptively with management, and, in the absence of exceptionally poor performance or a very strong opposition slate, it may be easier to gain a vote for an idea, especially one fostering an investor's self interest. One should also look to other constituencies which may be hurt, such as employees or the local economy.

Management is well advised to try to prevent insurgents from framing the issues. In a proxy contest, the initial assault is often launched by the insurgents, with management being put on the defensive from the outset.

A defensible factual basis for the raising of issues must be present, not only from the viewpoint of potential liability or injunctive relief, but also from the viewpoint of credibility in the eyes of shareholders. This will often require research as well as extensive financial analysis. Dissidents may seek to identify issues by reviewing the corporation's books. Shareholder rights of access are in this instance more restricted than in the case of shareholders' lists.

20:19. Control Contest/Slate

When a contest is launched to change board composition, care in selecting the dissident's

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shareholders.

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Significantly, a Georgeson & Company Inc. study found that, in proxy contests surveyed from October 1984 to September 1990, control of the board was the contested item in 56.3% of the cases, minority representation in 29.7%, shareholder proposals in 6.3% and management proposals in 6.3%. See J.C. Wilcox “Institutional Activism and Proxy Reform” in Proxy Contests and Shareholder Activism in the 1990s (Toronto: Insight, 1991).

slate of nominees is crucial. Potential nominees need to be considered on the basis of electibility, attractiveness to key shareholder constituencies, willingness to work with the dissident, any potential common goals or management philosophy, business and professional achievements, sensitivity to shareholder concerns, and integrity, reputation and standing within the business community. It is necessary to identify significant shareholders, shareholder groups or other shareholder constituencies with a view to including such persons or representatives thereof on the nominee slate. Potential nominees must also be gauged as to any potential liabilities, and ability to respond to and withstand criticism and challenges to their ability, experience, history and integrity.

Qualified persons may, however, be concerned about the potential for damage to their reputations and contacts in a hostile contest situation. This will likely have a negative impact on the number of persons willing to serve.

Consideration should be given to the role which will be assumed in the contest by the nominees themselves, and whether they will participate in the solicitation. Legal representation, and even indemnification, of nominees may be desirable.[1]

20:20. Management Issues

Parties to a contest must analyze the other side's and their own vulnerability to attack as well as potential responses. Dissidents must be conscious of their own weaknesses, especially where the fight becomes one of reputation and personality rather than economic self-interest. Dissidents often lack operational or any other kind of experience in the target's business. Their plans for the target are also commonly a focus of criticism.

H. Team

20:21. Introduction

A well-prepared, experienced and organized team to prepare, plan and execute the contest is often a significant factor in success, whether aligned on the offensive or defensive side. A team must be assembled as soon as possible before the commencement of the contest.[1] The efforts of the various team members must be co-ordinated, and respective responsibilities clearly settled.

20:22. Legal Counsel[1]

Lawyers generally direct and co-ordinate the conduct of the contest. They are responsible for strategy and forward planning, offensive and defensive measures, framing issues and overall organization. In larger corporations, both in-house and outside counsel will likely be involved.

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K.J. Bialkin, “Proxy Contests” (1983), 15 *Annl. Inst. on Sec. Reg.* 841 *(“Bialkin”)*, at 853-54.

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In the case of management, consideration might be given to having a team on the ready whether or not a dissident has declared its intentions.

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See, in general, K. Eppler, “Use of Professionals in Proxy Contests and Solicitations” in Eppler and Gilroy, 581 et seq.

Especially in the case of regulated industries, specialized counsel may also be employed in addition to regular outside counsel. Counsel are needed to ensure compliance with securities and corporate legislation and with regulatory requirements. Counsel will usually prepare the timetable, draft the circular, and prepare related documentation and filings as well as other shareholder communications. They will commence or respond to contest-related litigation. With respect to the latter, insofar as most such litigation is of an injunctive and preliminary nature, the need for a quick response and adequate human resources is clear.

20:23. Proxy Solicitors

Professional proxy solicitation companies[1] provide a number of services useful to either management[2] or dissident proxy contestants. By virtue of their specialized expertise, such companies may be the most qualified in the distribution of materials and in the solicitation and collection of proxies. While occasionally employed by corporations to assist in getting the vote out in uncontested situations where certain quorum or approval levels must be attained, these companies primarily perform the function of contacting shareholders and convincing them to deposit their proxies and complete the relevant instructions thereon in favour of the faction employing them. They also provide unsolicited advice to persons completing proxies or revocations via a toll free number.

Such firms possess the human and technology resources necessary to contact large numbers of shareholders, and may have experience and access to data regarding broker and clearing agency positions. Such organizations can systematically reach major and minor holders (registered and, especially, beneficial) and can survey the attitudes of various constituencies. In an increasingly sophisticated manner, they are able to provide advice regarding the potential for success. While solicitors will contact the bulk of small holders, they should usually not make the most crucial calls, which require special attention. Proxy solicitation firms will divide the shareholder list into various apparent constituencies and geographical locations. In particular,

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Such as ~~Shareholder Communications Canada,~~Georgeson, 320 Bay Street, 14th Floor, Toronto, ON M5H 4A6, Canada ~~T.D. Bank Tower, Suite 5210, Toronto Dominion Centre, Toronto, Ontario~~ (416) ~~862~~981-~~9663~~8088; Kingsdale Advisors 120 Front St E, Toronto, ON M5A 1E3 ~~Georgeson & Company Inc., Wall Street Plaza, New York, N.Y. 10005,~~ (416~~212~~) ~~644~~344-~~4031~~4600; The Carter Organization Inc., 237 Park Avenue, New York, N.Y. 10017; Laurel Hill Advisory Group~~D~~, 70 University Ave. Suite 1440 Toronto, ON M5J 2M4~~.~~F (416) 637-4661.~~ King & Co. Inc., 77 Water Street, New York, N.Y. 1005, (212) 269-5550~~; Sodali~~Morrow~~ & Co.~~ Inc.~~, 430 Park Avenue, 14th Floor New York, NY 10022~~345 Hudson St., 8th Fl., New York, N.Y. 10014~~ (212) 300-2470; Carson Proxy Advisors, 120 Adelaide St. West, Suite 2500 Toronto, Ontario M5H 1T1 (416) 804-0825~~. Georgeson & Co. has recently purchased Shareholder Communications Corp. (which had previously also acquired proxy solicitations firm Kissel-Blake Inc. and Canada's Proxy Solicitation Company Ltd.) and continues under the new name Georgeson Shareholder Communications Inc.~~

2

The right of management to retain professional proxy solicitors at the corporation's expense was raised but not decided in Hand v. Missouri-Kansas Pipe Line Co. (1944), 54 F. Supp. 649 (D. Del.).

they may be familiar with institutional shareholders, and may have views as to the best advance to be made, the best approach and the likely attitude to be taken by certain shareholders. They will keep a running tally of the proxies which have come in, and may identify developing trends and, particularly, weaknesses which it may still be possible to address. A proxy solicitor will need to be thoroughly conversant with the workings of National Instrument 54-101.[3] Such firms might be kept on a retainer to allow them to become familiar with the corporation and its shareholders. They may also be responsible for monitoring the purchase and sale of shares below the statutory reporting requirements.

The use of proxy solicitors is to date much more widespread in the U.S. than in Canada, but it is growing. This use can mean the difference between success and failure. In the U.S. in particular, contestants may hire more than one firm in order for each to cover a particular geographical area or, indeed, in order to take the limited number of such firms out of play. Proxy solicitors are not subject to regulation.[4] Disclosure should be made in the circular as to the use of professional solicitors and their remuneration (fees and disbursements) and any other material terms thereof.[5]

As a third party provider of services in a contested situation, a proxy solicitor may seek indemnification against potential litigation.

20:24. Public Relations

Given the ~~occasional~~ significance of the public presentation of a proxy contest, the importance of effective framing of the issues, and the effect which accusations and media portrayals may have on the outcome and on the market for the corporation's shares, in some instances it is advisable to employ professional public relations personnel. Public relations firms will not always prove valuable and are almost always expensive. They can assist in the preparation of appropriate solicitation materials, and in efficient access to the media and use of the press for the purposes of publicity. They may prove helpful in presenting a contestant's story to the shareholders, the true audience in any contest, and, where appropriate, to other constituencies and the public as well. Dissident shareholders often have to depend significantly on their ability to raise their profile and identify their aims, and on the dissemination of publicity adverse to management, which generally has several advantages with regard to corporate

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As well as with the NOBO system in the U.S. and Broadridge Investor Communications, which acts as the proxy department for brokers and banks, inconvenience the U.S.

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N.I. Koether, R.J. Schechter and M.J. Kaplan, “Is There a Level Playing Field in Proxy Contests?: A Contestant's Advantages and Disadvantages” in Eppler and Gilroy, at 899 et seq.SEC Rule 14a-6(c~~d~~) *(1934 Act)* provides that any written instructions or similar materials furnished to professional solicitors be filed with the SEC, although it appears that in general such instructions tend to be oral, and solicitors are cautioned to restrict themselves to information appearing in the circular and to not deliver supplementary written materials to the shareholders.

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OBCA Reg. s. 30, para. 5, s. 33, para. 2; *CBCA Reg.* ss. 35(d), 38(b); *OSA Reg.* Form 30, Item 2(c).

information and shareholder communication.

20:25. Accountants

Accountants may assist in framing and substantiating dissident financial issues, responding to management defence of its results, and analyzing and advising with respect to the financial matters that are often at the core of a contest. An issuer's accountants may be helpful in preparing shareholder communications and in responding to dissident challenges to management performance.

20:26. Investment Bankers and Advisers

Investment bankers and similar financial advisers may provide advice and, where required, help to obtain financing for the contest. They may assist in analyzing stock and financial and operational successes and weaknesses (both from a corporation and a sectoral viewpoint), in considering and formulating plans for rectifying these and in reviewing and advising on management plans. Investment dealers may also be retained to solicit proxies in place of or alongside a professional proxy solicitation company.

20:27. Private Investigators

Private investigators may be employed for the purpose of investigating matters to be used against opponents, such as past misdeeds or personal problems. This technique is more commonly used in the U.S. than in Canada.

20:28. Scrutineers and Proxy Tabulators

Arrangements need to be made for the collection, review, tabulation and safekeeping of proxies as they are deposited. Depending on the volume of documentation, it may be preferable to retain a trust company or corporate services firm to carry out this task as well as the mailing or other delivery of documents, rather than tying up management or dissidents. Because a relatively small number of companies carry on this type of business in Canada, their employees will have a wealth of practical knowledge to draw on. They will be needed to provide an ongoing tabulation of the proxy count in order to identify the successes and weaknesses of the campaign, and to enable responses to be keyed thereto. In Canada, this task is generally performed for the corporation by its registrar and transfer agent, who then usually provides a scrutineer at the contested meeting. Because it may be called upon to make certain contentious rulings (and for other reasons), the transfer agent may wish to retain separate counsel.[1] The dissident may employ a proxy tabulator to collect its proxies, but at some point will need to deliver its proxies to the corporation. One of the key advantages which management enjoys in a contest is its access to information tabulated by the transfer agent regarding proxy voting instructions, including the identification of the voting intentions of key swing blocks.[2] There is thus no level playing field,

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In the U.S., such persons may be reluctant to act in a potentially litigious contest situation (K.J. Bialkin, “Proxy Contests” (1983), 15 *Annl. Inst. on Sec. Reg.* 841 *“Bialkin”)*, at 856).

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Some commentators have argued for confidential voting or independent tabulation procedures that would take the collection of proxies out of the hands of management. To the contrary, one might argue that directors, being subject to a fiduciary duty, should have access to the full range

although the dissident will have its own collected proxies from which to gauge reaction.

20:29. Printers

Solicitation materials, including at least a circular and likely a form of proxy, will need to be printed, and, depending on the volumes, this will usually be done by a commercial printer. It is necessary to identify the number of sets and the recipients, and to arrange the mailings and other deliveries of materials, including according to ~~the National Policy Statement No. 41~~National Instrument 54-101 ~~system~~. Mailings may also be made directly to beneficial holders, where identifiable, and to analysts and the press.

20:30. Management and Employees

A target corporation's management provides a key resource in the development of a strategy, the collection of information and the solicitation. The board or a duly empowered committee must be available. Where the corporation has established an investor relations department, the persons in this department perform a significant function due to their ongoing familiarity with major shareholders and the registrar and transfer agent. A target corporation's own management and employees may have a long-term relationship with shareholders, and may thus be able to identify uncommitted blocks on which professional solicitors can build. Where necessary, employees may be called upon to receive, examine, collate and tabulate proxies, communicate with professional solicitors and other members of the team, solicit proxies, reply to shareholder and other inquiries, and make and receive telephone calls to and from shareholders, brokers, analysts, the press and others. Management can look to employees to perform tasks without the incremental costs incurred by insurgents. A still outstanding issue is the extent to which corporate facilities and employees can be utilized for the purposes of entrenchment.

I. Solicitation Materials

20:31. Generally

While the circular is the principal proxy solicitation document, along with the form of proxy, it is unlikely to be the only or last word, and further communications often follow. These may take the form of letters to shareholders, newspaper advertisements, and announcements and press releases. Typically, such documents address the issues in the contest, both responding to charges of the opposition and making further arguments against the opposition. The key focus of such communications is the desire to obtain the latest dated proxy from shareholders. Shareholders who automatically sign proxies without due consideration may sign each one sent to them in turn with apparent disregard for the consequences, or may be swayed by the last faction addressing them. Follow-up letters, often accompanied by a fresh proxy, exhort shareholders to revoke any contrary proxies. While potentially duplicative, this provides proxies to those who have not yet remitted proxies or who have remitted contrary ones.[1]

As discussed in Chapter 14, under the *OBCA, CBCA* and relevant provincial securities

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of the business and affairs of the corporation and, as long as they do not abuse their duties, should not be impaired.

[1] Aranow & Einhorn, at 230-35. See Ch. 14 with respect to the definition of ~~-~~"solicitation".

legislation, there is no requirement for the pre-clearance of the circular or other solicitation materials. The use of any non-circular materials may be subject, however, to the statutory solicitation requirements. Once a circular has been duly prepared and distributed by a dissident (or the corporation) and appropriately filed, it appears that further materials may be provided without compliance with any specific statutory requirements, although one would assume subject to the no-misrepresentation standard. Also, as previously discussed, there is no express statutory provision under the *OBCA, CBCA* or relevant provincial securities legislation for the amendment of a proxy circular previously delivered.

In the U.S., the filing requirements with respect to solicitation materials are more rigorous, and insurgents will in general file with the SEC preliminary proxy materials, which often include a fight letter providing information with respect to the dissidents, their slate and any proposal to be made by them.[2] SEC Rules include particular provisions governing solicitations applicable to election contests.[3]

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M. Strom and D.D. Burns, "Proxy Contests and Consent: Solicitations in the United Stat~~es~~" in Shirriff and Longford, at C-5 ("Strom and Burns"). While the filing itself is not publicly available, a close watch over SEC filings may reveal a potential challenge: where a change in intention occurs, including the decision to launch a contest, an amendment to the Schedule 13D *(1933 Act)* filing needs to be made Once dissidents' materials have cleared, management will likely respond. Additional solicitation materials will need to be filed with the SEC at least two days prior to use. Should the SEC decide to review and comment, the waiting period may be extended.

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SEC Rule 14a-11 *(1934 Act)*; K. Eppler and M. Klein, "Overview of The Proxy and Consent Solicitation System as It Applies to Solicitations and Contests Involving Corporate Control Issues" in Eppler and Gilroy, at 18; E.B. Crosland, Jr. and A. Schick, "Proxy Contest Considerations Under United States Law" (1990), 5 *Butt. J. of Intl. Bank, and Fin. Law* 112. Participants are generally required under SEC proxy rules to comply with the filing and disclosure requirements of Regulation 14A, and soliciting materials must be filed with the SEC, typically no later than the date on which the solicitation commences. These requirements call for extensive information with respect to participants, who may therefore be required to collect the necessary information well in advance of the proposed solicitation. The definition of "participants" is broad and involves the corporation, directors and nominees, any group or committee soliciting proxies and any member thereof who, whether alone or with others, directly or indirectly, takes the initiative or engages in organizing, contracting for, directing or arranging the financing of any committee or group, and any person who finances the solicitation.~~Participants are required to file a Schedule 14B with the SEC and any relevant stock exchange at least five days in advance of commencing the solicitation. This schedule requires extensive information with respect to participants, who may be required to collect the necessary information well ahead of the proposed solicitation. The definition of "participants" is broad and involves the corporation, directors and nominees, any group or committee soliciting proxies and any member thereof who, whether alone or with others, directly or indirectly, takes the initiative or engages in organizing, contracting or arranging for the financing of any committee or group and anyone who finances the solicitation.~~

J. Calculation of the Chances of Success

20:32. Generally

Dissidents must take a realistic view of their chances of success. Any analysis of the potential outcome will attempt to identify voting constituencies, significant shareholdings and historical voting patterns, as well as looking to similar contests involving similar companies. To a greater extent than before, at least in the U.S., experienced proxy solicitation companies utilizing computer models and applying their knowledge of past voting patterns are able to forecast the outcome of a contest. Now, with the prevalence of the institutional vote, it may be easier to predict how the vote will go. Essentially, one must identify the quorum requirements and the number of votes required for approval, and then analyze where these will come from.

III. Management Position[1]

A. Management Responses

20:33. General[1]

When confronted with a prospective proxy contest, management may respond in a number of ways: by simple denial of dissident demands, by formulating its own responsive or pre-emptive proposals, by sidestepping the issues raised, by offering a compromise solution or seeking direct negotiations, or by attempting to change the battlefield by discrediting the dissidents through an attack on their credentials or by questioning their good faith, credibility or intentions. It may be preferable for management to take active and positive steps.

Management should weigh carefully the potential impact of the dissidents, their chances for success and alternative methods through which dissidents might be given part or all of their demands, and, in that light, consider the alternative of settling with them. This manner of resolution depends on the issues involved, being less likely in a situation where simple outright control is sought rather than, for instance, a relatively neutral change in corporate policy. Even where management ultimately succeeds, a contest has costs for the corporation in terms of negative publicity and expenditures of money and management time. Management's ability to continue may be compromised by the very existence of an overt challenge and a potentially large dissatisfied constituency. For this reason, in a number of cases management victories have been followed by the effecting of all, or a portion or a variation of, dissident proposals.

20:34. Directors' Duties

Management and board actions in response to a proxy contest must not be taken, or appear to be taken, "principally to entrench control in incumbent management or board

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See, in general, R.F. Balotti and J.A. Finkelstein, "Defensive Strategies in Proxy Contests" in Block and Pitt, vol. 1, at 123 et seq.; Aranow and Einhorn, Ch. 1, s. 2.

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See, in general, L.A. Hamermesh, "Defensive Techniques in Proxy Contests" (1990), 23 *Rev. of Sec. & Comm. Reg.* 93; R. Balotti and J. Finkelstein, "Defensive Strategies in Proxy Contests", in Block and Pitt, vol. 1, at 123 et seq.

members, and should otherwise comply with applicable law"[1] Directors are subject to the dual fiduciary duties of loyalty--which obliges them to "act honestly and in good faith with a view to the best interests of the corporation"--[2]and of care--which entails the exercise of "the care, diligence and skill that a reasonably prudent person would exercise in comparable circumstances".[3] The latter may include reliance on expert persons.[4] Canadian courts have tended to presume compliance, generally demonstrating reluctance to substitute their judgment for that of directors acting deliberately and disinterestedly.[5] The principles applied by Canadian courts are generally analogous to those of U.S. courts and to that of the business judgment rule,

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See, in general, G.W. Voorheis, "Fiduciary Duties--Selected Difficulties" in Shareholder Remedies (Toronto: Insight, 1990); R.K. McDermott, "Directors' Fiduciary Duties in the Face of Take-Over Bids: A Practical Framewor" (1989), 4 *S.C.R.R.* 274; F. Iacobucci, "Planning and Implementing Defences to Take-Over Bids: The Directors' Role" (1980), 5 *Can. Bus. L.J.* 131; M. St. P. Baxter, "The Fiduciary Obligations of Directors of a Target Company in Resisting an Unsolicited Takeover Bid"" (1988), 20 *Ott. L. Rev.* 63; Committee on Corporate Laws (American Bar Association), "Guidelines for Directors: Planning for and Responding to Unsolicited Tender Offers" (1985), 41 *Bus. Law.* 209; J.H. Farrar, "Business Judgment and Defensive Tactics in Hostile Takeover Bids" (1989), 15 *Can. Bus. L. J.* 15.

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OBCA cl. 134(1)(a); *CBCA* para. 122(1)(a). This entails action which is disinterested and impartial as well as *bona fide*, based on a reasonable belief and for a reasonable business purpose. The best interests of the corporation means the best interests of the shareholders taken as a whole, and not as specific individuals or interest groups.Section 122(1.1) of the CBCA states "when acting with a view to the best interests of the corporation under paragraph (1)(a) the directors and officers of the corporation may consider, but are not limited to the following factors: (a) the interests of (i) shareholders, (ii) employees, (iii) retirees and pensioners, (iv) creditors, (v) consumers, and (vi) governments; (b) the environment; and (c) the long-term interests of the corporation".

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OBCA subscl. 134(1)(b); *CBCA* subspara. 122(1)(b).

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OBCA subs. 135(4); *CBCA* subs. 123(4).

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Teck Corp. v. Millar (1972), 33 D.L.R. (3d) 288 (B.C.S.C.); Olympia & York Enterprises Ltd. v. Hiram Walker Resources Ltd (1986), 59 O.R. (2d) 254, 37 D.L.R. (4th) 193 (Ont. Div. Ct.); Olson v. Phoenix Argus Industrial Supply Ltd. (1984), 26 B.L.R. 183 (Man. C.A.); *cf.* Exco Corp. v. N.S. Savings and Loan Co. (1987), 35 B.L.R. 149 (N.S.T.D.) People's Department Stores Ltd. (1992) Inc., Re, 2004 SCC 68 (*sub nom.* **Peoples Department Stores Inc. (Trustee of) v. Wise**), (*sub nom.* **Peoples Department Stores Inc. (Bankrupt) v. Wise**) BCE Inc., Re, 2008 SCC 69. (S.C.C.).

pursuant to which such courts refuse to override the judgment of directors where it meets certain minimal requirements.[6]

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It is presumed that, in making a business decision, directors act on an informed basis, in good faith and in the honest belief that the action was taken in the best interests of the corporation. That judgment will be respected in the absence of an abuse of discretion, and the burden lies on the challenging party to establish facts rebutting the presumption. Directors are confronted with an inherent conflict of interest during corporate control contests because of the spectre that they may be acting primarily in their own interests rather than those of the corporation and its shareholders. Consequently before the board is accorded the protection of the business judgement rule it must carry the burden of satisfying both a reasonableness and a proportionality test. Unitrin, Inc. v American General Corp. 651 A.2d 1361, 1373 (Del. 1995); Unocal Corp. v. Mesa Petroleum Co., 493 A.2d 946, 954 (Del. 1985). Directors are bound to inform themselves prior to taking a decision as to all material information reasonably available to them and, once being so informed, must act with requisite care and deliberation in discharging their duties. Directors are required to take an active role in negotiation and cannot be passive instrumentalities. A director must act in an informed and deliberative manner before submitting a proposal to shareholders and cannot simply leave to shareholders the decision to approve or disapprove the transaction. See Andrew R. Brownstein, "Developments in the Business Judgement Rule and Takeover Defense" in The Third Annual Public Company Forum: New Directions in Management, Financing and Shareholder Relations (Toronto:The Canadian Institute, 1990). See the discussion regarding the duties which may potentially be fixed on insurgent boards in John M. Olson, "The Fiduciary Duties of Insurgent Boards" (1992) 47 *Bus. Law.* 1011. What is critical is that the board be able to demonstrate that its business judgment was reasonable and adequately informed, consistent with the enhanced judicial scrutiny applied here.
In QVC Netwxuork Inc. v. Paramount Communications Inc. (1994), Del. Lexis 57, [1994] CCH Fed. Sec. L. Rep. P§§97,822; §98,063, the Delaware court granted a preliminary injunction concluding that the board of directors of Paramount could not render inapplicable to a proposed two-step acquisition by Viacom the shareholder rights plan and other anti-takeover structural mechanisms to permit that transaction to close without shareholders having the opportunity to consider the competing QVC bid. A stock option lock-up agreement for 19.9 per cent of the target's common stock was also enjoined as violating the board's fiduciary duties. "No shop" and other contractual provisions which purported to preclude the board from negotiation with rival bidders or seeking alternatives would not act to prevent the directors carrying out their fiduciary duties. The actions of directors in approving change or sale of control transactions were held subject to enhanced judicial scrutiny to ensure board action is reasonable, rather than subject to the business judgement rule. Directors bear a burden of proving that they acted on an informed basis to secure the transaction offering the best value reasonably available to shareholders: Meridith M Brown & Gaiy, W. Kubek, "The Paramount Duties of Directors" (1994) 8:3 *Insights* 2; Paramount Communications Inc. v. QVC Network Inc. 637 A. 2d 34 (Del. 1993); S.M. Beck, "Lessons from the Paramount Decision" (1994) 2 *Boardroom* 1. See Marshall Small, "Negotiating Delaware Merger Transactions" (1994) 27 *Review of Securities and Commodities Regulation* 29. The breach of the duty of care suffices to rebut the business judgment rule presumption. In Cede & Co. v. Technicolor, Inc. (1993), 634 A. 2d 345, 370 (Del. S.C.), the

Directors' duties in the face of a proxy contest appear in principle to be similar to those within the context of a takeover bid. Canadian courts have generally accepted that directors may oppose takeover bids that on reasonable grounds are believed to be contrary to the best interests of the corporation and its shareholders.[7] Since the *Teck* case, with the exception of the *Exco* case,[8] Canadian courts have tended to rely on the U.S. business judgment rule, with its

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directors of the target were held to have breached their duty of care, in the context of a negotiated arm's length tender offer and merger, by failing to inform themselves as required in Smith v. Van Gorkom, as to the fair value of the target's shares. The following facts were held by the court to indicate the failure to satisfy the duty of care:

(a) a prudent search for alternatives did not precede the merger agreement;

(b) no reasonable basis existed for the directors' assumption that a better offer from a third party could not be expected after a public announcement of the deal;

(c) most board members had no knowledge of the proposed sale before the board meeting approving the transaction and only a few had prior knowledge of the terms and of required side agreements;

(d) a lock-up was entered into with the CEO and another director;

(e) the board failed to satisfy obligations under Revlon v. MacAndrews & Forbes Holdings, Inc. (1986), 506 A. 2d 173 to take reasonable steps to become adequately informed before approving the transaction and failed to auction the company.

See G. Coleman, "The company is to be Sold -- What are the Directors' Duties?" (1994) 2 *Corporate Financing 57*. (See also the discussion in §§6:6 to 6:23.)

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Teck Corp. v. Millar (1972), 33 D.L.R. (3d) 288 (B.C.S.C.); First City Financial Corp. v. Genstar Corp. (1981), 33 O.R. (2d) 631 (H.C.); Olympia & York Enterprises Ltd. v. Hiram Walker Resources Ltd (1986), 59 O.R. (2d) 254, 37 D.L.R. (4th) 193 (Ont. Div. Ct.). Under Delaware law, a board has an affirmative obligation to determine whether an offer is in the best interests of the corporation and its shareholders, and to oppose offers which it reasonably believes to be inadequate; Unocal Corp. v. Mesa Petroleum Co., 493 A.2d 946, 954 (Del. 1985); Moore Corp. v. Wallace Computer Servs., Inc., 907 F.Supp. 1545, 1554 (D. Del. 1995); Unitrin, Inc. v. American General Corp. 651 A.2d 1361, at 1384 (Del. S.C. 1995); Ivanhoe Partners v. Newmont Mining Corp., 535 A.2d 1334, 1345 (Del. 1987).

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Exco Corp. v. N.S. Savings and Loan Co. (1987), 35 B.L.R. 149 (N.S.T.D.).

heightened standards in the case of takeover bids,[9] rather than on the U.K. proper purpose test.[10]

The currently applicable test appears to consist of the following elements: (1) that the board acted in good faith with reasonable grounds for believing that the takeover bid was not in the best interests of the corporation and its shareholders; (2) that the decision resulted from an informed business judgment (a reasoned consideration of all available material information and advice); and (3) that any defence undertaken was a reasonable response to the threat. The directors should be able to demonstrate the following: (1) the absence of improper purpose or illegality (such as entrenchment); (2) independence and impartiality; (3) that the bid was not in the best interests of the corporation and its shareholders; (4) compliance with the duty of care (showing advice as to and understanding of fiduciary duties, analysis and understanding of material information regarding the bid and its impact, professional advice and deliberation without undue haste); and (5) the reasonableness of any defence in relation to the threat.[11] It should be noted that the business judgment rule may not be applicable in all defensive circumstances, particularly where voting rights of shareholders are concerned.

Within the context of takeover bids there are regulatory constraints presented by stock exchange policies and ~~National Policy Statement No. 38~~National Policy 62-202.[12] National Policy 62-202 sets out the principles applied by securities regulators in reviewing defensive tactics and identifies types of measures that may attract scrutiny.~~National Policy Statement No. 38 provides certain matters which the board must take into account in considering defensive~~

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It was held in Unocal Corp. v. Mesa Petroleum Corp. (1985), 493 A. 2d 946 (Del. Sup. Ct.), with respect to the heightened business judgment standard in takeover situations, that for die business judgement rule to apply directors must be able to show reasonable grounds for the belief that a danger to corporate policy and effectivenes is posed because of another person's stock ownership, and, in addition, the defensive measures must be reasonable in relation to the threat posed. Directors are not obliged to abandon a deliberately corporate plan for a short-term shareholder profit unless there is clearly no basis to sustain the corporate strategy. Paramount Communications Inc. v. Time, Inc. 571 A.2d 1140, 1154 (Del. 1989).

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The latter assumes that board powers are granted for particular purposes and may only be exercised where the primary purpose, whether or not there is a subsidiary purpose as well, is that for which it was granted (Howard Smith Ltd. v. Ampol Petroleum Ltd., [1974] 1 All. E.R. 1126 (P.C.); Exco Corp. v. N.S. Savings and Loan Co. (1987), 35 B.L.R. 149 (N.S.T.D.).

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In Smith v. Van Gorkom (1985), 488 A. 2d 858 (Del. Sup. Ct.), the court held that the directors' responsibility to manage the corporation could not be transferred to the shareholders. Directors do not appear to be bound by precatory shareholder resolutions or proposals that they informedly disapprove of, and are not required to turn to shareholders in difficult situations where they do not believe a transaction is in the best interests of the corporation.

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“Take-Over Bids--Defensive Tactics.”

~~measures in the face of a bid.~~ In essence, the primary objective of takeover bid legislation is the protection of the *bona fide* interests of the shareholders of the target corporation, favouring neither side, while leaving the offeree shareholders free to make a fully-informed decision. No specific code of conduct has been prescribed in addition to directors' fiduciary duties. Target company tactics may come under scrutiny in certain circumstances.[13] These include: (1) the issuance or granting of options on, or the purchase of, securities of the target corporation (representing a significant percentage); (2) the sale or acquisition of, or granting of an option on an agreement to sell or acquire, a material amount of assets; or (3) entering into a contract or taking other corporate action not in the normal course of business.[9] The OSC declines to advise parties as to the propriety of any proposed action, except within the context of a meeting or procedure of which interested parties have been given notice.

Takeover bid defences may be divided roughly into pre-bid and post-bid categories. As in the case of takeover bids, preplanned strategies may reduce the risk of management being found to have failed to exercise reasonable judgment.[14] In addition, long-term business planning has been recognized as significant in the *Shamrock Holdings Inc. v. Polaroid Corp.*[15] and *Paramount Communications Inc. v. Time Inc.*[16]*cases.*

An oppression remedy, in the case of preventive measures adopted by directors of the target corporation, may lie in the face of an imminent takeover bid.[17]

In the U.S. at least, court scrutiny is heightened in contest situations,[18] and it appears that as one moves from an advance stage to one where a proxy contest is anticipated, or indeed pending, the level of scrutiny is increased. Directors and management have been held able to resist a proxy contest where, exercising their good faith and business judgment, they deem the

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In appropriate cases, prior shareholder approval of corporate action may allay concerns.

[9]National Instrument 62-202, ss. 1.1(4)(a-c),

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Moran v. Household International Inc. (1985), 500 A. 2d 1346 (Del. Sup. Ct.).

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Shamrock Holdings Inc. v. Polaroid Corp. (1989), 559 A. 2d 257 (Del. Ch.).

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Paramount Communications Inc. v. Time Inc., [1989] CCH Fed. Sec. L. Rep. §94, 514, 47 B.L.R. 252 (Del. Ch.); affd (1989), 571 A. 2d 1140 (Del. Sup. Ct.).

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See Sparling v. Southam Inc. (1988), 41 B.L.R. 22 (Ont. H.C.).

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Condec Corp. v. Lunkenheimer Co. (1967), 230 A. 2d 769 (Del. Ch.); Podesta v. Calumet Industries Inc., [1977-78] CCH Fed. Sec. L. Rep. §96,433 (N.D. Ill.); Royal Industries Inc. v. Monogram Industries Inc., [1976-77] CCH Fed. Sec. L. Rep. §95,863 (C.D. Cal.).

dissidents' aims inconsistent with the interests of the corporation and its shareholders.[19]

Delaware courts do not generally defer to the business judgment rule in instances involving the allocation of powers between shareholders and directors. Any measures which impact on the electoral machinery need to show a compelling justification. Within this context, two elements are crucial: (1) the extent to which this measure aids an orderly and informed vote, and (2) that to which it may impair the traditional ability to challenge directors. A board of directors facing a proxy contest may therefore not always enjoy the protection afforded by the business judgment rule, and the range of defensive options available may be more limited.[20] In *Aronson v. Lewis*,[21] the protection afforded by the business judgment rule was re-affirmed. In *Moran v. Household International Inc.*,[22] it was held that the business judgment rule was applicable to preplanned defensive strategies. In *Blasius Industries Inc. v. Atlas Corp.*[23] however, the court found the business judgment rule inappropriate in evaluating board actions primarily intended to interfere with voting rights and noted that the board bears the heavy burden of demonstrating a compelling justification for board action taken for the primary purpose of impeding the excessive stockholder voting power. U.S. courts have recently expressed concerns over detrimental effects on the franchise of shareholders.[24]

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M. I. Steinberg, "Fiduciary Duties and Disclosure Obligations in Proxy and Tender Contests for Corporate Control" (1981), 30 *Emory L.J.* 169; see also Panter v. Marshall Field & Co. (1980), 486 F. Supp. 1168 (N.D. Ill.); affd (1981), 646 F. 2d 271 (7th Cir.); cert denied (1981), 454 U.S. 1092; Treadway Co. v. Care Corp. (1980), 638 F. 2d 357 (2d Cir.); Johnson v. Trueblood (1980), 629 F. 2d 287 (3d Cir.); cert denied (1981), 450 U.S. 999 (U.S.); Unocal Corp. v. Mesa Petroleum Corp. (1985), 493 A. 2d 946 (Del. Sup. Ct.); Ivanhoe Partners v. Newmont Mining Corp., [1987-88] CCH Fed. Sec. L. Rep. §93, 503 (Del. Ch.); (1987), 535 A. 2d 1334 (Del. Sup. Ct.).

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2013 Canadian Proxy Contest Study, Fasken Martineau at 552, n. 78.

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Aronson v. Lewis (1984), 473 A. 2d 805 (Del. Sup. Ct.).

22

Moran v. Household International Inc. (1985), 500 A. 2d 1346 (Del. Sup. Ct.).

23

Blasius Industries Inc. v. Atlas Corp., [1988-89] CCH Fed. Sec. L. Rep §93,965, 564 A. 2d 651 (Del. Ch.).

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For instance, in Moran v. Household International Inc. (1985), 500 A. 2d 1346 (Del. Sup. Ct.); Aprahamian v. HBO & Co. (1987), 531 A. 2d 1204 (Del. Ch.); Phillips v. Insituform of North America Inc., Del. Ch., C.A. No. 9173, 27 August 1987 (unreported), cited in (1988), 13 Del. J. Corp. L. 774; Packer v. Yampol, Del. Ch., C.A. No. 8432, 18 April 1986 (unreported); although, *in*Paramount Communications Inc. v. Time Inc., [1989] CCH Fed. Sec. L. Rep. §94, 514, 47

B. Inherent Advantages of Management

20:35. Generally

In any proxy contest, management enjoys certain advantages over dissidents by virtue of its incumbency:

(1) control over the meeting and the proxy machinery;
(2) control over timing;
(3) expenses;
(4) existing shareholder relationships; and
(5) access to shareholders and shareholder information.

While it is obvious that incumbent management will not permit a meeting to be run in an arbitrary manner, it is clearly able to exploit its advantages as the incumbent by controlling certain aspects of shareholders' meetings. As discussed above, management will generally be in control of the subject matter and agenda of the meeting, voting procedures, the physical circumstances of the meeting, the number of directors to be elected and, in many cases, the choice of meeting officers. It has readier access to the beneficial owner communication system under National Instrument 54-101~~It has readier access to the National Policy Statement No. 41 communication system~~. In addition, because the registrar and transfer agent typically acts as scrutineer and tabulator of proxies and is under contract to the corporation, management has control of and ready access to the proxies and their collection. Even in the case of a requisitioned meeting, the requisitioning shareholder generally only controls the agenda, but the meeting is otherwise conducted in accordance with the corporate articles or by-laws, as applicable.

Management determines the date of the calling of the meeting, its date, time and place, the record date, the length of the solicitation period and the deadline for delivery of proxies.

Costs are a clear disincentive to a dissident. Management does not need to make a substantial financial commitment; its members, at least initially, need bear no personal financial burden in a contest and may make use of expensive measures or solicitation methods. Management can often increase the dissident's costs through commencing or forcing the insurgent to commence litigation, engaging in multiple mailings and placing repeated newspaper advertisements.

Management may have existing relationships and a familiarity with principal shareholders, including institutions. The creation of employee stock option and share purchase plans can create a captive constituency presided over by trustees who are commonly selected by management. Management has unlimited access to the shareholders' list and can often frustrate dissident access through obstacles, technical delays, *etc.*

Shareholders tend to support and show loyalty for incumbents. Management commonly capitalizes on this bias and characterizes insurgents as pirates, raiders, *etc.* Of course, management, as well as dissidents, is not entitled to mislead shareholders in its characterization of the opposition.[1] It is often difficult for strangers to the corporation to convince shareholders

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B.L.R. 252 (Del. Ch.); affd (1989), 571 A. 2d 1140 (Del. Sup. Ct.), it was held that the target corporation could convert a merger transaction into a takeover transaction that would dispense with the need for a shareholder vote.

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In Gillette Co. v. RB Partners, [1988-89] CCH Fed. Sec. L. Rep. §93,933 (Mass. Dist. Ct.), a principal focus of Gillette's management assault on the Coniston Group was the group's makeup,

that they have a clearly superior plan or an ability to execute it. Management often cannibalizes the dissidents' plan and argues against its ability to effect changes. Shareholders will often sign and return a management proxy without reading it and without considering that by failing to grant instructions such proxy will likely be voted in management's favour.

C. Ongoing Preparation

20:36. Introduction

Management advantages may be buttressed by preparation, regardless of whether a contest is being actively pursued.

20:37. Monitoring

Management should at all times be in possession of detailed information regarding the composition of the corporation's shareholders and should be sensitive as to its relations with them. The commencement of a proxy contest is commonly presaged by the following early warning signs or symptoms:

(1) unusual purchases of shares;
(2) a new or increased request for board representation;
(3) a shareholders' list request;
(4) conflict or division among board members; and
(5) signs of shareholder discontent with performance or management.

The monitoring process must be both qualitative and quantitative. A corporation should review stock exchange print-outs; early warning reports and insider reporting filings under applicable securities legislation~~*OSA* section 101 reports, or *CBCA* or *OSA* insider report filings or amendments~~;[1] significant transactions in its shares; and potentially troubling acquisitions of a position or concentrations of holdings. Contacts within the investment dealer community are often important in identifying friendly or potentially hostile accumulations of shares leading up to a contest.

The monitoring of the identity of the shareholder body or the shareholder profile is necessary for the purposes of anticipating both problems and defensive manoeuvres. A clear, overall profile of the composition of shareholdings should be established, as well as a breakdown by constituency, *i.e.*, according to institutions, individuals, brokers, employees, *etc.* Allies and potential foes need to be identified.

As discussed above, there are several potential sources of information regarding

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emphasizing the membership of a number of foreign individuals and entities. An advertisement placed in national newspapers and intended primarily for professional investors was found deliberately misleading for exaggerating the role of foreign entities and individuals and for omitting domestic entities involved. See T. Gilroy and R.R. Levine, “Overview of Decisional Law in the Contest Area” in Eppler and Gilroy, 73 et seq.

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National Instrument 62-103 *The Early Warning System and Related Take-Over Bid and Insider Reporting Issues* in Canada; and Schedule 13D *(1934 Act)* or Schedule 13D amendments in the U.S.

shareholders.[2] First and foremost is the registered shareholders' list maintained by the registrar and transfer agent, which is typically available on a computer print-out. Management has ready access to the transfer agent, and can obtain separate listings of nominee holdings and have these and other holdings organized according to size. Clearing agencies[3] and nominees can be identified from the registered shareholders' list. Pursuant to National Instrument 54-101, a reporting issuer (typically through its transfer agent) may request that a depository provide information regarding its holdings, including the identity and holdings of participants in the depository and the intermediary master list, in accordance with the prescribed procedures. ~~Pursuant to National Policy Statement No. 41, the corporation and its transfer agent are entitled, without delivery of a statutory declaration, to a list of participants from each clearing agency.~~ While the interposing of depositories such as CDS (and DTS and Cede & Co. in the U.S.) may have rendered the identification of beneficial holders more problematic, both informal contacts and cooperative registered holders such as brokers may go some way to alleviating the problem. For instance, an internal list may be prepared and maintained where the corporation has an investor relations manager who may have contacts with analysts as well as institutional holders. Many proxy solicitors offer beneficial shareholder tracing programs.[4] Management should directly monitor shares held by the management group, its associates and affiliates, and their respective allies. A complete picture should be assembled of identified holders and, especially, of large blocks of unidentified holders. Management must be able to contact large holders quickly, particularly where shares are held by intermediaries. This may involve a good deal of lead time.[5]

Management should maintain a self-conscious stance and be alert to potential shareholder issues or concerns and complaints, or allegations about incumbent management. It can no longer be taken for granted that major institutional shareholders will support management. A well-

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J.J. Gavin, "Proxy Contests: Advance Planning in Corporate Governance and Control Situations" in Eppler and Gilroy, at 593-96.

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~~Such as CDS and WCCS in Canada; and the IECA, The Depository Trust Co, 7 Hanover Square, New York, N.Y. 10004 (Cede & Co.); Midwest Securities Trust Co., One Financial Place, 440 South La Salle Street, Chicago, Ill. 60605 (Kray & Co); Philadelphia Depository Trust Co., c/o IIECA, 7 Delaware Drive, Lake Success, N.Y. 11042 (Philadelphia & Co.); Pacific Securities Depository Trust Co Inc., 220 Montgomery Street, San Francisco, Cal. 94104 (Pacific & Co.) in the U.S.~~

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M. Strom and D.D. Burns, "Proxy Contests and Consent: Solicitations in the United States" in Shirriff and Longford, at C-14 ("Strom and Burns").

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W.F. Grienenberger, P.A. Walter and T.R. Conway, "Defensive Strategies in Proxy Contests and Tender Offers" in Block and Pitt, vol. 1, at 151 et seq., suggests that familiarity with the beneficial owners may even serve to check on broker back-office counting procedures in order to avoid double counting.

prepared corporation may have in place a continuous shareholder relations program with the aim of avoiding the development of potential problems. Such program, including regular contact with major shareholders, may enhance the loyalty of holders and render management communications more credible once a contest commences.[6] In addition, management might consider an ongoing communication with shareholders as a whole, in addition to that mandated by statute through the financial reporting, MD & A and continuous disclosure systems.

The material necessary for the purposes of circulars should be collected and prepared well in advance of the actual time needed to file and mail the circular promptly on short notice.

20:38. Calendar[1]

Except in cases of requisitioned meetings, the timing of meetings, including the setting of record and meeting dates, is largely controlled by management.[2] Directors of *OBCA* and *CBCA* corporations can take advantage of the 48-hour provision with regard to the deadline for the delivery of proxies over the weekend.[3] Timing is subject, of course, to the requirement that management exercise its power in good faith.[4]

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In the U.S., the Washington-based National Investor Relations Institute has about ~~2,200~~3,300 members (corporations with investor relations departments)~~, including 160 comprising the Toronto, Calgary and Vancouver chapters thereof~~. In Canada, investor relations developed initially through Canadian chapters of the National Investor Relations Institute, which later evolved into a separate national organization, the Canadian Investor Relations Institute, established in 1992. The concept is not as prevalent in Canada as in the U.S.; larger corporations tend to operate such departments. Some are merely public relations oriented, while others furnish analysts and institutional investors with necessary and relatively impartial financial information. There is a certain tension between objective information and subjective image-making. Investor relations may also be handled by an outside third-party consultant. See "What Your Company Can Do For You: The Investor/Relations Department: More Flak Than Fact" Financial Post Moneywise (March 1990) 41.

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See G.V. Varallo and R.J. Steam, "When a Delaware Corporation Fails to Hold an Annual Meeting" (1991), 5:3 *Insights* 30; A. Terrell, "Postponing Stockholders' Meetings in the Midst of a Proxy Contest" (1990), 4:10 *Insights* 12; A.M. Terrell, "Notice By-Laws and Changing the Annual Meeting Date in Delaware" (1991), 5:5 *Insights* 28.

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E.g., in Treadway Co. v. Care Corp. (1980), 638 F. 2d 357 (2d Cir.), the annual meeting was delayed until completion of the sale of stock to a friendly party.

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Small shareholders may be disadvantaged, and management will lose 48 hours of solicitation time.

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Discussed in Aprahamian v. HBO & Co. (1987), 531 A. 2d 1204 (Del. Ch.); Schnell v. Chris-Craft Industries Inc. (1971), 285 A. 2d 430 (Del. Ch.); revd (1971) 285 A. 2d 437 (Del. Sup. Ct.).

Management cannot be forced to delay or adjourn to advantage dissidents, as long as it acts equitably.[5] On the other hand, management's control of timing must not be utilized simply for the purpose of silencing a potential contestant.[6] Any delay brought about by management strategy should be reasonable, otherwise management may risk postponement of the meeting by the courts.[7]

A number of U.S. cases have examined the ambit of the power of directors over the timing of meetings.

In *Aprahamian v. HBO & Co.*,[8] the board postponed an annual meeting on the eve thereof for four months. The court granted an injunction because the postponement would harm proxy contestants and, by defeating the record date, void the proxies.[9] In *Lerman v. Diagnostic Data Inc.*,[10] the action of the directors who amended the by-laws of the defendant corporation to require shareholders to submit certain information regarding non-management nominees 70 days in advance of the annual meeting and who then proceeded to call such meeting on 63 days' notice was held invalid.

In *Stahl v. Apple Bancorp. Inc.*,[11] the deferral by the board of directors of a planned annual meeting in the face of a tender offer was held a reasonable response to the perceived threat of losing a prospective proxy contest tied to the tender offer. The bidder had indicated an intent to solicit proxies for his nominees to the board. No meeting date had yet been set nor

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American Hardware Corp. v. Savage Arms Corp. (1957), 135 A. 2d 725 (Del. Ch.); affd (1957), 136 A. 2d 690 (Del. Sup. Ct.).

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Schnell v. Chris-Craft Industries Inc. (1971), 285 A. 2d 430 (Del. Ch.); revd (1971) 285 A. 2d 437 (Del. Sup. Ct.), where a meeting date was advanced by the board; Lerman v. Diagnostic Data Inc. (1980), 421 A. 2d 906 (Del. Ch.), in which there was a so-called floating meeting date.

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E.g., Susquehanna Corp v. General Refractories Co. (1966), 250 F. Supp. 797 (E.D. Pa.); modified (1966), 356 F. 2d 985 (3d Cir.).

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Aprahamian v. HBO & Co. (1987), 531 A. 2d 1204 (Del. Ch.).

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A postponement of an annual meeting was refused in Inition Partners v. Tandycrafts Inc., Del. Ch., No. 38697, 10 November 1986 (unreported).

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Lerman v. Diagnostic Data Inc. (1980), 421 A. 2d 906 (Del. Ch.).

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Stahl v. Apple Bancorp. Inc., [1990] CCH Fed. Sec. L. Rep. §95,266, 579 A. 2d 1115 (Del. Ch.).

proxies solicited. The directors could properly recognize the need of shareholders for full information within the context of a potential sale of the company.

In *Gintel v. XTRA Corp.*,[12] the Delaware Chancery Court permitted a short postponement of an annual meeting in respect of the board decision to sell the corporation. It held that the record date would be retained and that the development needed to be disseminated. The same court, in *Hubbard v. Hollywood Park Operating Co.*,[13] noting that last minute changes in meeting dates within the context of a proxy contest were inherently suspect, found that a brief postponement to disseminate news of litigation developments would serve shareholder interests. In *MAI Basic Four Inc. v. Prime Computer Inc.*,[14] a postponement of an annual meeting was permitted in response to the withdrawal of a longstanding tender offer and substitution by a less attractive one to permit an evaluation thereof and to give the target's directors time to find alternatives.

In *ER Holdings Inc. v. Norton Co.*,[15] where the company by-laws stated that an annual meeting be held the fourth Thursday of April each year, the board could not delay the date in order to allow exploration of alternatives to a hostile takeover bid (where this was combined with a contemporaneous proxy solicitation). Corporate directors may not as a general rule postpone a scheduled annual meeting as long as it is possible to hold the meeting at the originally scheduled time, unless postponement is necessary in the interests of the shareholders.

Management should also be sensitive to the timing of any corporate actions that might potentially give rise to adverse reaction from shareholder groups.

20:39. Shareholder Materials

On an ongoing basis, management can use non-proxy-related resources, such as annual and interim reports, press releases, meetings with analysts, road shows, financial results, and future plans and projects, to bolster their image and relations with the shareholders.

A public corporation will be required by applicable law to deliver at least quarterly and annual reports to its shareholders. An annual report is generally considered part of an effective shareholder relations programme.

The annual report is potentially an effective instrument for developing constructive investor relations. Its contents being largely in the discretion of management,[1] the annual report

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Gintel v. XTRA Corp., Del. Ch., C.A. No. 11422, 27 February 1990 (unreported).

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Hubbard v. Hollywood Park Operating Co., Del. Ch., C.A. No. 11902, 14 January 1991 (unreported).

14

MAI Basic Four Inc. v. Prime Computer Inc., Del. Ch., C.A. No. 10868, 13 June 1989 (unreported).

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ER Holdings Inc. v. Norton Co., Mass. Dist. Ct., C.A. No. 90-10666-T, 4 November 1990 (unreported), cited in (1990), 22 S.R.L.R. 602.

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should be considered as a potential tool for use in a proxy contest, particularly where anticipated at an annual meeting, and for addressing any areas of weakness, whether or not already identified as actual items in a contest.[2]

The ~~recent~~ decision of the Ontario Superior Court of Justice in *Smoothwater Capital Partners LP I v. Equity Financial Holdings Inc.*[3] addressed whether a company issuing a press release following the announcement of a requisitioned meeting amounted to solicitation. The press release was responding to allegations and issues raised by the requistioning shareholders, who argued that the press release constituted a solicitation where no information circular had yet been provided. The company argued, and the court agreed, that the press release served as public disclosure intended to correct inaccuracies in the press release issued by one of the requistioning shareholders. The court held that the release did not requisition proxies but advised that a management information circular would be forthcoming.

D. Structural Defences

20:40. General

There are a wide range of defensive devices in the corporation's articles or by-laws which management may consider employing in the case, or preferably in anticipation, of a contest. These include by-law amendments, "classifying" or "staggering" the board of directors, providing for super-majority approvals and other defences.

Defensive provisions are best instituted before the commencement of a contest.[1] At the

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Subject to the requirements of Form 51-102F2 of National Instrument 51-102 - *Continuous Disclosure Obligations*, and restrictions on solicitation.

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In the U.S., under SEC Rule 14a-3 (*1934 Act)*, where a corporation solicits proxies in respect of an election, the proxy statement must be preceded or accompanied by an annual report. Where this document itself comments upon or refers to a Rule 14a-11*(1934 Act)* contest solicitation, the annual report, otherwise not a solicitation document, must be filed in preliminary form with the SEC. Another potential means of providing information to shareholders may be the use of an 800 number rather than or together with mass mailings. "Firms, Seeking to Cut Holder Mailings, May Ask Investors to 'Push ~~1~~' for Data", The Wall Street Journal, May 5, 1993, A-11.

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Smoothwater Capital Partners LP I v. Equity Financial Holdings Inc., 2014 ONSC 324, 2014 CarswellOnt 503, 21 B.L.R. (5th) 340 (Ont. S.C.J.).

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In Coalition to Advocate Public Utility Responsibility Inc. v. Engels (1973), 364 F. Supp. 1202 (D. Minn.), an attempted reduction in board size immediately prior to an annual meeting was enjoined. A practical consideration is shareholder opposition to structural defences. Some corporations have dealt with this development by instituting short lived (six months or less) pills which under the TSE rules do not require shareholder approval.
Poison pills have been subjected to even greater levels of scrutiny and challenge by institutional investors who generally disapprove of them but have chosen, where they do not vote against them outright, to subject them to even stricter tests. In 1994, the Caisse de depot et placement du

precontest stage, defensive devices are more likely to be subject to the business judgment rule.[2] In general, there maybe equitable limitations on the application of these devices. In *Schnell v. Chris-Craft Industries Inc.*,[3] it was held that inequitable action by management in a proxy contest did not become permissible simply because it was legally possible. Tactics intended to perpetuate control within the context of a proxy contest are invalid.[4]

U.S. authority provides that, where management seeks to institute defensive provisions, the proxy materials relating to shareholder approval thereof should disclose any inhibitory effect

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Quebec adopted guidelines to govern its own behaviour as a shareholder. It would generally oppose creation of an unequal voting share structure and usually oppose most takeover bid defences, including poison pills. The Caisse indicated it would review investments against corporate governance guidelines and approach corporations rating poorly.
In Canada, Fairvest Securities Corporation, an institutional investor advisor has succeeded in becoming a port of call for many corporations considering poison pills and has succeeded on numerous occasions in negotiating significant changes to rights plans sometimes at the last minute.
In 1995, Westcoast Energy Inc. was forced to water down its pill and accept a partial bid feature as a "permitted bid" (Globe & Mail, April 24, 1995 at B-11).
Meanwhile in the U.S., proposals against poison pill renewals were often successful.
"Proxy-'98 May Be Quiet on Employment", Investor Relations Business, Sept. 22, 1997, vol. 2, issue 18, at 2,12.

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See A.R. Brownstein, "Developments in Takeover Defense and Their Impact on Proxy Contests" in Eppler and Gilroy, at 631 et seq. In Blasius Industries Inc. v. Atlas Corp., [1988-89] CCH Fed. Sec. L. Rep §93,965, 564 A. 2d 651 (Del. Ch.), the directors purported to increase the board size from seven to nine following the indication of a dissident's intention to seek an increase to 15 (precluding a majority if successful) and the election of eight nominees. While not every board action taken for the purpose of thwarting a shareholder vote is *per se* invalid, the action here was held invalid, even though made in good faith, for violating the duty of loyalty in the absence of a coercive situation and with adequate time to solicit proxies. The business judgment rule was not applicable in view of the crucial significance of the shareholder franchise. Heightened scrutiny was applied where the transaction interfered with a shareholder vote and the board bore a heavy burden to demonstrate a compelling rationale. The question concerned the allocation of power between the board and shareholders. The board could instead have expended corporate funds to inform shareholders.

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Schnell v. Chris-Craft Industries Inc. (1971), 285 A. 2d 430 (Del. Ch.); revd (1971) 285 A. 2d 437 (Del. Sup. Ct.).

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See Podesta v. Calumet Industries Inc., [1977-78] CCH Fed. Sec. L. Rep. §96,433 (N.D. Ill.); Johnson v. Trueblood (1980), 629 F. 2d 287 (3d Cir.); cert denied (1981), 450 U.S. 999 (U.S.).

on takeover bids.[5]

20:41. Charter Amendments

The articles and by-laws should be reviewed by corporate counsel with a view to enhancing the control of management over the conduct and agenda of meetings. By-laws are rarely drafted with contested meetings in mind. The *CBCA*-type statutes provide that, although directors must eventually seek shareholder approval of the making or amendment of by-laws, any by-law or amendment made by directors is effective in the interim.[1]

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Elgin National Industries Inc. v. Chemetron Corp. (1969), 299 F. Supp. 367 (D. Del.). The SEC. has long taken the position, concerning the review of proxy statements containing anti-takeover corporate charter and by-law amendment proposals, "that when management sponsors anti-takeover proposals and other devices to insulate management from removal" the proxy materials must disclose prominently that the overall effect of the proposal is to render mote difficult mergers and assumptions of control by principal shareholders (SEC Release No. 34-15230, 13 October 1978). The proxy materials must discuss the overall effect of the proposal and describe the advantages and disadvantages of same to management and the shareholders. See SEC v. Dorchester Gas Corp., [1983-84] CCH Fed. Sec. L. Rep. §99,613 (D. D.C.); D.A. Sirignano, "Review of Proxy Contests by the Staff of the Securities and Exchange Commission" in Eppler and Gilroy ("Sirignano"), at 509.

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Where directors have the ability to amend by-laws without shareholder approval, U.S. courts have subjected provisions enacted during a contest to careful scrutiny (see Lerman v. Diagnostic Data Inc. (1980), 421 A. 2d 906 (Del. Ch.)). Under s. 109 of the General Corporation Law of Delaware, 8 Del. C. Ch. 1~~Ch. 50, Laws of 1967, as am.~~, by-laws may be adopted, amended or repealed by the incorporators, by the initial directors where named in the certificate or, before the corporation receives payment for any of the stock, by its board. After such payment, the power to adopt, amend or repeal is vested in the shareholders, provided that a corporation may in its certificate confer such power on its directors. Such conferral does not divest shareholders of their power. While the charter may grant powers to directors to make, repeal, modify or amend by-laws, the powers must be exercised reasonably, the final test thereof lying with the court. Delaware courts have found provisions making inspection of the books by a shareholder at the discretion of the directors, prohibiting the making of abstracts thereof, and restricting or altering voting rights attaching to shares as provided in the charter to be illegal and void (State ex rel. Brumley v. Jessup & Moore Paper Co. (1910), 77 A. 16 (Del. Sup. Ct.); Brooks v. State ex rel. Richards (1911), 79 A. 790 (Del. Sup. Ct.)). Any attempt to amend by-laws in a manner serving the interests of an entrenched board may potentially be the subject of a contest.
There is also the possibility that the existing board may increase its number of members to defuse a control contest. In Blair v. Consolidated Enfield Corporation, 1994 CarswellOnt 4618, [1994] O.J. No. 1924 (Ont. Gen. Div. [Commercial List])~~,~~ ~~–~~an application under ~~[~~OBCA~~]~~ s. 248 and 253 was sought to declare certain board resolutions invalid, namely, where a shareholder meeting was scheduled to elect four directors, as slated in the management circular, but prior to the meeting, the board unanimously raised the number to six. Legion Oils Ltd. and Boyd v. Barron et al. (1956), 2 D.L.R. (2d) 505 (Alta. S.C.) was held not to apply. While here the preferred shareholders were entitled to 2 seats, nevertheless the corporation's right to increase or decrease board size was

Under the general provision that directors may make by-laws, it appears that they may also make by-laws regulating proxies as long as they are not contrary to the incorporating statute or regulations thereunder.[2] The right of voting by proxy having been granted by statute, a shareholder may not be deprived of it or have such right unduly restricted by by-law. By-laws, however, may impose reasonable restrictions on the exercise of the right to vote by proxy.[3]

The ability of directors to use by-law provisions to inhibit shareholder and, particularly, dissident action has been the subject of a number of U.S. cases that have focused on the conflict between a shareholder's right to a fair vote and management's desire for reasonable procedures. Where limitations are reasonable, it may be possible by by-law to require director nominations to occur pursuant to certain procedures *(e.g.*, by an announced date prior to the relevant meeting) or to require shareholders to provide advance notice of any business to be brought before a meeting or any nomination of directors to be made thereat. Such provisions, which often set specific deadlines for shareholder action, assist the board in regulating the content of shareholders' meetings. They will be disallowed, however, in instances where they inequitably prejudice shareholder voting rights.[4]

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unrestricted and the preferred shareholders were entitled to a number, not a fixed percentage, of seats.

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See Kelly v. Electrical Construction Co., (1907), 16 O.L.R. 232 (H.C.); Colonial Assurance Co. v. Smith (1912), 4 D.L.R. 814, 2 W.W.R. 699, 22 Man. R. 441 (K.B.); but see *Hutchings v. Canada National Fire Insurance Co.*, 1918 CarswellMan 38, (*sub nom.* **Great West Permanent Loan Co. v. Hutchings**), (*sub nom.* **Hutchings v. Canada National Fire Insurance Co. (No. 2)**) [1918] A.C. 451.~~Canada National Fire Insurance Co. v. Hutchings, [1918] A.C. 451, at 456 (P.C.).~~

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Ballantine, at 408; L.H. Axe, "Corporate Proxies" (1942), 41 *Mich. L. Rev.* 38, at 49. Obviously, statutory provisions (as well as charter provisions) would supersede conflicting by-laws, and the latter may be voided by such conflict (In re P.F. Keogh Inc. (1920), 183 N.Y.S. 408 (Sup. Ct.); Di Silvestro v. Sons of Italy Grand Lodge (1927), 223 N.Y.S. 791 (Sup. Ct.); Essential Enterprises Corp. v. Automatic Steel Products Inc. (1960), 159 A. 2d 288 (Del. Ch.); Burr v. Burr Corp. (1972), 291 A. 2d 409 (Del. Ch.); Gaskill v. Gladys Belle Oil Co. (1929), 146 A. 337 (Del. Ch.).

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E.g., Lerman v. Diagnostic Data Inc. (1980), 421 A. 2d 906 (Del. Ch.). See also American General Corp. v. Torchmark Corp., S.D. Tex., No. 90-2328, 12 April 1990 (unreported); app dismd (1990), 903 F. 2d 825 (5th Cit.), where substantial doubt was expressed as to whether the nomination by-law there under discussion could validly be applied; Hubbard v. Hollywood Park Realty Enterprises Inc., Del. Ch., C.A. No. 11779, 14 January 1991 (unreported), where the court called for a board waiver of an advance notice by-law when, following a nomination deadline, the incumbent board adopted a new platform involving, for instance, the sale of the corporation. The good faith of the board is not a determinative element. A by-law may not interfere with the shareholders' franchise.

There is U.S. authority to the effect that directors are authorized to amend by-laws to require advance written notice of nominations and information on the background of nominees, both of which might be justified on the basis of an orderly and informed election. Failure to provide requisite advance notice could result in the shareholder being denied the right to propose such action at the meeting.[5] The court's sensitivity will likely increase with the period of notice and the amount of detail. The timing of the amendment is also of concern. In *Stroud v. Grace*,[6] a by-law amendment; requiring advance notice of board nominations was upheld and unfair. Notice was required not less than 14 days nor more than 50 days before a meeting, and had to contain information establishing the nominee's qualifications under an article of the by-laws which left the criteria subject to a determination by incumbent directors. In *International Banknote Co. v. Mutter*,[7] a nomination by-law was struck down when adopted after the

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In re Flushing Hospital and Dispensary (1942), 41 N.E. 2d 917 (N.Y. Ct. App.); see also Nomad Acquisition Corp. v. Damon Corp., Del. Ch., [1988-89] CCH Fed. Sec. L. Rep. §94,040 (Del. Ch.). See also Mentor Graphics Corp. v. Quickturn Design Systems Inc. Del. Ch., CA 16584, Decembers, 1998, in which the court upheld an amendment by the board to Quickturn's by-laws delaying the requirement for the corporation to hold a special meeting upon a shareholder's request for 90 -- 100 days after receipt of the request, a period that was towards the limit of reasonableness but still acceptable. Quickturn had already had an advance notice by-law in place requiring shareholders wishing to nominate candidates for board election to give notice at least 90 days before the scheduled date of the annual or special meeting. Under the original bylaw, holders of 10% were permitted to call special meetings without compliance with the advance notice by-law. The court noted that the amendment followed the 90 -- 100 day time period in the advance notice by-law and advance notice by-laws requiring a minimum of 90 days' notice were found to be commonplace.
In Linton v. Everett, Del. Ch. C.A. No. 15219, Jacobs, V.C. (July 31, 1997) the corporation's charter contained an advance notice provision requiring submission of biographical data for director nominees within 10 delays of the mailing of the notice of meetings where the notice is mailed less than 31 days before the meeting. The mailing of the notice 30 days before the meeting was held effectively to preclude nomination of a competing slate. The court reviewed applicable principles of Delaware law: the shareholders' right to participate in the electoral process includes the right to nominate a competing slate, and proof of scienter (actual subjective intent to impede the voting process) is not required to set aside election results on the basis of inequitable manipulation. The board's decision to provide 30 days notice triggering the advance notice provision in a manner adverse to shareholders was an inequitable manipulation of the electoral process. The short notice effectively precluded insurgent shareholder action, shareholders were not required to be in a constant state of alert that a meeting might be called and information be filed and defendants had shown no reason why the notice period could not have been made longer.

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Stroud v. Grace, Del. Sup. Ct., No. 400, 9 April 1992 (unreported).

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International Banknote Co. v. Mutter (1989), 713 F. Supp. 612 (S.D. N.Y.).

announcement of the intention to launch a proxy contest. In *Mesa Petroleum Co. v. Unocal Corp.*,[8] Unocal adopted by-laws requiring board nominees to provide an information statement at least 30 days prior to the meeting and stating that any business to be brought before a meeting had to be submitted at least 30 days in advance. The plaintiff had submitted in time a proposal to adjourn the meeting for two months to allow consideration of a tender offer to be made. Unocal indicated, after the 30-day deadline had passed, that any proposal to be discussed at an adjourned meeting had to be filed 30 days prior to the original meeting. Unocal's interpretation was held inequitable.

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Consent procedures under Delaware law have also been the subject of a number of cases dealing with by-law amendments.[9] In *Datapoint Corp. v. Plaza Securities Co.*,[10] the board of directors adopted a by-law regulating consents, including a provision that postponed shareholder action for 60 days after receipt by the corporation of the shareholder's intent to solicit consents. The court held that the by-law conflicted with the power conferred on shareholders by statute by imposing an unreasonable and arbitrary delay which was intended to give management time to solicit proxies or revocations of consents. The court would only accept a limitation necessary to allow a ministerial review of the sufficiency of consents, to be performed by duly qualified and objective inspectors. In the subsequent case of *Allen v. Prime Computer Inc.*,[11] the court held a similar by-law, the real purpose of which was to delay shareholder action by consent, *per se* unreasonable and void. A tender offeror sought consents to redeem the target's poison pill. The target adopted a by-law prohibiting action by consent for a period of 20 days and providing for elaborate inspection and challenge procedures. Any provision for a ministerial review should contain only minimal requisites of reliance and promptness and be reasonable and balanced, and advanced in good faith. A tripartite judicial test was cited: (1) determination of the purpose served *(i.e., per se* unreasonable if the real purpose is to delay shareholder action); (2) impact of the by-law on the effective exercise of consent power; and (3) only minimal requisites of reliance and promptness for a ministerial review to ensure the orderly function of corporate democracy.

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Mesa Petroleum Co. v. Unocal Corp.,Del. Ch., C.A. No. 7997, 1985 Del. Ch. LEXIS 461~~22 April 1985 (unreported)~~.

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In Nomad Acquisition Corp. v. Damon Corp., Del. Ch., [1988-89] CCH Fed. Sec. L. Rep. ~~§~~94,040 (Del. Ch.), by-law amendments requiring shareholders to give at least 60 days' notice of the intention to nominate any person for election to the board and regulating the setting of a record date for shareholder action by consent were upheld, the latter on the basis that it was a reasonable mechanism to facilitate the ministerial review of consents without delay. See also Edelman v. Ackerman, Del. Ch., C.A. No. 11104, 3 November 1989 (unreported).

10

Datapoint Corp. v. Plaza Securities Co. (1988), 496 A. 2d 1031 (Del. Sup. Ct.).

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Allen v. Prime Computer Inc. (1988), 540 A. 2d 417 (Del. Sup. Ct.).

Charter or by-law provisions limiting or waiving shareholders' rights to a shareholders' list have been declared void and non-binding.[12]

On a related front, the board may also wish to consider passing change-of-control provisions in contracts, employment arrangements and pension plans triggered by proxy accumulations.[13]

Over the last several years there has been a notable proliferation in both Canada and the U.S. of the adoption of bylaws to deal with a number of corporate matters. This phenomenon has been the result to a significant degree of increased shareholder activism both from ~~a~~an offensive and defensive viewpoint. Corporations may adopt bylaws to deal with the more active involvement of shareholders in corporate governance and to that end add procedural requirements. On the other hand, activists may seek to add to the bylaws to further shareholder rights including authority to take certain steps with ~~the regard~~regard to the governance of the company.

Advance notice bylaws require shareholders to notify the corporation of any intentions to make any proposals or take actions (such as director nominations) at shareholder meetings, in order to prevent an ambush thereby avoiding business coming forward without the corporation and shareholders being provided with the necessary disclosure. These provisions have become commonplace if not quite universal, first in the U.S. and more recently in Canada.

In the Delaware case of *Rosenbaum v. Cytodyn Inc*., ~~[~~C.A. No. 2021-0728-JRS (Del. Ch. October 13, 2021); see Wachtell Lipton, "Court of Chancery Upholds Enforcement of Advance Notice Bylaw", October 20~~15~~, 2021~~]~~, the Court of Chancery permitted a board of directors' use of an advance notice by-law in the rejection of a dissident's slate as part of a proxy contest. The subject corporation, Cytodyn had previously adopted a customary form [for Delaware purposes] of an advance notice by-law which required any shareholder wishing to nominate persons for election to provide certain prescribed information concerning the nominee(s) (including identification of backers and whether the nominee had financial interests in potential transactions with the issuer) at least 90 days before the shareholder meeting. In this instance, a group of shareholders filed nomination documentation one day before the deadline which the company rejected one month later for failure to provide certain prescribed information (noted above). The court, in upholding the company's rejection, noted that advance notice bylaws "serve an indisputably legitimate purpose" and in this case were "adopted on the proverbial ~~-~~'clear day;'",

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In Loew's Theatres Inc. v. Commercial Credit Co. (1968), 243 A. 2d 78 (Del. Ch.), the charter provision purporting to limit inspection rights to shareholders holding in the aggregate 25% or more of the capital stock was held void.

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In Sutton Holding Corp. v. DeSoto Inc., Del. Ch., C.A. No. 12051, 14 May 1991, Fed. Sec. L. Rep. (CCH) P96,012~~(unreported)~~, the court considered a so-called pension parachute provision where, following a change in control (defined as a replacement of one-third of the incumbent board without its approval or an accumulation of proxies to vote 35% of the corporation's shares), the corporation would not terminate its pension plans for five years. The court was of the view that provisions in corporate instruments intended to restrain or coerce the freeexercise of the shareholder franchise were deeply suspect.

reasonable on their face and called for vitally important information. While the dissidents claimed to have cured any omissions, they were found to have played fast and loose, waiting to the last moment for their submission and left no time to cure any deficiencies. Notwithstanding the conflicts facing an incumbent board enforcing a bylaw in the face of shareholders seeking to propose a dissident slate, the court held that these did not suffice to override the board's rejection of nominations, at least in the absence of any manipulation by the board.

More recently, in *Kellner v. AIM ImmunoTech Inc.*, 320 A.3d 239 (Del. 2024), the Delaware Supreme Court clarified the standard applicable to advance notice by-laws adopted or applied in the context of a proxy contest. The court confirmed that such by-laws are first tested for facial validity, requiring that they address a proper subject matter, be consistent with the corporation's certificate and not be prohibited by law; a facial challenge will succeed only where the by-law cannot operate lawfully under any set of circumstances. Even a facially valid by-law, however, remains subject to equitable review where adopted, amended or enforced on a "cloudy day". Applying enhanced scrutiny, the court held that several provisions adopted primarily to thwart an approaching proxy contest and entrench the incumbent board were unenforceable, while also denying relief because the dissident's own disclosures were false or misleading. The decision confirms that advance notice by-laws may properly serve an information-gathering and orderly-meeting function, but may not be drafted or applied as a tripwire to preclude the shareholder franchise.

Forum selection bylaws provide for the jurisdiction of the courts in which any litigation by shareholders against the corporation is to be taken. Principally these bylaws have been adopted by U.S. corporations to force shareholders to launch any securities litigation in U.S. federal courts as opposed to state courts. [These bylaws have been apparently adopted by ~~three~~ Canadian SPACs taking the lead from the U.S.]

In response to the U.S. Supreme Court decision in Cyan, Inc. v. Beaver County Employees Retirement Fund~~-~~, 583 U.S. 416, 138 S. Ct. 1061 ~~[583 U.S. _; 138 S.Ct.1061 (2018)]~~, to the effect that state courts have concurrent jurisdiction with federal courts in respect of claims brought under the 1933 Act, corporations commenced the adoption of federal forum provisions ("FFP") in their charter documents which required that any 1933 Act claims by shareholders be brought in federal court. In March 2020, the Delaware Supreme Court in Salzberg v. Sciabacucchi ~~[~~No. 346, 2019 (Del. March 18, 2020) 227 A.3d 102~~,~~ ~~(Del. 2020]~~ upheld the validity of an FFP in the certificate of incorporation of a Delaware corporation.

Several California Superior Court decisions followed in the wake of the Salzberg. In Wong v. Restoration Robotics, Inc. et al~~,~~ ~~[~~No. 18 CIV02609, 2020 Cal. Super. LEXIS 227 ~~(Cal. Sup. Ct, Sept. 1, 2020)]~~, the California Superior Court upheld the FFP in the subject corporation's charter document finding that as it was narrowly drafted to leave intact all substantive rights and remedies under the 1933 Act, included in corporate documents after the approval of a shareholder vote and put into effect before the lawsuit at issue was filed, it was "akin to a contractual forum selection clause".

In In re Uber Technologies, Inc. Securities Litigation ~~[~~No. CGC-19-579544 (Cal. Super. Ct. Nov. 16, 2020)~~]~~, a case concerning a Delaware corporation headquartered in California, the California Superior Court found that the FFP in Uber's charter document was both valid and enforceable. The court noted that the FFP was contained in the charter document and had been approved by a majority of its shareholders; there was no evidence led to establish the FFP was unexpected or unreasonable. It also found that the plaintiffs were "on notice, and presumably agreed to the terms of Uber's Charter by purchasing the securities."

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In re Dropbox, Inc. Securities Litigation [No. 19-CIV-05089 (Cal. Super. Ct., Dec. 4, 2020)], the corporation was again a Delaware corporation with its principal place of business in California and having an FFP in its bylaws. The California Superior Court found the FFP valid under both California and Delaware law. The court still had to determine whether the FFP was unfair or unreasonable. It found it to be neither and again noted that when the plaintiffs acquired their shares the purchases were subject to the corporation's bylaws and they assented to the FFP. The FFP was not unconscionable as it preserved the plaintiffs' right to file a claim in federal court and did not take away rights to discovery, jury trial or appeal. Dropbox was expressly followed by the California Superior Court in In re Sonim Technologies, Inc. Securities Litigation [No. 19 CIV05564, Order on Motion to Dismiss (Cal. Super. Ct. Dec. 7, 2020].

More recently, the New York State Supreme Court in Hook v. Casa Systems, Inc. [No. 654548/2019, Order on Motion to Dismiss (N.Y. Sup. Ct. Sept 12, 2021)] on August 31, 2021, granted a motion to dismiss 1933 Act claims as result of an FFP in the corporation's charter. The FFP provided as follows. "the Federal district courts of the United States of America shall, to the fullest extent permitted by law, be sole and exclusive forum for the resolution of any complaint asserting of a cause of action under the Securities Act of 1933. Any person or entity purchasing or otherwise acquiring or holding any interest in shares of capital stock of the Corporation shall be deemed to have notice of [this provision]." Whether Delaware law (the state of incorporation) or New York law applied the result would be the same as the FFP was valid and enforceable unless enforcement thereof would be unreasonable and unjust or the provision invalid due to fraud. No evidence thereof had been produced. The dismissal in this instance extended not only to the company but also to the IPO underwriters.

(See "Paul, Weiss" "New York State Court Enforces Federal Forum Provision and Dismisses Securities Act Claims against all Dependents Including Underwriters", Septembers 21, 2021)

A number of Delaware corporations have adopted so-called fee shifting bylaws which purport to require the unsuccessful party in any Canadian litigation alleging a breach of duties to pay the costs of both sides.

Some corporations have also added provisions to their bylaws which set forth special procedures to be followed at shareholder meetings which are prescriptive in respect of various elements or activities, prescribe the actors charged with the various roles, address and mandate procedures and grant the chair powers over the conduct of the meeting.

Tactical by-laws may not, of course, contravene applicable corporate law and care must be taken to ensure that they do not overstep what can be achieved, particularly in certain areas. There has been extensive litigation in the U.S. considering the ambit and purported effect of bylaws.

Canadian case law is less extensive, although there are a number of cases to consider. In Wells and Melnyk, 2008 CarswellOnt 4438 (Ont. S.C.J.), [(2008), 92 O.R. (3d) 121], the court determined that the board had not properly amended the by-laws to reduce the quorum requirement in advance of the shareholders meeting at which the board had chosen not to place the by-law before the shareholders for approval. In Orange Capital LLC v Partners Real Estate Investment Trust, [2014 ONSC 3793], the court dealt with the question of compliance with a REIT's advance notice policy. In Northern Minerals Investment Corp. v Mundoro Capital Inc. [2012 BCSBC 1090], the court dismissed a challenge to the enforceability of an advance notice by-law under the B.C. business corporations statute.

More recently, in Swan v Nickel 28 Capital Corp., 2023 BCSC 1262 (B.C. S.C.), the

British Columbia Supreme Court strictly enforced the advance notice provisions in a company's articles in the context of a contested proxy battle. Pelham Investment Partners LP, a dissident shareholder that had acquired proxy rights over approximately 3.6 million shares through a tender offer expressly stated in its advance notice that it held no proxies, failing to disclose voting arrangements as required by the articles. The independent chair declared the notice deficient, and the board declined to waive the non-compliance. The court dismissed the dissident's petition under both s. 186 and s. 227 of the B.C. Business Corporations Act, holding that the non-disclosure was material rather than constituting mere technical non-compliance. The decision confirms that boards may decline to waive deficiencies in advance notice as a matter of business judgment, provided the decision is reached through a proper deliberative process and not exercised for an improper purpose.

20:42. Classification of the Board

A "classified" or "staggered" board is one where directors are divided into classes and only one of such classes comes up for election at each annual meeting. The *OBCA*[1] and *CBCA* provide for the classification of boards of directors, although no director may serve for a single term in excess of three years.[2]

Effective August 31, 2022, however, amendments to the CBCA and its regulations implemented under Bill C-25 require distributing (that is, public) corporations to hold annual elections and to elect each director individually, abolishing both the three-year term and slate voting for such corporations (see CBCA subs. 106(3.2) and (3.2)). These changes largely align the CBCA with the TSX Company Manual, under which TSX-listed issuers were already required to hold annual elections with a separate vote for each nominee and, other than majority-controlled issuers, to maintain a majority voting policy for uncontested elections before the amendments came into force.

As a result, a CBCA distributing corporation can no longer classify or stagger its board, and the staggered-board defence described below is unavailable to it.

Because the *OBCA* and *CBCA* provide that no director may be elected for a term in excess of three years, a typical classified board of three classes initially has one-third of its number elected for one year, one-third for two years and the remaining third for three years. At the second annual meeting, the first class is elected for three years, at the third annual meeting, the second class is elected for three years, and thereafter each class comes up for election every three years for three years in turn.

Classified boards have been cited as potent repellents against proxy contests insofar as only a fraction of the board is up for re-election at any given time. Where a board is divided into

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1 *OBCA* subs. 119(5); *CBCA* subs. 106(4).

2 *OBCA* s. 119(4); *CBCA* s. 106(3); under the General Corporation Law of Delaware, 8 Del. C. Ch. 1~~Ch. 50, Laws of 1967, as am.~~, s. 141(d), no more than three classes of directors; under the New York Business Corporation Law(McKinney 2026)~~, McKinney's Consolidated Laws of New York, 1986 (Minneapolis, Minn.: West Publishing Co., 1986),~~ s. 704(a), no more than four classes of directors.

three classes, it takes two proxy solicitations at two successive annual meetings to replace a majority of the board. There are a number of reasons for wanting to avoid the necessity for two successive contests. Success at one meeting does not guarantee success at the next. The repeated expenditure of effort, time and money required may be a serious disincentive. A group of dissidents is not an ongoing entity, and its cohesion in the face of potentially varying interests may be difficult to sustain: during the intervening year, management can take steps to address dissident concerns and seek division among the dissidents. However, if an insurgent were successful in replacing one-third of the directors the first time around, the position of the remaining incumbents would be attenuated. In addition to the obvious loss of shareholder confidence, they would have to consider the difficulty of dealing with a hostile group of directors.

A staggered board is potentially even more effective in the case of cumulative voting, the number of shares required to elect each director being significantly increased.[3] Under cumulative voting by itself, it is harder for the dissidents to win the whole board but easier to win representation.[4]

A staggered board defence may ultimately be of questionable value for *CBCA* and *OBCA* corporations, the shareholders of which are empowered to convene a meeting and to remove the entire board of directors by a resolution passed by a simple majority of the votes cast.[5]

20:43. Supermajority Approval Provisions

An amendment of the articles or by-laws to increase the number of votes required to take certain corporate actions may be made for the purpose of discouraging a dissident from undertaking a contest.[1]

Section 5(4) of the *OBCA* and subsection 6(3) of the *CBCA* provide that, where the articles or a unanimous shareholder agreement require a greater number of votes of shareholders

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See Aranow and Einhorn, at 351-59.

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L.A. Hamermesh, M. Houghton and R.J. Valihura, "Defensive Strategies in Election Contests: Charter and Bylaw Provisions and Other Actions Affecting the Conduct of Shareholder Meetings and the Mechanics of Action by Consent Under Delaware Law" in Eppler and Gilroy, at 917 et seq.

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OBCA s. 122; *CBCA* s. 109. The General Corporation Law of Delaware~~DGCL~~ provides for removal of a director by the holders of a majority of the shares entitled to vote: s. 141(k). The General Corporation Law of Delaware~~DGCL~~ requires that in the case of staggered boards, unless the certificate of incorporation provides otherwise, shareholders may only remove a director "for cause".

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See Seibert v. Gulton Industries Inc. (1980), 414 A. 2d 822 (Del. Sup. Ct.), where the court upheld an 80% majority requirement; *cf.*Seibert v. Milton Bradley Co. (1980), 405 N.E. 2d 131 (Mass. Sup. Ct.).

than would be required by statute to effect any action, the articles or unanimous shareholder agreement will prevail. This is subject to the express exception that the articles may not require a greater number of votes of shareholders to remove a director than the number that is a simple majority.[2] Implicitly, the board may not increase the majority required for the approval of any action by by-law alone or without an amendment of the articles.

20:44. Shareholder Rights Plans

Shareholder rights plan or "poison pills" are take-over bid defence devices whereby a company's shareholders are issued rights that, if triggered upon an acquisition of more than a prescribed level of the company's shares by an acquisitor, entitle all shareholders other than the acquisitor to purchase shares at a significant discount. The intention, is generally speaking, to force acquisitors to negotiate with the board or to give the board adequate opportunity to seek alternative transactions.[1]

In Canada, shareholder rights plans have been subject to oversight by the court and provincial securities regulators. In *347883 Alberta Ltd. v. Producers Pipelines Inc.*,[2] the court considered the propriety of a board implementing a poison pill in the face of a takeover bid within the context of an oppression remedy application. The pill had not received shareholder approval. While the court determined that directors could implement a poison pill defence, it held that they bore the onus of establishing in good faith the existence of a threat to the corporation, that they acted after proper investigation and that the means were reasonable having regard to the threat posed. The court viewed the directors' circular requirement as indicative of the primary role of directors being to advise shareholders rather than to decide for them. Any defensive action should, whenever possible, be submitted for shareholder approval. The court in this case found a breach of fiduciary duty and oppressive conduct.

In *Re Canadian Jorex Ltd. and Mannville Oil & Gas Ltd.*,[3] the OSC considered the use of a poison pill within the context of a takeover bid. The decision was relatively narrow, and

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OBCA subs. 5(5), s. 122; *CBCA* subs. 6(4), s. 109. The statutes do not appear to prohibit a super-quorum provision in the by-laws (see *OBCA* subs. 101(1); *CBCA* subs. 139(1)).

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Historically, shareholder rights plans were rarely triggered in practice. ~~Until recently no such plan had ever been triggered. However, in~~In United Grain Growers Ltd. v. 3339351 Canada Ltd. ~~(1997)~~, 1997 CarswellMan 117, 31 B.L.R. (2d) 132, ~~(Man. Q.B.)~~ the pill was held to have been triggered by a lock-up agreement notwithstanding a provision in that agreement which purported to deem the agreement not to trigger the pill.

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347883 Alberta Ltd. v. Producers Pipelines Inc., [1991], 4 W.W.R. 577, 80 D.L.R. (4th) 359 (Sask. C.A.).

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Re Canadian Jorex Ltd. and Mannville Oil & Gas Ltd. (1992), 15 O.S.C. Bulletin 257, 4 B.L.R. (2d) 1 (O.S.C.).

involved a cease-trade order in respect of rights as applied to two existing bids on the rationale that one of the bids could not proceed, and that the poison pill was unlikely to result in additional bidders or to further enhance the bid.

In *Remington Energy Ltd. and 579610 v. Joss Energy Ltd.*[4], the applicant sought to have a poison pill, which had been adopted in the face of an impending take-over bid, struck down. The court agreed based on its view that the means adopted by the directors to defeat the bid were not reasonable: insofar as a perceived rationale was to obtain further information, the board had already received an offeror's prospectus; the offeror offered access to information conditional on a standstill agreement which the target's directors unreasonably refused to sign; whereas the target's directors had wanted an auction, the absence of response from 11 potential suitors rendered the lack of a plan waiver unreasonable; and the lack of immediate steps to obtain shareholder approval was not reasonable. The plan was declared null and void. The court suggested that the company should start from scratch and refer the plan to shareholders before it is put into play.

The practical significance of the tactical rights plan has been substantially reduced by the 2016 amendments to the take-over bid regime under National Instrument 62-104 Take-Over Bids and Issuer Bids. Those amendments require that a formal take-over bid remain open for a minimum of 105 days (subject to the target board's ability to reduce that period to not fewer than 35 days), be subject to a mandatory minimum tender condition of more than 50% of the outstanding securities held by shareholders other than the bidder and its joint actors, and, once that condition is satisfied, be extended for a further 10 days.

The current leading authorities in Canada, to be read alongside the regulatory decisions considered above, are Riot Platforms, Inc. v. Bitfarms Ltd., 2024 ONCMT 27 (Ont. C.M.T.) and Re Greenfire Resources Ltd., 2025 ABASC 104. In Bitfarms, the Ontario Capital Markets Tribunal, exercising its public interest jurisdiction under s. 127(1) of the Securities Act, R.S.O. 1990, c. S.5, articulated the standard governing rights plan applications: where the applicant does not establish a breach of Ontario securities law, a rights plan will be cease-traded where the applicant demonstrates that the plan undermines, in a real and substantial way, one or more clearly discernible principles of Ontario securities law, unless the issuer establishes exceptional circumstances justifying its continuation. Accordingly, the Tribunal cease-traded the Bitfarms rights plan as its sub-20% (15%) trigger departed from the bright-line 20% threshold of the take-over bid regime and finding that the issuer's rationale fell short of exceptional circumstances. *Greenfire addresses a different problem and applies a different standard.* Shortly *after Greenfire announced* having entered into *agreements* pursuant to *which Waterous Energy Fund would acquire approximately 43% of* the outstanding Greenfire *shares from* certain shareholders in reliance on the private agreement exemption under National Instrument 62-104 Take-Over Bids and Issuer Bids, the Greenfire *board* of directors *adopted a rights plan* with *a conventional 20% trigger that did not grandfather the pending transaction and would therefore have diluted* Watereous Energy Fund *on closing. The Alberta Securities Commission held the retroactive implementation of the plan* to be *clearly abusive, reasoning that the exemptions are integral components of the take-over bid* regime and that adherence to its letter and spirit cannot

4 Remington Energy Ltd. and 579610 v. Joss Energy Ltd. (December 17, 1993), Doc. 9301-18628 (Alta. Q.B.)

undermine the regime's policy objectives*, and that allowing a plan to unwind a pre-existing binding* agreement *concluded in reliance on* the take-over bid regime *would gravely affect confidence in the capital market. The panel applied the* "*clearly abusive*" *standard rather than the Bitfarms formulation, which* followed *submissions and* the *oral ruling, while noting that it would have reached the same result on an animating principles analysis and leaving the relationship between the two standards for another case. It also expressly left open whether the same* rights *plan would have been upheld had it been adopted before the* agreements were entered into by the parties-.

Poison pills have been subjected to particular scrutiny within the context of proxy contests.[5]

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A practical consideration is shareholder opposition to structural defences. Some corporations have dealt with this development by instituting short lived (six months or less) pills which, under the TSE rules, do not require shareholder approval.

Poison pills have been subjected to ever greater levels of scrutiny and challenge by institutional investors who generally disapprove of them but have chosen, where they do not vote against them outright, to subject them to even stricter tests. In 1994, the Caisse de depot et placement du Quebec adopted guidelines to govern its own behaviour as a shareholder. It would generally oppose creation of an unequal voting share structure and usually oppose most takeover bid defences, including poison pills. The Caisse indicated it would review investments against corporate governance guidelines and approach corporations rating poorly.

In Canada, Fairvest Securities Corporation, an institutional investor advisor has succeeded in becoming a port of call for many corporations considering poison pills and has succeeded in numerous occasions in negotiating significant changes to rights plans sometimes at the last minute.

In 1995, Westcoast Energy Inc. was forced to water down its pill and accept a partial bid feature as a "permitted bid" (Globe & Mail, April 24, 1995 at B-11).

Meanwhile in the U.S., proposals against poison pill renewals were often successful. "Proxy '98 May Be Quiet on Employment", Investor Relations Business, Sept. 22, 1997, vol. 2, issue 18 at pp. 2,12. Ironically, poison pills may lead over time to an increased use of shareholder votes to approve such plans and the bids which are the subjects thereof and to replace non-compliant boards which refuse, and are not required by courts, to redeem rights in the face of an offer. Interestingly, some control-share-acquisition statutes have actually facilitated contests by requiring acquirers to obtain a shareholder vote on their proposal. See A.R. Brownstein, "Developments in the Business Judgment Rule and Takeover Defense" in The Third Annual Public Company Forum: New Directions in Management, Financing and Shareholder Relations (Toronto: The Canadian Institute, 1990), at 54; D.S. Hersch and R.A. Robins, Jr., "Uses and Abuses of Proxy Contests" in C.M. Nathan et al., eds., Twentieth Annual Institute on Securities Regulation (New York: PLI, 1988), vol. 2, at 223. In the ~~recent~~ case *of* Invacare Corp. v. Healthdyne Technologies Inc., (N.D.Ga.; Fed. Sec. L. Rep. issue no. 1780), a U.S. federal judge refused to invalidate a poison pill containing a "continuing directors" provision which required that any redemption of the plans had to be approved by one or more directors who were on the board before the plan's adoption. The provision's effect is that where the target issuer's shareholders replace incumbent directors with the bidder's slate, the newly elected board is not

The terms of a poison pill may treat a proxy solicitor or holder of a revocable proxy as a beneficial owner for the purposes of triggering the rights or requirements for shareholder approval. The court, in *Moran v. Household International Inc.*,[6] considered the possibility that a plan might include revocable proxies and thereby frustrate a bidder launching a proxy contest. It rejected the view that a low trigger by itself would disable the launching of a proxy contest; concern was expressed as to the potential inability of major holders to co-operate in a contest.

Interestingly, in *Moran*, the Delaware Supreme Court concluded:

> We conclude that there was sufficient evidence at trial to support the Vice-Chancellor's finding that the effect upon proxy contests will be minimal. Evidence at trial established that many proxy contests are won with an insurgent ownership of less than 20%, and that very large holdings are no guarantee of success. There was also testimony that the key variable in proxy contest success is the merit of an insurgent's issues, not the size of his holdings.[7]

In *Dynamics Corp. of America v. CTS Corp.*,[8] a rights plan was enjoined with the comment that, unlike the carefully structured plan upheld *in Moran v. Household International Inc.*,[9] which had been found not to interfere with proxy contests and voting rights, this plan was apparently designed to obstruct a proxy contest.[10] A defensive response may be subject to enhanced scrutiny where a proxy contest is engaged in addition to or instead of a takeover bid.

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authorized to redeem the plan because they are not continuing directors. Georgia corporate law apparently embraces the concept of continuing directors as part of a defence against hostile takeovers. The Court reasoned that as the pill did not infringe on shareholders' rights to elect a new board, it did not interfere with voting rights nor was it coercive. In Delaware, however, the Court has reached the opposite conclusion. In Carmody v. Toll Bros., Inc., 723 A.2d 1180 (Del. Ch. 1998), the Court of Chancery held that a "dead hand" feature is invalid under 8 Del. C. §§ 141(a) and (d) and as a breach of the directors' fiduciary duties, and in Quickturn Design *Systems, Inc. v. Shapir*o, 721 A.2d 1281 (Del. 1998), the Delaware Supreme Court struck down a related "no hand" (delayed-redemption) provision as an impermissible restriction on the statutory authority of a newly elected board.

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Moran v. Household International Inc. (1985), 500 A. 2d 1346 (Del. Sup. Ct.).

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Moran v. Household International Inc. (1985), 500 A. 2d 1346, at 1355 (Del. Sup. Ct.).

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Dynamics Corp. of America v. CTS Corp., (1986) 637 F. Supp. 406 (N.D. Ill.); affd (1986), 794 F. 2d 250 (7th Cir.); revd on other grounds (1987), 481 U.S. 69, 107 S. Ct. 1637 (U.S.).

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Moran v. Household International Inc. (1985), 500 A. 2d 1346 (Del. Sup. Ct.).

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*Cf.*Henley Group Inc. v. Santa Fe Southern Pacific Corp., Del. Ch., C.A. No. 9569, 11 March 1988 (unreported), where, in a similar situation, the court denied relief when the board took curative action to exempt joint proxy solicitations.

The business judgment rule is applicable to the conduct of directors within the context of takeover bids.

In *Stahl v. Apple Bancorp. Inc.*,[11] the Delaware Chancery Court refused to invalidate a plan allegedly infringing a substantial shareholder's rights in joining with other shareholders to pursue a proxy contest connected to its tender offer. The court held that the board could justifiably take the view that the restrictions would not materially impair the shareholders' ability to replace the board because they could still propose a slate and communicate with other shareholders.[12]

E. Tactical Defences

20:45. Litigation

Contestants must be prepared, both strategically and financially, to initiate and respond to litigation in connection with a contested meeting. Proxy-contest-related litigation[1] has been predominantly concerned with alleged inaccuracies or deficiencies in disclosure documents (see §20.8 ~~below~~above). Initial action is often taken within the context of a request for a shareholders' list; because the procedures are usually summary in nature, management's range of defences is limited. Where there is a failure to file or a defective filing with respect to purchases of shares, the remedy is generally a corrective filing.[2] To enable such corrective action to be taken, the voting of proxies or the acquisition of further shares may be enjoined.[3] Defamation suits may

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Stahl v. Apple Bancorp. Inc., [1990] CCH Fed. Sec. L. Rep. ~~§~~95,412 (Del. Ch.).

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The court concluded that the effective preclusion (the definition of "beneficial ownership" of stock was such that the lights could be triggered upon the major holder entering into voting agreements with others whose holdings totalled at least 1%) of joint slates or revocable agreements as to voting would likely have only a minimal impact on the contest. The board decision to enforce the beneficial ownership definition was thus reasonable in relation to the threat posed by the tender offer.

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While common in the U.S., such litigation has generally been less frequent in Canada.

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Some cases have focused on whether dissidents have acted as a group (Financial General Bankshares Inc. v. Lance [1978] CCH Fed. Sec. L. Rep. (CCH) P~~§~~96,403 (D. D.C.); Pantry Pride Inc. v. Rooney (1984), 598 F.Supp. 891 (S.D. N.Y.).

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Drobbin v. Nicolet Instrument Corp., [19~~85 -~~86] CCH Fed. Sec. L. Rep. (CCH) P~~§~~92,489 (S.D. N.Y.); Committee for New Management of Butler Aviation v. Widmark (1971), 335 F. Supp. 146 (E.D. N.Y.); Bath Industries Inc. v. Blot (1970), 427 F. 2d 97 (7th Cir.); General Aircraft Corp. v. Lampert (1977), 556 F. 2d 90 (1st Cir.); Water & Wall Assoc. Inc. v. American Consumer Industries Inc., [1973] CCH Fed. Sec. L. Rep. (CCH) P~~§~~93,943 (D. N.J.).

prove useful in light of the increasing use of the media as a forum for corporate control battles.[4] Management tends to have an advantage in any action where a meeting or solicitation is sought to be enjoined because such orders are rarely issued.[5]

Both parties should also be prepared to initiate or respond to regulatory proceedings before bodies such as the OSC.

While litigation is a commonly-used defensive strategy, at least in the U.S., management should consider the potential advantages and disadvantages of litigation against dissidents. Litigation always involves attendant costs in monetary terms and in terms of the diversion of management from corporate affairs. There is the possibility of counterclaims complicating the matters at issue. Where management may have a good chance of success at a meeting, the delay inherent in litigation may not work in their favour. Litigation may only provide limited relief and is unlikely to halt the contest. The outcome of legal action may colour shareholder perceptions. The advantage of a court finding against illegitimate action by a dissident should be weighed against the apparent approval of a court where the dissident succeeds. On the other hand, litigation may put financial pressure on a thinly-capitalized dissident group, and an extensive discovery may provide useful information against dissidents.[6]

20:46. Issuance of Shares[1]

The placement by the corporation of shares to a friendly investor or to an employee benefit plan may cause dilution of an existing shareholder's block or discourage a shareholder from increasing his or her stake.

Directors are required to exercise the power to issue shares in the best interests of the corporation and not for a collateral purpose. This issue has been discussed more fully in Chapter 6.

Within the context of proxy contests, the sale of stock to a white squire and an

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See T.C. Arthur, T. Kirby and B.W. Rein, "Defamation Suits as a Weapon in Corporate Control Battles" (1981), 37 *Bus. Law.* 1. In a non-contest situation, the deposed president of Seven Mile High Group Inc. sued a group of dissident shareholders for libel and slander with respect to allegations of gross misconduct made against him, which apparently led to a British Columbia Securities Commission investigation and an order by the Commission for his resignation (The Globe & Mail (21 August 1990) B/9).

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Rondeau v. Mosinee Paper Corp. (1975), 422 U.S. 49; Plant Industries Inc. v. Bregman (1980), 490 F. Supp. 265 (S.D. N.Y.).

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M. Strom and D.D. Burns, "Proxy Contests and Consent: Solicitations in the United States" in Shirriff and Longford, at C-15 ("Strom and Burns").

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See, generally, R.J. Hay, "The Shareholder's Pre-emptive Right: Prevention of Director Abuse in New Share Issuance" (1984), 9 *Can. Bus. L.J.* 2.

accompanying self-tender in *Shamrock Holdings Inc. v. Polaroid Corp.*[2] were held acceptable even though coupled with a previous issuance of a 14% ESOP and exercised in the face of a proxy contest. While these actions made a proxy contest victory more difficult, the court found they did not render it impossible.

In the ~~recent~~ NCR Corp. proxy contest with American Telephone and Telegraph Co., a U.S. District Court held the target's new ESOP invalid, despite its serving a legitimate corporate purpose in that its primary purpose was to entrench management, and enjoined the voting of ESOP shares at a meeting to elect directors.[3]

Likewise, agreements with purchasers requiring them to vote in a certain way have come under scrutiny. In *Lennane v. ASK Computer Systems Inc.*,[4] a shareholder challenged the placement of 30% of the issuer's shares to two purchasers pursuant to an agreement containing a provision which could be read to require purchasers to vote for director nominees and which was endorsed by management during the seven-year term of the agreement. Though the provision was not enjoined due to a lack of timeliness, the court expressed doubt as to its validity.[5]

The Director under the *CBCA* has expressed concerns over the inclusion in private placement agreements of provisions requiring the purchaser to vote for management board nominees.[6]

The capital structure of the corporation may be amended to provide for the issuance to friendly investors of blank-cheque preferred shares (including those with supervoting provisions).[7] Authorization of such shares in the U.S. may require prior disclosure of the use to

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Shamrock Holdings Inc. v. Polaroid Corp. (1989), 559 A. 2d 257 (unreported), [1988-89] CCH Fed. Sec. L. Rep (CCH) P~~$~~94,~~176~~ 185 (Del. Ch.).

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NCR Corp v. American Telegraph and Telephone Co., D.C.S. Ohio, No C-3-91-78 (unre ported); Menowitz v. NCR Corp., D.C.S. Ohio, No. C-3-91-12, 1996 U.S. Dist. LEXIS 22522~~19 March 1991 (unreported), cited in (1991) 23 S.R.L.R. 477~~.

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Lennane v. ASK Computer Systems Inc., Del. Ch., C.A. No. 11744, 11 October 1990; rearg denied Del. Ch., 19 October 1990; appeal denied Del., No. 363, 24 October 1990 (unreported).

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G.V. Varallo and R.J. Steam, “Counselor Beware: Pension Parachutes and Directed Voting Provisions Questioned in Delaware” (1991), 5:6 *Insights* 29.

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See Consumer and Corporate Affairs Canada, Release (10 November 1989).

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Which may be problematic (Asarco Inc. v. Court (1985), 611 F. Supp. 468 (D. N.J.); Unilever Acquisition Corp. v. Richardson-Vicks Inc. (1985), 618 F. Supp 407 (S.D. N.Y.)).

which it may ultimately be put. In *Packer v. Yampol*,[8] the court invalidated the grant and enjoined the voting of supervoting preferred shares that had been issued to a friendly party in the course of a proxy contest in reliance on the fact that the corporation had considered previously the issuance of such shares but had held off until the threat of takeover materialized. Care must be exercised to ensure that any series provisions are not inconsistent with the pre-existing class provisions, particularly with respect to voting rights.[9]

In Canada, defensive private placements in the face of a bid may be challenged before securities regulators under the post-2016 bid framework. In Mithaq Canada Inc. (Re), 2024 ONCMT 9, the Ontario Capital Markets Tribunal applied the *Hecla* framework (See *Hecla Mining Company (Re),* 2016 ONSEC 31 (Ont. Securities Comm.)) and held that, where a private placement materially affects the bid environment, the issuer may bear the burden of showing that the placement is clearly not a defensive tactic; if that burden is not met, the Tribunal balances the issuer's legitimate corporate objectives against shareholder choice and will cease-trade the placement only where it is clearly abusive of shareholders or the capital markets. In that case, although Aimia's private placement adversely affected Mithaq's bid, the Tribunal declined to cease-trade it because it was primarily directed at Aimia's serious and immediate financing need and was substantially planned before Mithaq announced its bid.

20:47. Repurchase of Dissidents' Shares[1]

Within the context of a proxy contest, management may wish to consider offering to purchase the shares of the dissident to dissipate the challenge.

Under the *OBCA* and *CBCA*,[2] a corporation may purchase or otherwise acquire any of its issued shares or warrants, or purchase or redeem any redeemable shares issued by it, subject to applicable statutory solvency tests and in the case of the redemption or purchase of redeemable shares at a price not exceeding the redemption price thereof.

A corporation seeking to repurchase its shares would have to comply with any applicable issuer bid requirements under the Ontario securities law.[3] The detailed issuer bid requirements

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Packer v. Yampol Del. Ch., C.A. No. 8432, , 1986 Del. Ch. LEXIS 413~~18 April 1986 (unreported)~~.

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Re Union Enterprises Ltd. (1985), 29 B.L.R. 128 (OBCA Dir.).

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See "Buying Out Insurgent Shareholders with Corporate Funds" (1960), 70 *Yale L.J.* 308; C.M. Nathan and M. Sobel, "Corporate Stock Repurchases in the Context of Unsolicited Takeover Bids" (1980), 35 *Bus. Law.* 1545.

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OBCA ss. 30, 31, 32; *CBCA* ss. 34, 35, 36.

3

and exemptions are principally set out in National Instrument 62-104, Take-Over Bids and Issuer Bids. Unless exempt, issuer bids must be made in compliance with Part 2 of NI 62-104. Exempt issuer bids include, *inter alia*, purchases, redemptions or other acquisitions of securities made in accordance with terms and conditions attaching to the class of securities that permit the purchase, redemption or acquisition by the issuer without the prior agreement of the owners, acquisitions made to meet sinking fund or purchase fund requirements, acquisitions required by the terms attaching to the securities or by the issuer's governing statute, and acquisitions made pursuant to a holder's redemption or repurchase right.~~Unless exempt, issuer bids must be made in compliance with sections 95 through 98 and section 100 of the *OSA*. Exempt issuer bids include, *inter alia*, purchases, redemptions or other acquisitions of shares, either made in accordance with the terms and conditions attaching to shares which permit non-consensual acquisitions by the issuer or required by the articles or governing corporate statute.~~

Corporate repurchases have been sustained in the U.S. where they were carried out for a legitimate business purpose and not principally to entrench incumbent management. The selling shareholder must represent a threat to the continued existence of the corporation or the pursuit of its business policies where a premium is concerned. Independent directors and an investment bank should be considered to support the repurchase decision. The business judgment rule will generally apply.[4]

In addition to repurchases from proxy contestants, management may wish to consider the alternative of causing entities under their control to purchase additional shares in order to increase the pro-management vote and reduce the availability of free shares on the market. There is a general prohibition against subsidiaries holding shares of holding bodies corporate,[5] which

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"Issuer bid" is defined by *OSA* subs. 89(1) to mean:

> "a direct or indirect offer to acquire or redeem a security or a direct or indirect acquisition or redemption of a security that is, (a) made by the issuer of the security; and (b) within a prescribed class of offers, acquisitions or redemptions~~... an offer to acquire or redeem securities of an issuer made by the issuer to any person or company who is in Ontario or to any security holder of the issuer whose last address as shown on the books of the issuer is in Ontario and includes a purchase, redemption or other acquisition of securities of the issuer by the issuer from any such person or company, but does not include an offer to acquire or redeem debt securities that are not convertible into securities other than debt securities~~."

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E.g., proper where a raid was intended, where the dissident's policy differences were not in the corporation's interests or in the case of substantive differences in business philosophies. See Cheff v. Mathes (1964), 199 A. 2d 548 (Del. Sup Ct.); Kors v. Carey (1960), 158 A. 2d 136 (Del. Ch.); Kaplan v. Goldsamt (1977), 380 A. 2d 556 (Del. Ch.); Heine v. Signal Cos. Inc., [1976-77] CCH Fed. Sec. L. Rep §95,898 (S.D. N.Y.); Polk v. Good (1986), 507 A. 2d 531 (Del. Sup. Ct.). In Schilling v. Belcher (1978), 582 F. 2d 995 (5th Cir.), where the corporation purchased a block of shares of three shareholders -- whose shares were adequate to return nominees of a dissident group with whom they had been negotiating--at a price approximately double the market price, it was held that the directors acted primarily to perpetuate control. The dissident group with 45% of the shares, had long standing ties with the corporation and had not given any indication of an intention to change corporate policy, strip assets or alter the corporation's structure.

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OBCA s. 28; *CBCA* s. 30.

appears to restrict the ability to use subsidiary corporations to collect shares.[6] Management may typically also have control over various employee benefit plan entities, such as corporate pension funds, employee share-purchase plans or deferred profit-sharing plans, which may be considered for such purpose. Any such transaction would of course have to comply with applicable legislation.[7] In the event shares are purchased by any employee plan, the trustees thereof must ensure that they comply with their fiduciary dudes to the plan's beneficiaries and that the transaction is not solely for the purpose of entrenching management.[8]

Repurchases may also occur following an unsuccessful proxy contest where the insurgent has no interest in retaining its stake and management wishes to be rid of a difficult minority holder.

20:48. Sale, Disposal or Liquidation

When a corporation suspects that a shareholder may seek control, it may wish to consider the disposition of an attractive asset or a liquidation. There are obvious problems inherent in effecting an asset sale or a sale of the target where there is a short period of time available for the sale and uncertainty over the future control of the corporation due to an impending proxy contest. Such dispositions may require shareholder approval, resulting in time delays and a potential precipitation of the very proxy contest sought to be avoided. The "all or substantially all" concept[1] is a familiar problem for corporate lawyers attempting to identify the need for

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It is not dear, however, whether corporations of which the target holds less than a control block might not be used for such purpose.

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Actions taken by plan trustees may, depending on the facts, be characterized as being taken jointly or in concert with the corporation for purposes of the issuer bid rules, particularly where the trustees acquire shares pursuant to an agreement, commitment or understanding with the corporation; see OSA s. 90 and National Instrument 62-104, Take-Over Bids and Issuer Bids, s. 1.9.~~Actions taken by plan trustees may be characterized as being taken "jointly or in concert" with the corporation (*OSA* subs. 91(1)).~~

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Pension Benefits Act (Ontario), R.S.O. 1990, c. P.8, s. 22. T~~Recently, t~~he former pension fund manager and certain directors of Enfield Corporation Ltd. were charged by the Pension Commission of Ontario under the Ontario *Pension Benefits Act* in connection with a purchase of approximately 2,000,000 Enfield shares by a pension plan managed by Enfield for a subsidiary at a time when Enfield was the subject of a proxy contest for control. Persons charged included the corporation's pension investment committee for a failure to exercise adequate supervision and in one case, for a conflict of interest (The Globe & Mail (23 August 1990) B-2). In the U.S., under ERISA s. 404, a plan fiduciary must discharge his or her duties solely in the interests of plan participants and beneficiaries, and must act for the exclusive purpose of providing them benefits. Section 406 prohibits certain transactions, including those with parties in interest, such as the employer, directors, employees and holders of 10% or more of the stock. See Central Motor Co. v. U.S. (1978), 583 F. 2d 470 (10th Cir.).

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shareholder approval, and is generally treated on both a qualitative and quantitative test basis.[2] Outside professional advisers as well as independent directors could be of crucial importance in such dispositions and, in the case of transactions governed by Multilateral Instrument 61-101~~OSC Policy Statement No. 9.1~~,[3] may be mandated. Any change in the composition of the corporation's assets within the context of a proxy contest will need to be founded upon the best interests of the corporation.

20:49. Compromise and Standstill Agreements

The possibility of negotiation with the dissident by a better informed and financed management should be considered. Relatively minimal compromises may be sufficient to avoid a potential contest and may be particularly attractive in an uncertain situation where neither side is confident of victory. For example, it may be possible to offer one or more board seats to dissident representatives as a stop-gap measure while management seeks to effect a corporate restructuring, sale transaction or other resolution.

A potential problem for arrangements of such type may be presented by the corporate legislation, especially in the case of last-minute settlements. Pursuant to the *CBCA-type* statutes, proxyholders take on an obligation to vote the proxies solicited by them or on their behalf in accordance with the instructions granted. While the statutes contemplate that the form of proxy may expressly provide for the power of proxyholders to vote in the case of variations and amendments, the ambit of this power, particularly in cases where the change is initiated by management, has not been tested. Such concerns might be addressed by making express reference in the circular to the possibility of a compromise (although this may be strategically undesirable) and to a proposed course of action by the proponents in such event.

In a ~~recent~~ contest, Carl Icahn threatened to launch a proxy contest to oust the incumbent board of USX Corp., but after discussions with management agreed not to propose an alternative slate if USX agreed to put to a non-binding shareholder vote at its annual meeting a break-up plan to divide its steel business from its other businesses. This settlement did not preclude a subsequent electoral contest by Icahn.[1]

OBCA subs. 184(3); *CBCA* subs. 189(3).

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Mobil Corp. v. Marathon Oil Co., [1981-82] CCH Fed. Sec. L. Rep. ~~§~~98,399 (6th Cir.); Campbell v. Vose (1975), 515 F. 2d 256 (10th Cir.); Katz v. Bregman (1981), 431 A. 2d 1274 (Del. Ch.); Gimbel v. Signal Cos. (1974), 316 A. 2d 599 (Del. Ch.); affd (1974), 316 A. 2d 619 (Del. Sup Ct.).

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Multilateral Instrument 61-101, Protection of Minority Security Holders in Special Transactions.~~"Disclosure, Valuation, Review and Approval Requirements and Recommendations for Insider Bids, Issuer Bids, Going Private Transactions and Related Party Transactions" (1991), 14 *O.S.C. Bulletin* 3345.~~

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Wall Street Journal (9 March 1990) A1, A4. While the plan as proposed by Icahn was initially unsuccessful, USX eventually decided to divide its businesses.

Standstill agreements may be negotiated between management and significant shareholders who are actual or potential proxy contestants. These agreements may provide a temporary accommodation through maintenance of the status quo, usually at the cost of some concessions by management.[2] Standstill provisions may include the following:

(1) a moratorium on further acquisitions of shares or solicitations by the dissident in opposition to management;

(2) an agreement not to vote dissident shares against management;

(3) an agreement by the dissident to support specific management initiatives;

(4) an agreement by management to recommend a dissident proposal;

(5) board representation for the dissident; and

(6) establishment of a special shareholder representative committee.

IV. Proxy Solicitation Process

20:50. Generally

Proxy solicitation comprises two principal elements: (1) the administrative function of delivering meeting materials (whether by mail or electronically)~~mailing and forwarding meeting materials~~ -- either directly, in the case of registered beneficial owners, or indirectly through one or more intermediaries, in the case of non-registered beneficial owners -- and tabulating proxies; and (2) the task of persuading shareholders to support the solicitor's program by the effective delivery of a proxy or casting of their votes. In the case of management, the first task is generally assigned to ~~the registrar and~~ transfer agent of the corporation, and the second is performed by management and employees, although a professional proxy solicitor may also be used. Dissidents do not generally have the luxury of calling on the corporation's ~~registrar and~~ transfer agent, and must, unless the number of shareholders is small, retain a service company. The persuasive function may be performed by the dissidents themselves, possibly aided by a professional proxy solicitor.[1] In the case of non-contested meetings, the persuasive element is generally not emphasized, except where a particular quorum or level of approval is sought. Where a meeting is contested, a premium will be placed on communication with shareholders, and repeated mailings or deliveries may be made based on the theory that many shareholders return the last form of proxy provided to them.

While the solicitation of proxies from registered shareholders does not present particular logistical problems[2] and personal delivery may be resorted to in the case of last-minute

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See S. A. Baronoff, "The Standstill Agreement: A Case of Illegal Vote Selling and a Breach of Fiduciary Duty" (1984), 93 *Yale L.J.* 1093; Weinberger v. Bankston, [1987~~-88~~] CCH Fed. Sec. L. Rep ~~§~~93,539 (Del. Ch.); Ivanhoe Partners v. Newmont Mining Corp., [1987-88] CCH Fed. Sec. L. Rep. ~~§~~93, 503 (Del. Ch.); (1987), 535 A. 2d 1334 (Del. Sup. Ct.), where a standstill agreement was held subject to the *Unocal* standard (Unocal Corp. v. Mesa Petroleum Corp. (1985), 493 A. 2d 946 (Del. Sup. Ct.)).

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The elements of what constitutes "solicitation" are discussed in Ch. 18.

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As long as this has been disclosed.

solicitations, the situation with non-registered beneficial owners is far more complex. Indeed, in such cases the administrative problems presented by the convenience of street-form or book-entry stock threaten to undermine the effective working of the solicitation process. Even where the contestant has been able to identify the beneficial owner, he or she must be careful that a properly completed proxy is delivered on such person's behalf by the registered holder.

The solicitation of proxies from non-registered beneficial owners of shares is at least a two-step process and may involve several parties. The actual solicitation is of the proxy in the name of the registered holder intermediary (whether a depositary, in which case there may be additional intervening parties, or a dealer or other nominee holder), but the intermediary must seek instructions from the beneficial owner before voting.[3]

Particular attention must be paid in the case of contested meetings to the mechanics of seeking proxies from non-registered beneficial owners.

Under National Instrument 54-101, the soliciting person typically engages a proxy solicitation agent or service provider to coordinate communications with intermediaries. The intermediary is contacted electronically ~~The broker is contacted by search card~~ and requested to advise by return card how many sets of materials are required for the beneficial holders. The soliciting person agrees to reimburse the intermediary~~broker~~ for any costs incurred by it in connection with obtaining instructions from its clients. A transmittal letter is provided to intermediaries ~~brokers~~ to accompany the materials being sent to beneficial owners, which sets forth the source of the materials and the need for voting instructions. The broker is essentially a go-between, receiving materials from opposing sides and, where appropriate, forwarding these to the beneficial owners. The intermediary will include a voting instruction form (Form 54-101F6) ("VIF"), ~~broker will usually include a card, commonly an encoded version of the form of proxy~~, which the beneficial owner then uses to provide written instructions as to how the intermediary ~~broker~~ is to vote the stock. Beneficial owners may also have the option to submit their voting instructions electronically through an online voting platform. The seeking of instructions is distinct from the giving of advice by the intermediary~~broker~~ to the beneficial owner.[4]

The VIF ~~instruction card~~ must provide a means whereby the beneficial owner ~~customer~~ can specify a choice between approval and disapproval of each matter. The VIF ~~card~~ should mirror the proxy language with respect to the granting of discretion in the event of the failure by any person to specify instructions. The VIF ~~instruction card~~ and any ~~the~~ proxy materials sent to the beneficial owner should be tracked~~encoded~~, in the case of both the management and dissident materials, in such a way that the registered holder can identify from which beneficial owner they originate in order to be able to identify with precision when a particular owner's instructions have changed. The ~~card~~ VIF should also be dated so that the intermediary ~~broker~~ can ascertain which

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3 See the discussion in Ch. 18.

4 It is common for customers to ask their intermediaries ~~brokers~~ for advice. Where the request of the beneficial owner is not solicited, an intermediary~~a broker~~ may be able to advise in response. Where such advice is volunteered by the intermediary ~~broker~~, the situation is likely different, and the intermediary~~broker~~ may find him or herself in the situation of having solicited proxies.

is the later, and therefore governing, intention. In some cases, the intermediary may ~~Prevailing practice is for the broker to~~ use the actual proxy form as the basis for the VIF~~instruction card~~. For this reason, the beneficial owner ~~the customer~~ who signs the ~~card~~ form may conclude that he or she is intended to follow the delivery instructions on its face and to return the card directly to the company or insurgent, with the result that, not being the true proxy of a registered holder, it is invalid.[5] This can often lead to confusion, especially where the intermediary~~broker~~ does not clearly mark the ~~instruction card~~VIF in order to indicate that it is not an actual proxy but merely an a voting instruction form~~instruction card~~. Where a beneficial owner mistakenly submits a VIF as their~~customer mistakenly files an instruction card as his or her~~ proxy, a corrective explanatory letter should be forwarded to him or her clarifying the situation and requesting that the ~~card~~ form be sent to the ~~broker~~intermediary. Where a ~~customer~~ beneficial owner signs a regular proxy form, the intermediary ~~broker~~ should arguably treat the form as the beneficial owner's~~customer's~~ written instructions.

The same process must be repeated whenever follow-up letters are sent, including fresh forms of proxy.

V. Proxy Contest Expenses

20:51. Generally

Proxy contests are both expensive and uncertain. Along with any analysis of the chances of success must go the determination of likely expenses and available funds, to which considerations may be added those of potential reimbursements by the corporation and the likelihood of tax deductibility.

Significant expenses likely to be incurred include: fees for lawyers (strategy, preparation of materials and potential litigation), public relations personnel, proxy solicitors, investment bankers, accountants, proxy tabulators and examiners, and scrutineers; the cost of preparing, printing and distributing (whether by mail or electronically) ~~often mailing~~ multiple shareholder communications such as circulars, forms of proxy, advertisements and follow-up communications; fees and related expenses for distributing materials through the broker and clearing agency network and obtaining instructions; travel, telephone and telecommunications costs incurred by contacting shareholders, analysts and the press; and information collection costs. The expenses incurred by either side will depend to a significant degree on those of the other. Because of the constant need to counter each move made by the opposition, it is not surprising that costs may mount.

Management has a clear advantage in its ability to draw upon the corporate treasury, subject, of course, to the general rules as to the use of corporate property, including that it further the corporation's interests. It is well recognized that management is entitled to expend corporate funds for the purposes of calling and organizing corporate meetings, informing shareholders of the matters to be considered, and giving notice and obtaining a quorum.[1]

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Procedure is contemplated in the N.Y.S.E. Company Manual (Aranow and Einhorn, at 255). See also National Instrument 54-101, ss. 2.3-2.4 and 4.1-4.6, and Form 54-101F6 for the prescribed requirements for voting instruction forms.

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Aranow and Einhorn, at 548-49; Lawyers' Advertising Co. v. Consolidated Ry. Lighting and

There is an apparent dearth of authority with respect to the expenditure of corporation funds on proxy solicitations. This is so despite the fact that contest expenses may be high and that certain disclosures with respect to solicitation expenses are required to be included in the circular. Pursuant to the *CBCA*-type statutes, the circular must state the name of the person by whom the cost of the solicitation has been or will be borne directly or indirectly, and, where solicitation is to be made by specially engaged employees or agents, the cost or anticipated cost must be disclosed.[2]

In *Studdert v. Grosvenor*,[3] directors had sent shareholders stamped proxy forms containing names of certain directors as proxyholders. The court held that the board could not use corporation funds to pay for the return postage on, or the printing or sending out of, proxy forms with the names of proposed proxyholders thereon, or otherwise in a manner calculated to influence shareholder voting. But *Wilson v. London, Midland and Scottish Ry. Co.*,[4] held that the directors of a railway company were entitled to send out stamped proxy forms to shareholders in order to obtain a quorum at the annual meeting.

The Anglo-Canadian case generally looked to in these matters is that of *Peel v. London and North Western Ry. Co.*,[5] which held that management was permitted to spend corporate funds in order to make its position known to the shareholders.[6]

In the U.S., the reasonable expenditure of funds within the context of a proxy contest has usually been upheld where the contest involves the defence or explanation of corporate policy rather than directors acting solely, or primarily, to preserve control.[7] The apparent general

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Refrigerating Co. (1907), 80 N.E. 199 (N.Y. Ct. App.).

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OBCA Reg. s. 29, paras. 4, 5, s. 32, para. 2; *CBCA Reg.* ss. 35(d), (e), s. 38(b). See an analogous provision *vis-à-vis* election contests in item 3(b) of Schedule 14A *(1934 Act)*, which excepts those expenses normal for an uncontested election and salaries of regular employees and officers.

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Studdert v. Grosvenor (1886), 33 Ch. d. 528 (Ch. d.).

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Wilson v. London, Midland and Scottish Ry. Co. [1940] 1 Ch. 393 (C.A.).

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Peel v. London and North Western Ry. Co. [1907] 1 Ch. 5 (C.A.).

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See also Campbell v. Australian Mutual Provident Soc'y (1908), 77 L.J. P.C. 117, 24 T.L.R. 623.

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Hall v. Trans-Lux Daylight Picture Screen Corp. (1934), 171 A. 226 (Del. Ch.); Rosenfeld v. Fairchild Engine & Airplane Corp (1952), 116 N.Y.S. 2d 840 (Sup. Ct.); affd (1954), 132 N.Y.S. 2d 273; affd (1955), 128 N.E. 2d 291 (Ct. App); rearg denied (1955), 130 N.E. 2d 610, 309 N.Y. 807 (Ct. App.); Kors v. Carey (1960), 158 A. 2d 136 (Del. Ch.); Steinberg v. Adams (1950), 90 F. Supp. 604 (S.D. N.Y.); Empire Southern Gas Co. v. Gray (1946), 46 A. 2d 741 (Del. Ch.); D.M.

principle is that expenses may properly be charged to the corporation where these are reasonable and have been expended in the best interests of the corporation to further the intelligent exercise of the shareholders' franchise, but not where they have been made solely in the interests of the entrenchment of the board. The board of directors should be careful to determine whether a dissident proposal is in the best interests of the corporation, and, where in good faith they determine that it is not, the directors may probably utilize corporate funds in the contest.[8]

Although the election of directors may be the issue, that by itself is not determinative of whether expenses concern no issue of policy.[9] The customary distinction between policy and control issues is somewhat artificial and difficult to apply.

Expenditures on public relations, proxy solicitation firms and special counsel have been accepted,[10] as has the reimbursement of losing management expenses.[11]

Questions may be raised as to the propriety of using corporate employees in the solicitation of proxies, even though the proxy regulations implicitly appear to contemplate such solicitation.[12]

Friedman, "Expenses of Corporate Proxy Contests" (1951) 51 *Col. L. Rev.* 951.

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Expenditures of this type have been held in the U.S. to constitute an ordinary and necessary cost of corporate business and, therefore, to be deductible for tax purposes (Locke Manufacturing Cos. v. U.S. (1964), 237 F. Supp. 80 (D. Conn.)). Where the motivation for a proxy contest is the desire to increase the value of the corporation's shares, there is a reasonable chance for success, and where there is a causal connection between the contest and an increase in value, a contestant may deduct the expenses (Surasky v. U.S. (1963), 325 F. 2d 191 (5th Cir.); Graham v. Commissioner of Internal Revenue (1964), 326 F. 2d 878 (4th Cir.)).

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Hall v. Trans-Lux Daylight Picture Screen Corp. (1934), 171 A. 226 (Del. Ch.), where it was felt unreasonable to require directors to personally defray expenses incidental to the performance of their duties. There is a contrary argument that the use of corporate funds by directors to perpetuate their position encourages mounting an expensive campaign against insurgents and is wasteful.

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Levin v. Metro-Goldwyn-Mayer Inc. (1967), 264 F. Supp. 797 (S.D. N.Y.). This appears to go beyond the mere provision of information to shareholders, to actual active solicitation.

11

Under a statutory indemnification provision (Hibbert v. Hollywood Park Inc. (1983), 457 A. 2d 339 (Del. Sup Ct.)). See F.C. Latcham and F.D. Emerson, "Proxy Contest Expenses and Shareholder Democracy" (1952), 4 *Case West Res. L. Rev.* 5; D.M. Friedman, "Expenses of Corporate Proxy Contests", (1951), 51 *Col. L. Rev.* 951; Lawyers' Advertising Co. v. Consolidated Ry. Lighting and Refrigerating Co. (1907), 80 N.E. 199 (N.Y. Ct. App.); In re Zickl (1947), 73 N.Y.S. 2d 181 (Sup Ct.).

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It is unclear whether successful proxy contestants may properly reimburse themselves for costs incurred,[13] although this is generally the only situation where they may reasonably anticipate reimbursement.[14] In *Rosenfeld v. Fairchild Engine & Airplane Corp.*,[15] the court noted in *obiter* that shareholders had the right to reimburse successful contestants for *bona fide* reasonable expenses incurred in a proxy contest, subject to court scrutiny.

Significantly, where a proxy contest involves issues rather than control, even a successful dissident will not generally be reimbursed.

Unsuccessful dissidents must generally anticipate paying all of their own expenses without the prospect of reimbursement by the corporation, at least unless they obtain shareholder approval thereof.[16] The reimbursement of a dissident's expenses may be part of a settlement package. Despite some commentators' suggestion that even unsuccessful dissidents might be reimbursed based on the proportion of votes obtained, without some protection against abuse, any such encouragement of contests by the courts seems unlikely.[17]

Aranow and Einhorn, at 564. For a discussion of the legitimacy of directors using corporate resources to seek re-election, see: M. A. Eisenberg, "Access to the Corporate Proxy Machinery" (1970), 83 *Haru L. Rev.* 1489.

13

L. Loss, Fundamentals of Securities Regulation, 2d ed. (Boston: Little, Brown & Co., 1988), at 452. *OBCA* subs. 105(6) and *CBCA* subs. 143(6) both contemplate the reimbursement of requisitioning shareholders' reasonable expenses except, in the case of the *OBCA*, where they have not acted in good faith and in the interests of the shareholders of the corporation generally, and, in the case of the *CBCA*, where shareholders otherwise resolve at a requisitioned meeting.

14

The court, in Steinberg v. Adams (1950), 90 F. Supp. 604 (S.D. N.Y.), in applying Delaware law, refused to draw a distinction between those contestants on the outside who succeeded and management, and allowed an insurgent group to be reimbursed its reasonable expenses where these were ratified by a majority of the shareholders.

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Rosenfeld v. Fairchild Engine & Airplane Corp (1952), 116 N.Y.S. 2d 840 (Sup. Ct.); affd (1954), 132 N.Y.S. 2d 273; affd (1955), 128 N.E. 2d 291 (Ct. App); rearg denied (1955), 130 N.E. 2d 610, 309 N.Y. 807 (Ct. App.).

16

Phillips v. United Corp (1948), Cir. No. 40-497 (S.D. N.Y.); appeal dismissed (1948), 171 F. 2d 180 (2d Cir.); Grodetsky v. McCrory Corp (1966), 267 N.Y.S. 2d 356 (Sup Ct.); affd (1966), 276 N.Y.S. 2d 841 (1st Dept); Johnson v. Tago Inc. (1986), 188 Cal. App. 3d 507, 233 Cal. Rptr. 503 (Ct. App).

17

L.S. Machtinger, "Proxy Fight Expenditures of Insurgent Shareholders" (1968), 19 *Case West Res. L. Rev.* 212; "Proxy Contests: Corporate Reimbursement of Insurgents' Expenses" (1956), 23 *U. Chi. L. Rev.* 682; E.R. Aranow and H.A. Einhorn, "Corporate Proxy Contests: Expenses of

VI. Conduct of the Meeting

20:52. Agreements as to Procedure and Protocol[1]

Both sides in a proxy contest may have cogent reasons for agreeing to a mutually acceptable set of rules and procedures governing the meeting. A fundamental problem, as discussed in Chapter 19, is the absence of clear legal authority with respect to many aspects of meeting procedure. The adoption of a common set of rules may reduce the necessity for challenges or recourse to the courts where the validity or propriety of procedures is uncertain. Management generally does not wish to have the meeting disrupted, delayed or filibustered, or to have itself embarrassed or subjected to litigation. Dissidents may fear the potentially biased use which management may make of its control over the conduct of the meeting, proxy rules and voting procedures. When an agreement can be reached in advance of the meeting, both sides are better able to focus on the substantive issues to be raised. With the possible exception of a contestant seeking to avoid anticipated negative voting results, no person's interest is served by confusion and controversy at the meeting.

A corporation may resist agreements which purport to be other than purely procedural. Shareholders other than the dissidents party to the agreement may also have independent views and interests.

Agreements on meeting procedures may address all or some of the following matters:[2]

(1) chair (whether independent or not);
(2) secretary;
(3) scrutineers;
(4) court reporter and transcripts of proceedings;
(5) attendance of media;
(6) attendance of legal counsel;
(7) attendance of other non-shareholders;
(8) seating arrangements;
(9) number and placement of microphones;
(10) room layout;
(11) agenda;
(12) quorum;
(13) number and length of speeches;
(14) number and order of speakers;
(15) issue presentation, and questions and answers;

Management and Insurgents" (1956), 42 *Corn. L. Q.* 4; D.M. Friedman, "Expenses of Corporate Proxy Contests", (1951), 51 *Col. L. Rev.* 951; L.A. Bebchuk and M. Kahan, in "A Framework for Analyzing Legal Policy Towards Proxy Contests" (1991), 78 *Calif. Law Rev.* 1071, argue for compensation for both sides based on, among other things, success.

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Aranow and Einhorn, at 381-82.

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A.G. Sparks and W.F. Grienenberger, "Conducting the Annual Shareholders' Meeting of a Delaware Corporation" in Block and Pitt, 305, at 318-20.

(16) nominations;
(17) deposit and safekeeping of proxies and ballots;
(18) opening and closing of polls;
(19) vote tabulation procedures;
(20) proxy and ballot review and challenge procedures;
(21) adjournments and recesses;
(22) challenges to rulings;
(23) timing and delivery of preliminary and final results;
(24) meeting expenses; ~~and~~
(25) validity of proxies;~~,~~ and,

(26) procedures governing virtual or hybrid meetings, including electronic attendance, authentication of participants, electronic voting, management of technical disruptions, and online shareholder participation.

A separate protocol with respect to the validity of proxies may also be agreed upon.[3] Such protocol and the agreement may be helpful not only to contestants, but also to the chair and scrutineers.[4]

Since the increased use of virtual and hybrid shareholder meetings, parties may also agree on procedures governing electronic participation, including authentication of participants, electronic voting, the management of technical disruptions, and the manner in which shareholders may ask questions or otherwise participate during the meeting. Such procedures supplement, rather than replace, the traditional procedural matters described above, and should be considered where the meeting is conducted in whole or in part by electronic means (See *Canada Business Corporations Act*, R.S.C. 1985, c. C-44, ss. 132(4)-(5) (electronic participation and virtual shareholder meetings) & Canadian Securities Administrators, *Canadian securities regulators provide updated guidance on virtual shareholder meetings* (22 February 2024))

Where a meeting is conducted in whole or in part by electronic means, the protocol may also address procedures for the verification of electronically submitted proxies and voting instructions, and the resolution of technical or authentication issues affecting proxy validation (See *Canada Business Corporations Act*, R.S.C. 1985, c. C-44, ss. 132(4)–(5) (electronic participation in shareholder meetings) & Canadian Securities Administrators, *Canadian securities regulators provide updated guidance on virtual shareholder meetings* (22 February 2024) (recommending that reporting issuers adopt procedures to facilitate meaningful

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3 The standard proxy protocol developed by STAC *(Protocol)* is not intended to be used in connection with contested meetings, but may serve as a starting point. See also *Guide to Shareholder Activism and Proxy Contests in Canada* (Davies Ward Phillips & Vineberg LLP, 2023), noting that, in contested meetings, parties frequently negotiate meeting protocols and may adopt the STAC Proxy Protocol, with appropriate modifications, as a starting point.

4 For example, the protocol may authorize scrutineers to contact brokers with respect to overvoting situations as well as other shareholders whose intentions are ambiguous or proxies invalid (K.J. Bialkin, "Proxy Contests" (1983), 15 *Annl. Inst. on Sec. Reg.* 841 *("Bialkin")*, at 880-81).

shareholder participation and voting in virtual meetings).

20:53. Constating Documents

The articles and by-laws of the corporation should be carefully reviewed to identify any potential avenues for challenge. As circumstances change, it may be required to amend the constating documents in order to enhance the ability to respond to any anticipated problems.

20:54. Role of the Chair

A contested meeting is the severest test for a chair. The chair must act in a quasi-judicial capacity, with honesty and fairness and in the best interests of the corporation (See *Pressello v. Venture Pacific Development Corp.*, 2001 BCSC 1733, 20 B.L.R. (3d) 96 (B.C. S.C.)). Where there is any question as to a chair's disinterestedness or fairness, dissidents may seek to have an independent chair appointed.

While the preparation of a chair's script is standard practice for shareholders' meetings, its role is even more crucial within the context of a contested meeting where interventions may be anticipated and the chair may be called upon to make controversial rulings. The chair is thereby given a road map for conducting a lawful meeting that will hopefully reduce the chances of a successful challenge. The chair will also be prepared for at least those contingencies that can be foreseen.

VII. Review and Counting of Proxies[1]

20:55. Generally

The review and counting of proxies is crucial to the outcome of the contest and may therefore be hotly contested, particularly where the results are close. In the public company setting, this task is carried out by the scrutineers and can be very time consuming and labour intensive. In Canada, the corporation's transfer agent typically provides vote tabulation services through the intermediary network established under National Instrument 54-101. In contested meetings, specialized proxy solicitation firms are commonly retained to track voting, monitor proxy submissions, and coordinate with the transfer agent and intermediaries.~~this duty is generally carried out by the corporation's registrar and transfer agent~~. In the U.S., due to the litigious nature of these procedures, independent inspectors, such as the Corporation Trust Company, are retained to review and count proxies.

In general, the tabulation and counting of proxies is another arena where management holds a potential advantage. Because proxies are submitted to the ~~registrar and~~ transfer agent, who is generally under contract to the corporation, the proxies may be subject before the meeting to review by management representatives, who are then able to contact persons submitting adverse proxies. This advantage has resulted in proposals, particularly in the U.S., for confidential voting procedures where all proxies (or at least those of certain constituencies such as employees, customers or suppliers, or others over which coercive powers may be wielded) are

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A. Smith, "Voting in Contested Elections" (1991), 5:3 *Insights* 25. See also National Instrument 54-101—*Communication with Beneficial Owners of Securities of a Reporting Issuer*; CSA Staff Notice 54-305 —*Meeting Vote Reconciliation Protocols* (2016).

held confidential in perpetuity, or at least until the voting is complete.[1]

It is generally advisable, where management and dissidents wish to be present to oversee the count, that an agreement be reached as to the timing of the review, the arrangements for representatives to be present, the attendance of counsel, the safekeeping of the proxies, and the making and recording of challenges. The parties may also agree on procedures governing the reconciliation of voting instructions received through intermediaries, the resolution of overvoting or other discrepancies, and the review of electronically submitted proxies or voting instructions (See CSA Staff Notice 54-305 – *Meeting Vote Reconciliation Protocols* (2016)).

Representatives for each side should be selected who know the factual background of the contest, are familiar with the proxies delivered by his or her group, are well versed in the grounds for challenging proxies, and are prepared and authorized to make challenges and address challenges raised by the other side. Familiarity should extend to all legal questions concerning the validity of proxies, the powers of the scrutineers and the availability of remedies.

There are two principal methods which may be followed:

In the U.S., the practice has proven to be time consuming, taking sometimes several days or even weeks, and each side being present with a whole group of representatives in a counting room, often in a hotel. The name and number of shares of each shareholder is called out and the proxy therefor provided by a representative of each side, who then provides it to the opposing group for review. Teams seated at tables with adding machines count each proxy as it comes up in order to provide an alphabetized hard copy of the tally. The number of votes for a side is then tallied on the adding machine by the scrutineers for that side, with the side itself keeping a separate tally. Accepted proxies which have been counted are then assembled alphabetically and

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Arguments in favour of such procedures include: the protection of vulnerable shareholders from coercion and the protection of voting privacy in general, and the removal of management's advantage of being able to resolicit adverse voters. Opponents cite the following arguments: the corporation has in actuality negligible coercive power; there are other means of discerning how shareholders voted; management is unable to ensure that quora and other voting requirements are met; shareholder communication is disrupted; confidentiality is already available through shareholdings in nominee or street form; and proxies must be subject to the adversarial processes involved in the counting and review of proxies by parties (T. Smee, “Selected Issues Relating to Proxy Solicitation” in Securities Law Superconference, The Canadian Institute, Toronto, Ontario, June 14, 1991, 1, at 16-17). A shareholder proposal for the institution of confidential voting of shareholder proxies was defeated at Maclean Hunter Ltd.'s 1993 annual meeting, receiving 23.8 per cent of the votes cast. It provided for all proxies, ballots and voting tabulations that identify shareholders to be kept permanently confidential except where disclosure is required by federal or state law or expressly requested by a shareholder and for the receipt and tabulation of proxies to be carried out by an independent third party.

Both BCE Inc. and Canadian Pacific Ltd. voluntarily adopted confidential voting policies when faced with shareholder proposals; the five major Canadian banks have each adopted a version of the procedure. In Beasley v. Goldbelt, [1991] 3 CCH Blue Sky Law Reports §73,353 (Alaska Sup. Ct.) it was held that a proxy prior to being voted at the annual meeting did not constitute a corporate record subject to inspection. While stating what the shareholder intends to do, subject to revocation a proxy is not the record of any corporate action.

set aside for the group to whom they were granted. Disputed proxies are set aside in a separate box. Depending on the outcome, it may or may not be necessary to return to the disputed proxies and resolve them. Shareholders' lists are required to be available in order for proxies to be counted against them.

Once the count is complete, the result should determine whether it is necessary to review the disputed proxies, which should have been divided as to the matter at issue to permit all to be resolved at once. Factual and legal arguments can then be advanced by both sides, and the scrutineers make their initial decision. A record should be made of the proceedings and all relevant documents retained.[2]

An alternative method, one which has generally been used in Canada, is to have the scrutineers make all initial determinations and tally the vote, and then provide an opportunity for each side to challenge any votes awarded to the other.[3]

Any challenges to proxies which are not resolved by the scrutineers to the satisfaction of either party are ultimately to be determined by the chair, whose rulings are subject to review by the court.

VIII. Shareholders' Meeting Challenges and Related Remedies

20:56. General[1]

Either side in a proxy contest, as well as other shareholders, may in appropriate circumstances seek judicial relief with respect to actions taken in connection with a contested meeting, including the solicitation of proxies.

There is a certain inconsistency in approach by courts as to irregularities at shareholders' meetings. This inconsistency is demonstrated by the difficulty of reconciling the case of *Pender v. Lushington*[2] -- where the chair disenfranchised certain voters and the result was overturned -- and the case of *MacDougall v. Gardiner*[3] -- where the chair adjourned the meeting, refusing to poll the meeting, and the court, relying on the *Foss v. Harbottle* principle, did not upset the result.[4] Courts have occasionally shown a reluctance to interfere with internal management,

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Aranow & Einhorn, at 371 et seq.

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Aranow and Einhorn, at 377, n. 71, notes that this method can save considerable time and effort.

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See, generally, *Peterson.*

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Pender v. Lushington (1877), 6 Ch. D. 70 (Ch. D.).

3

MacDougall v. Gardiner (1875), 1 Ch. D. 13 (C.A.).

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Foss v. Harbottle (1843), 2 Hare 461, 67 E.R. 189 (Ch. D.); see C.R. Baxter, “Irregular Company Meetings” (1976), *F. of Bus. Law* 323.

which is within the powers of the corporation to address, as in *Watt v. Commonwealth Petroleum Ltd.*,[5] where "irregularities" in voting, scrutineer appointments and recording of votes were held, in the absence of fraud or *ultra vires* acts, to be beyond cause of action by the shareholders.

The law is not clear as to what steps shareholders should or may legitimately take in the face of an illegitimate act by the chair. It has been suggested that shareholders should withdraw, on the grounds that proceedings taken were a nullity, or proceed under protest,[6] although any acquiescence on the shareholders' part may be viewed as determinative.[7]

Civil remedies for acts or omissions are preserved under the corporate statute.[8] With the ongoing development of statutory remedies and the uncertain content of non-statutory causes of action, it is likely that any prospective litigant will choose to proceed primarily under one of the following statutory provisions. The limitation periods for statutory remedies need to be noted.[9]

20:57. Election Controversy

"A corporation, shareholder or director may apply to the court to determine any controversy with respect to an election or appointment of a director or auditor of the corporation."[1] The court may make any order it thinks fit, including an order restraining a director or auditor, whose election or appointment is challenged, from acting in that capacity pending determination of the dispute; an order declaring the result of the disputed election or appointment; an order requiring a new election or appointment (including in such order

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Watt v. Commonwealth Petroleum Ltd., [1938] 4 D.L.R. 701 (Alta. C.A.).

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Aranow and Einhorn, at 306-307, n. 31.

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People ex rel. Thorn v. Pangburn (1896), 3 App. Div. 456, 38 N.Y.S. 217 (Sup. Ct.).

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OBCA s. 261; *CBCA* subs. 252(3).

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Two years from the time when the subject matter of the offence arose, except for proceedings in respect of, among others, s. 256, which must be commenced within two years after the facts upon which the proceedings are based first came to the knowledge of the *OBCA* Director (*OBCA* subss. 259(1), (2)); two years from the time when the subject matter of the complaint arose (*CBCA* subs. 252(2)); court proceedings under Part XXI of the *OSA* must be commenced not more than one year after the facts on which the proceedings are based first came to the OSC's knowledge, and proceedings under the *OSA* before the OSC must be commenced not more than two years after the facts on which the proceedings are based first first came to the OSC's knowledge (*OSA* s. 129).

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OBCA s. 107; *CBCA s.* 145.

directions for the management of the business and affairs of the corporation until a new election is held or appointment is made); and an order determining the voting rights of shareholders and of persons claiming to own shares.

The Canadian case law on this cause of action remains sparse.[2] In the U.S., courts have decreed revised results without ordering a new election.[3]

In Alberta, the equivalent cause of action was considered in *Mercury Partners & Co. v. Cybersurf Corp.*,[4] In this case it was said that a court should use its discretionary power to interfere in a corporation's internal affairs with caution.

In a not-for-profit case, *Lee v. Lee's Benevolent Assn. of Ontario*,[5] it was said,

> Absent some demonstrated evidence that any irregularities went to the heart of the electoral process or led to a result which does not reflect the wishes of the majority, the court should be loathe to interfere in the internal workings of such groups.

20:58. Derivative Action

A "complainant" (which term includes a current or former registered shareholder or beneficial owner of a security of a corporation or any of its affiliates, the Director (in the case of the *CBCA)*, a director or officer, or any other person the court believes is proper)[1] "may apply to the court for leave to bring an action in the name and on behalf of a corporation" (or a subsidiary), or to "intervene in an action to which any such body corporate is a party". In essence, the complainant must act in good faith and give reasonable notice to the directors of the intention to apply (14 days, in the case of an *OBCA* corporation), the directors must fail to pursue

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See Peterson, §7.3; Canadian Express Ltd. v. Blair (1989), 46 B.L.R. 92 (Ont. H.C.); appeal quashed (1991), 6 O.R. (3d) 212, 5 C.P.C. (3d) 161 (Div. Ct.); Cohen-Herrendorf v. Army & Navy Dept. Store Holdings Ltd. (1986), 55 Sask. R. 134 (Q.B.); Heil v. T.E.N. Private Cable Systems Inc. (1993), 11 B.L.R. (2d) 54 (B.C.S.C.).

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McLain v. Lanova Corp. (1944), 39 A. 2d 209 (Del. Ch.); Triplex Shoe Co. v. Rice & Hutchins Inc. (1930), 152 A. 342 (Del. Sup. Ct.); affg (sub nom. Rice & Hutchins Inc. v. Triplex Shoe Co.) (1929), 147 A. 317 (Del. Ch.).

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Mercury Partners & Co. v. Cybersurf Corp., 2003 CarswellAlta 1905, 43 B.L.R. (3d) 37, [2003] A.J. No. 1741 (Alta. Q.B.). See Procedural Summary F at 24.

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Lee v. Lee's Benevolent Assn. of Ontario, 2005 CarswellOnt 180, [2005] O.J. No. 194 (Ont. Div. Ct.), affirming 2004 CarswellOnt 8790, [2004] O.J. No. 6232 (Ont. S.C.J.).

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Which could include a creditor (First Edmonton Place Ltd. v. 315888 Alberta Ltd. (1988), 40 B.L.R. 28 (Alta. Q.B.)), but may exclude a former shareholder (Michalak v. Biotech Electronics Ltd. (1986), 35 B.L.R. 1 (Qué. S.C.)).

the action,[2] and the action must appear to be in the interests of the corporation.[3] In *Farnham v. Fingold*,[4] it was held that the statutory derivative action embraces all actions at law which a shareholder may sue for on behalf of a corporation.[5]

Minority shareholders have been able to bring a derivative action where they alleged that the majority of shareholders and management committed a constructive fraud (and the board a breach of fiduciary duty) by soliciting proxies for the general meeting without complying with the requirements of the statute, and by holding an election of directors without giving shareholders proper notice of the fact that three of the old directors were not going to be supported for re-election by the new management group but, rather, would be opposed by other nominees to be placed before the meeting.[6]

20:59. Oppression Remedy

A complainant[1] may apply to a court for a rectifying order where:

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A shareholder may not be forced to make the corporation bring the action where this is demonstrably futile (Schioivitz v. I.O.S. Ltd. (1971), 23 D.L.R. (3d) 102 (N.B.C.A.).

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OBCA s. 246; *CBCA* s. 239.

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Farnham v. Fingold (1972), 29 D.L.R. (3d) 279 (Ont. H.C.); revd (1973), 33 D.L.R. (3d) 156 (Ont. C.A.).

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See also Feld v. Glick (1975), 56 D.L.R. (3d) 649 (Ont. H.C.); Goldex Mines Ltd. v. Revill (1974), 54 D.L.R. (3d) 672 (Ont. C.A.), where it was noted that damage may be done to shareholders personally as well as to the corporation, in which case the cause of action would be personal and not derivative.

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Charlebois v. Bienvenu, [1967] 2 O.R. 635, 64 D.L.R. (2d) 683 (H.C.).

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Including, in the case of the *OBCA*, the Director thereunder and, in the case of an offering corporation, the OSC. In Lee v. International Consort Industries Inc. (1992), 4 B.L.R. (2d) 268 (B.C.C.A.), a director who is not a shareholder and therefore not a “member” under the former British Columbia *Company Act* was held not a proper person to bring an oppression remedy. Note, however, that the BC *Company Act* has since been replaced by the *Business Corporations Act* (SBC 2002, c. 57), which adopts a broader "complainant" definition (s. 232) similar to the *CBCA* and *OBCA*; directors may now be complainants under the current BC legislation. In Trillium Computer Resources Inc. v. Taiwan Connection Inc. (1992), 10 O.R. (3d) 249 (Ont. Ct. Gen. Div.), it was held that a party would not be a complainant for the purpose of bringing an application where it alleged that it became a creditor as a result of the oppressive conduct complained of.

(a) any act or omission of the corporation of any of its affiliates effects or threatens to effect a result;

(b) the business or affairs of the corporation or any of its affiliates are, have been or are threatened to be carried on or conducted in a manner; or

(c) the powers of the directors of the corporation or any of its affiliates are, have been or are threatened to be exercised in a manner,

that is oppressive or unfairly prejudicial to or that unfairly disregards the interests of any security holder, creditor, director or officer of the corporation ...[2]

The court is empowered to make an interim or final order, *inter alia*, restraining the conduct complained of, regulating the corporation's affairs by amending the articles or by-laws or by creating or amending a USA, substituting or adding to the directors in office, varying or setting aside a transaction or contract, rectifying records and requiring the trial of an issue.[3]

The court may make an order to wind up a corporation where the court finds conduct that qualifies as "oppressive" or "unfairly prejudicial"; or where the court is satisfied that there is a "just and equitable" ground to do so.[4]

This is probably the statutory shareholder remedy which has seen and will continue to see the greatest elaboration and development.[5]

In *Smith v. First Merchant Equities Inc.*,[6] where a special meeting was convened for the

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OBCA subs. 248(2); *CBCA* subs. 241(2).

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OBCA subs. 248(3); *CBCA* subs. 241(3).

4

OBCA ss. 207 and 248.

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See Peterson, §18; S.M. Beck, "Minority Shareholders' Rights in the 1980s" (1982), LSUC Special Lectures 311, at 312. It is not clear whether a cause of action might lie against the corporation or its officers and agents for an acceptance or rejection of a vote. See also The leading modern authority on the oppression remedy is *BCE Inc. v. 1976 Debentureholders*, *BCE*, 2008 SCC 69, (*sub nom.* **Aegon Capital Management Inc. v. BCE Inc.**) [2008] 3 S.C.R. 560 (S.C.C.), which established that the remedy requires courts to determine (1) whether the complainant had a reasonable expectation and (2) whether that expectation was violated by conduct that was oppressive, unfairly prejudicial, or unfairly disregarded the complainant's interests.

The *Model Business Corporations Act* s. 7.24 provides that the corporation and its officers and agents who act in good faith are not liable in damages for the consequences of the acceptance or rejection, even if it turns out the execution was invalid or unauthorized or, in the care of a rejection, because of a reasonable basis of doubt.

"Changes in the Model Business Corporation Act - Amendments Pertaining to Shareholder Meetings and Voting" (1995), 51 Bus. Law. 209, at 218.

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purpose of removing a director, the circular referred to fundamental differences between that director and other members of the board, and, while not providing details, implied that his continued presence would be divisive and against the corporation's interests. In rejecting an oppression remedy, the court stated that shareholders were provided with adequate information to make an intelligent decision.

In the case of *Papais v. Moretto*,[7] the applicants, being majority shareholders of a corporation, alleged that they had been precluded from obtaining information about the corporation and that the respondent director had failed to call shareholders' meetings for a number of years and had misappropriated funds. The applicants sought a number of orders from the Court, including an order under sections 207 and 248 of the *OBCA*, that the corporation be wound up on the basis of oppressive conduct. The Court said that the Supreme Court of Canada has identified two inquiries which the court must make when considering an oppression claim pursuant to section 248 of the *OBCA*, being whether the evidence:

1. supports the reasonable expectation asserted by the claimant; and
2. establishes that the reasonable expectation was violated by conduct falling within the terms "oppression", "unfair prejudice" or "unfair disregard" of the relevant interest.

In this case, the applicants claimed that they had a reasonable expectation to be provided with ongoing access to financial disclosure and to be informed about and participate in decisions. They also asserted that they had a reasonable expectation that control and decision making would be shared amongst the officers and directors, that the funds of the corporation would not be misappropriated and that they would have an opportunity to voice concerns and have these concerns addressed at shareholders' meetings. It was said that factors which a court may consider in determining whether a reasonable expectation exists include the general commercial practice, the nature of the corporation, the relationship between the parties and past practice. In this case, the judge was of the view that the expectations of the parties were reasonable based on general business practice and that there was disaccord, mistrust and some uncooperative and unbusiness like behaviour. However, the judge found that the evidence did not support the applicants' assertions that their reasonable expectations were violated by conduct falling within the terms oppression, unfair prejudice or unfair disregard of the relevant interests, and refused an order to windup the company on that basis. However, the judge did make a number of orders to ensure proper functioning of the business including an order to disclose financials and an order to hold shareholders meetings on an annual basis.

In *Re Astec (BSR) plc*,[8] a case involving a similar section (s. 459) under the *UK Companies Act* 1985 where a majority shareholder replaced board members at an extraordinary shareholders meeting, the court held that the fact that the shareholder chose to exercise its voting rights contrary to the recommendation of the board or a number of individual directors is no more than a demonstration of the fact that the board does not control shareholders. The fact that

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Smith v. First Merchant Equities Inc. (1988), 50 D.L.R. (4th) 369, 68 Sask. R. 161 (Q.B.).

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Papais v. Moretto, 2014 ONSC 1607, 2014 CarswellOnt 4937, 24 B.L.R. (5th) 334 (Ont. S.C.J.).

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Re Astec (BSR) plc, [1998] 2 B.C.L.C. 556 (Ch. D.).

the replacements were not known to the company does not help the petitioners since the minority voted against the resolution but their views did not prevail. The provision of information regarding the replacements would not and could not have made any difference. The fact that no reasons were given for the proposed changes could not have affected the result. The fact that no valid reason was given for the removal, and allegations as to possible future breaches of fiduciary duty, were also held not raise an arguable case.

In *Pressello v. Venture Pacific Development Corp.*[9] it was held that a shareholder could personally suffer oppression or unfair prejudice as the result of a decision by the chair to admit or reject proxies at a meeting. In that case, a group of dissident shareholders was granted relief when the chair disallowed all of the votes represented by their proxies comprising 60% of the shares to be voted. In disallowing the votes, the chair refused to answer questions relating to his decision other than to state that there had been an illegal solicitation of proxies and the meeting descended into chaos. The court found that before the AGM, the chair had formed the opinion that these proxies could be disallowed on two grounds, namely, (i) the dissident circular did not disclose that the dissident committee was a group of nominees acting on behalf of a family group attempting an illegal takeover bid, and (ii) the dissident circular contained allegedly false and misleading statements about the company and management's performance. The court was unable to conclude whether the circular was materially false on the first ground but determined there was no evidence of the second. The court held the chair had failed to meet his duty to act in a quasi-judicial capacity, with honesty and fairness and in the best interests of the company. The chair's decision was set aside, all votes at the AGM were declared null and void and a new AGM was to be called.

[See also: International Energy and Mineral Resources Investment (Hong Kong) Co. v. Mosquito Consolidated Gold Mines Ltd., [2012] B.C.J. No. 1664, 2012 BCSC 1191, 37 B.C.L.R. (5th) 342 (B.C. Supreme Court).]

20:60. Restraining or Compliance Order

A complainant may apply to the court for an order directing the corporation, or, among others, any director or officer thereof, to comply with (or restrain such person for breaching) the statute, regulations, articles, by-laws or a USA.[1]

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Pressello v. Venture Pacific Development Corp., 2001 CarswellBC 2845, 2001 BCSC 1733, 20 B.L.R. (3d) 96 (S.C.).

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OBCA subs. 253(1); *CBCA* s. 247. In Lei v. Noble China, Inc. (1996), 34 B.L.R. (2d) 172 (Ont. Gen. Div. [Commercial List], the applicant had previously nominated his lawyer as a director who had been elected. The lawyer resigned however at a point in time when the circular for the upcoming annual meeting had gone to the printers with the result that the circular was no longer accurate. The company decided to backdate the circular. The applicant argued that that action was contrary to OBCA s. 253(1) and applied for an order preventing the meeting from being held until he had the opportunity to prepare a dissident circular. The court in dismissing the application held that the remedy was discretionary and furthermore courts should only interfere in corporate conduct where there is substantial risk of harm to the corporation or the shareholders or where it is patently clear that the conduct has been illegal or abusive. It commented that

In *Polar Star Mining Corp. v. Willock*,[2] the corporation brought an application under s. 247 of the CBCA alleging that four press releases issued by Willock, a director and shareholder of the corporation, before issuing a dissident proxy circular amounted to a solicitation of proxies in violation of s. 150(1)(b) of the Act. Hoy J. held that s. 247 of the Act did not apply to challenge the conduct of a shareholder in his capacity of a shareholder.

Where it appears to the OSC that any person or company has failed to comply with or is violating any decision or provision of the *OSA* or the regulations thereunder, the OSC may, notwithstanding any penalty imposed and in addition to any other rights it may have, apply to the Ontario Court (General Division) for an order directing the person or company to comply with, or restraining the person or company from violating, the decision or provision, and directing the director and senior officers of the person or company to comply with, or to cease violating, the decision or provision.[3]

Unless estopped by his or her own conduct, a shareholder is entitled to insist on the articles being observed by the corporation and directors.[4]

These statutory provisions have apparently seen little use.[5]

A complainant may also apply to the court to make a specific restraining order where any management information circular,[6] dissident's information circular,[7] or form of proxy[8] contains a

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OBCA s. 253(2) deals primarily with proxy solicitation and circulars and specifically charges the OSC with regulatory responsibility to protect shareholder interests. While OBCA s. 253(2) does not oust the courts from making a s. 253(1) order, it does indicate that in information circular disputes matters of public interest would lie first with the Commission.

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Polar Star Mining Corp. v. Willock (2009), 57 B.L.R. (4th) 71, 2009 CarswellOnt 1416, 96 O.R. (3d) 688 (Ont. S.C.J.).

3

OSA s. 1286.

4

Theatre Amusement Co. v. Stone (1914), 50 S.C.R. 32, 6 W.W.R. 1438.

5

Peterson, Ch. 10; Re Goldhar and Quebec Manitou Mines Ltd. (1975), 9 O.R. (2d) 740, 61 D.L.R. (3d) 612 (Div. Ct.).

6

OBCA subs. 112(1)(a) and 253(2)(a).

7

OBCA subs. 112(1)(a) and 253(2)(a).

8

OBCA subs. 111 and 253(2)(a).

misrepresentation.[9] This remedy focuses on disputes that arise before the meeting of an offering corporation takes place. However, the successful application of this remedy has been rare.[10]

20:61. Proxy Solicitation

Under the *OBCA*, there are a number of specific potential offences related to the proxy solicitation process:

(1) misuse of a shareholders' list without reasonable cause;

(2) failure without reasonable cause to send a prescribed form of proxy to each shareholder of an offering corporation with notice of a meeting of shareholders;[1]

(3) failure without reasonable cause to send an information circular in connection with a proxy solicitation;[2]

(4) failure without reasonable cause by a proxyholder (or alternate proxyholder) to comply with the directions of the shareholder appointing that proxyholder;[3]

(5) contravening without reasonable cause the provision granting shareholders and creditors (and their agents and legal representatives) the right to examine shareholder records.[4]

In the case of each of these, subsection 258(1) of the *OBCA* provides on conviction for a fine of not more than $2,000 (or if the offender is a body corporate, $25,000), imprisonment of not more than one year, or both.[5]

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OBCA s. 253(2). Note, this section only applies to offering corporations under the *OBCA* because subs. 111 and 112(1), by their explicit terms, apply to offering corporations only.

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For the successful application see: D'Addario v. Environmental Management Solutions Inc., 2005 CarswellOnt 6621, 11 B.L.R. (4th) 286, 17 B.L.R. (4th) 99, [2005] O.J. No. 5921 (Ont. S.C.J.), additional reasons 2005 CarswellOnt 6482 (Ont. S.C.J. [Commercial List]) (decided under the *CBCA*), and Kluwak v. Pasternak, 2006 CarswellOnt 7766, 26 B.L.R. (4th) 215, [2006] O.J. No. 4910 (Ont. S.C.J.) (decided under the *OBCA*).

1

OBCA s. 111 requirements.

2

OBCA subs. 112(1) requirements.

3

OBCA subs. 114(1) requirements.

4

OBCA s. 145 requirements.

5

OBCA subs. 258(2) extends potential liability to “every director or officer of [a] body corporate who, without reasonable cause, authorized, permitted or acquiesced in such offence”.

The OSC also has available to it, where appropriate, the ability to make a number of types of orders, including a cease-trading order, and an order to remove registration and prospectus exemptions.[6] Both remedies are subject to hearing requirements, except insofar as the OSC may make a temporary order pending a hearing.

The applicable provisions relating to solicitation of proxies under the CBCA are as follows:

> 150. (1) A person shall not solicit proxies unless
>
> (a) in the case of solicitation by or on behalf of the management of a corporation, a management proxy circular in prescribed form, either as an appendix to or as a separate document accompanying the notice of the meeting, or
>
> (b) in the case of any other solicitation, a dissident's proxy circular in prescribed form stating the purposes of the solicitation
>
> is sent to the auditor of the corporation, to each shareholder whose proxy is solicited, to each director and, if paragraph (b) applies, to the corporation.
>
> (1.1) Despite subsection (1), a person may solicit proxies, other than by or on behalf of the management of the corporation, without sending a dissident's proxy circular, if the total number of shareholders whose proxies are solicited is fifteen or fewer, two or more joint holders being counted as one shareholder.

In *JLL Patheon Holdings, LLC v. Patheon Inc.*[7] a shareholder of Patheon Inc., brought a court application to have the results of the election of Patheon's board of directors declared void on the basis that a special committee of Patheon's board had contravened proxy solicitation rules in the CBCA. The challenged election was held during Patheon's annual general meeting and resulted in two individuals being elected from the floor to replace two of the directors of Patheon that had been recommended for election in Patheon's management proxy circular. Wilton-Siegel J. dismissed the application on the basis that, among other things, the special committee did not actively solicit or acquiesce in the solicitation of these two individuals.

JLL announced publicly that it was commencing a hostile insider bid for all of the issued and outstanding shares of Patheon it did not already own. Patheon struck a special committee to respond to the bid which recommended that shareholders reject the bid. The issue was the extent to which the special committee assisted and communicated with shareholders respecting the election of two outside directors to the board in contravention of s. 150(1)(a) of the CBCA. Another issue was whether more than 15 shareholders had been solicited in circumvention of s. 150(1)(b)(1.1) of the Act.

After examining the evidence Wilton-Siegel J. concluded as follows:

> Based on the foregoing, I conclude that the proxy solicitation conducted by Vorheis & Co. on behalf of the Shareholders did not constitute a "solicitation by or on behalf of management of a corporation" by virtue of the acquiescence of the members of the Special Committee and its legal counsel, acting either individually or collectively. On this basis, such proxy solicitation did not contravene section 150(1)(a) of the CBCA.

He also held there was no evidence that any person had solicited more than 15 shareholders of

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6 *OSA* s. 128.

7 JLL Patheon Holdings, LLC v. Patheon Inc., 2009 CarswellOnt 7315, 64 B.L.R. (4th) 98 (Ont. S.C.J.). See the article by J. Bunting and S.R. Campbell, "Challenging Proxy Solicitation Activities." Ontario Superior Court of Justice Decision in JLL Patheon Holdings et al. v. Patheon Inc. Corporate Litigation (2009) Volume X, No. 2, a publication of Federated Press, Toronto at 598.

Patheon. In coming to this conclusion the judge considered the definition of "shareholder." He stated:

> While the CBCA does not define a "shareholder" for the purposes of section 150(1.1), there can be little doubt that, in respect of a public corporation, it does not mean the registered shareholder, which would be CDS & Co. Nor can it mean the market participants under the CDS arrangements, except to the extent that they have decision-making authority with respect to accounts registered in their names. For the purposes of section 105(1.1), "shareholder" must mean the party having decision-making authority in respect of the applicable account.

20:62. Rectification Order

The corporation, a securityholder or an aggrieved person may apply[1] to the court for an order that the registers or records of the corporation be rectified where the name of a person is alleged to be or to have been wrongly entered or retained therein, or deleted or omitted therefrom.[2] Among the orders which may be made is an order to restrain the corporation from calling or holding a meeting of shareholders before such rectification.

Rectification has been ordered in appropriate cases[3] and may be retrospective.[4] To be exercised summarily, the jurisdiction will not be appropriate in the case of a dispute between parties as to share ownership.[5]

20:63. Meeting Materials-- Statutory Provisions

Instead of requiring persons wishing to solicit proxies to file materials with, and for review by, a governmental regulatory body prior to forwarding them to shareholders as in the U.S., the *CBCA*-type statutes and relevant Canadian provincial securities legislation apply statutory sanctions for failure to comply with proxy solicitation requirements.[1] The relief available in the case of violations of the proxy solicitation provisions is ~~essentially~~ of two types:

(1) a summary conviction provision;[2] and

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In the case of the *CBCA*, with notice to the *CBCA* Director, who may appear.

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OBCA s. 250; *CBCA* s. 243.

3

Re Diamond Rock Boring Co. (1877), L.R. 2 Q.B. 463 (C.A.); Burns v. Siemens Bros. Dynamo Works Ltd., [1919] 1 Ch. 225 (Ch. D.).

4

Re Sussex Brick Co., [1904] 1 Ch. 598 (C.A.).

5

Re Diamond Rock Boring Co. (1877), L.R. 2 Q.B. 463 (C.A.).

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Report of the Attorney General's Committee on Securities Legislation in Ontario (Ontario, 1965) (Chair: ~~J~~J.R. Kimber), at 55.

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(2) a provision for judicial restraining and other orders.[3]

Under clause 122(1)(b) of the *OSA*, among other things, every person or company[4] who makes a misrepresentation in any information circular or other document required to be filed or furnished under that Act or the regulations thereunder is guilty of an offence and, on conviction, is liable to a fine of up to $10 million~~,000,000,~~ imprisonment of up to five~~two~~ years, or to both.[5] This offence is subject to a due diligence defence, where such person or company "did not know and in the exercise of reasonable diligence could not have known that the statement was a misrepresentation".[6] ~~Proceedings under section 122 may be instituted only with the Minister's consent or under his or her direction.~~[7]

Under the *OBCA*, every person who makes or assists in making a misrepresentation (including directors and officers of bodies corporate who without reasonable cause authorize, permit or acquiesce in such misrepresentation) in, among other things, any circular, notice, report or other document required to be filed with, furnished or sent to the *OBCA* Director or the OSC under the *OBCA* or the Regulations is subject to sanction by a fine of up to $2,000 (or, where a body corporate, of up to $25,000), imprisonment for up to one year, or both. The offence is subject to a due diligence defence of the same type as available under the *OSA*.[8]

Section 250 of the *CBCA* provides that any person who makes or assists in making a misrepresentation (including directors and officers of bodies corporate who knowingly authorize, permit or acquiesce in such misrepresentation) in a report, return, notice or other document

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OSA s. 122; *OBCA* s. 256; *CBCA* s. 250.

3 *OBCA* subs. 253(2); *CBCA* subs. 154(1).

4 Including any director or officer who authorized, permitted or acquiesced in the offence (*OSA* subs. 122(3)).

5 Any other contravention of the Act or Regulations, or failure to observe or comply with a direction, decision, ruling, order or other requirement made under the Act or Regulations is similarly sanctionable (*OSA* ~~el~~subs. 122(1)~~(c), (d)~~).

6 *OSA* subs. 122(2).

~~7~~ ~~*OSA* s. 123.~~

8 *OBCA* s. 256. Any failure to file with the *OBCA* Director or the OSC any document required by the *OBCA* to be filed therewith, or any failure to observe or comply with any direction, decision, ruling, order or other requirement made by the *OBCA* Director or the OSC under the *OBCA* or the regulations thereunder is similarly sanctionable.

required by the *CBCA* or regulations thereunder to be sent to the *CBCA* Director or any other person is guilty of an offence, and subject to a fine of up to $5,000, imprisonment of up to six months, or both.

Section 253(2) of the *OBCA* provides:

> Where it appears to the Commission that any person to whom section 111 or subsection 112(1) applies has failed to comply with or is contravening either or both of such provisions, despite the imposition of any penalty in respect of such non-compliance or contravention, the Commission may apply to the court and the court may, upon such application, make any order it thinks fit including, without limiting the generality of the foregoing,
>
> (a) an order restraining a solicitation, the holding of a meeting or any person from implementing or acting upon any resolution passed at a meeting, to which such non-compliance with or contravention of section 111 or subsection 112(1) relates;
>
> (b) an order requiring correction of any form of proxy or information circular and a further solicitation; or
>
> (c) an order adjourning the meeting to which such non-compliance with or contravention of section 111 or subsection 112(1) relates.

Subsection 154(1) of the *CBCA* provides for similar relief to be granted by a court at the instigation of an interested person or the *CBCA* Director where a form of proxy or circular contains what is essentially a misrepresentation. An applicant under this section must give to the *CBCA* Director notice of the application, and the Director is entitled to appear and to be heard in person or by counsel.[9]

The case law on the application of the above two provisions is relatively sparse.[10] It is not clear what is required for standing under section 154. The term, "interested person", is not defined, although it might include any person with a *bona fide* interest in seeking enforcement of the applicable statutory requirements.[11]

20:64. Meeting Materials-- Materiality

The availability of relief with respect to meeting materials under section 256 of the *OBCA*, subsection 154(1) and section 250 of the *CBCA*, and section 122 of the *OSA* depends in large part on the materiality of the facts untruly stated or omitted. The Canadian and U.K. case law with respect to proxy solicitation disclosure largely predates the mandatory solicitation regime and deals with instances where a circular did not satisfy the requirements for sufficient

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CBCA subs. 154(2).

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Smith v. First Merchant Equities Inc. (1988), 50 D.L.R. (4th) 369, 68 Sask. R. 161 (Q.B.); Kelvin Energy Ltd. v. Nalcap Holdings Inc. (1988), 71 Nfld. & P.E.I.R. 165 (Nfld. T.D.).

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Peterson, at §6.24. Re T.I.W. Industries Ltd. (1983), 42 O.R. (2d) 333 (H.C.), held that an interested person is one with a legal or pecuniary interest. Arguably, the term could include beneficial owners; see East Coast Pipeline Ltd. v. Crane, Qué. C.A., 27 January 1987 (unreported), summarized in (1987), 3 A.C.W.S. (3d) 94. In the U.S., it has been held that a bidder waging an unsuccessful proxy contest as such (rather than as a shareholder being denied the right to vote in a knowledgeable manner) lacks standing to challenge proxy violations by the target (Royal Business Group Inc. v. Realist Inc., 1st Cir., No 90-2228, 22 May 1991 (unreported)).

notice.[1]

The statutory standard of materiality has not been dealt with extensively by Canadian courts. Arguably, the statutory test for materiality may not be different from the standard developed at common law for the level of disclosure required: that all information must be included which a shareholder would reasonably consider important in his or her decision whether or not to vote.[2] A common problem has been the absence of adequate financial information.[3] While materiality is not expressly defined by the corporate statutes, securities laws do provide relevant definitions.[4]

The test of materiality set forth in *TSC Industries Inc. v. Northway Inc.*[5] was adopted by the Alberta Court of Appeal in *Harris v. Universal Explorations Ltd.*[6]

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See Ch. 13.

2

Peterson, §6.13~~1~~, notes that the case law supports the identity of the tests (~~Rudkin v. B.C. Automobile Ass'n (1969), 70 W.W.R. 649 (B.C.S.C.);~~ Re Ardiem Holdings Ltd. (1976), 67 D.L.R. (3d) 253 (B.C.C.A.); revg (1975), 61 D.L.R. (3d) 725 (B.C.S.C.)).

3

Re St. Lawrence Corp. and Mayr, [1948] 2 D.L.R. 107 (Qué. S.C.); Re N. Slater Co., [1947] 2 D.L.R. 311, [1947] O.W.N. 226, 28 C.B.R. 31 (H.C.); Garvie v. Axmith, [1962] O.R. 65, 31 D.L.R. (2d) 65 (H.C.); Fogler v. Norcan Oils Ltd. (1964), 43 D.L.R. (2d) 508, 47 W.W.R. 257 (Alta. C.A.); revd [1965] S.C.R. 36, 49 W.W.R. 321, 46 D.L.R. (2d) 630; Imperial Trust Co. v. Canbra Foods Ltd. (1987), 50 Alta. L.R. (2d) 375 (Q.B.); Re Brazilian Traction Light & Power Co., [1947] 4 D.L.R. 736 (Ont. H.C.); Bayshore Investments Ltd. v. Endako Mines Ltd., [1971] 2 W.W.R. 622 (B.C.S.C.); Re Ardiem Holdings Ltd. (1976), 67 D.L.R. (3d) 253 (B.C.C.A.); revg (1975), 61 D.L.R. (3d) 725 (B.C.S.C.).

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See *OSA* subs. 1(1), which defines “material fact” and “material change”. These definitions may be overly restrictive and less expansive than the U.S. view of material disclosure in the prospectus context, which includes matters that an investor needs to know in order to make an intelligent and informed investment decision. The standard of disclosure for circulars is probably somewhat lower than that of the full, true and plain level required of prospectuses, based on the notion that a potential investor is a stranger to the corporation while a shareholder may be presumed to have some knowledge (Re Ardiem Holdings Ltd. (1976), 67 D.L.R. (3d) 253 (B.C.C.A.); revg (1975), 61 D.L.R. (3d) 725 (B.C.S.C.)~~.~~).

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TSC Industries Inc. v. Northway Inc. (1973), 361 F. Supp. 108 (U.S. D.C.); affd in part, revd in part (1975), 512 F. 2d 324 (Ct. App); revd (1976), 96 S. Ct. 2126, 426 U.S. 438; motion denied (1976), 97 S. Ct. 48, 429 U.S. 810 (U.S.).

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Harris v. Universal Explorations Ltd. (1982), 17 B.L.R. 135, 37 A.R. 35 (C.A.); revg (1982), 16

The common-law test of a material fact has been set out in *Sharbern Holding Inc. v. Vancouver Airport Centre Ltd.*[7] to the effect that an omitted fact constitutes as~~is~~ material if there is a substantial likelihood that it would have been considered important by a reasonable investor in making his or her decision.

Rothstein, J., stated as follows: [at para. 61]:

> In sum, the important aspects of the test for materiality are:
>
> i. Materiality is a question of mixed law and fact, determined objectively, from the perspective of a reasonable investor;
>
> ii. An omitted fact is material if there is a substantial likelihood that it would have been considered important by a reasonable investor in making his or her decision, rather than if the fact merely might have been considered important. In other words, an omitted fact is material if there is a substantial likelihood that its disclosure would have been viewed by the reasonable investor as having significantly altered the total mix of information made available;
>
> iii. The proof required is not that the material fact would have changed the decision, but that there was a substantial likelihood it would have assumed actual significance in a reasonable investor's deliberations;
>
> iv. Materiality involves the application of a legal standard to particular facts. It is a fact specific inquiry, to be determined on a case-by-case basis in light of all of the relevant considerations and from the surrounding circumstances forming the total mix of information made available to investors; and
>
> v. The materiality of a fact, statement or omission must be proven through evidence by the party alleging materiality, except in those cases where common sense inferences are sufficient. A court must first look at the disclosed information and the omitted information. A court may also consider contextual evidence which helps to explain, interpret or place the omitted information in a broader factual setting, provided it is viewed in the context of the disclosed information. As well, evidence of comment or subsequent conduct or events that would shed light on potential or actual behaviour of persons in the same or similar situations is relevant to the materiality assessment. However, the predominant focus must be on a contextual consideration of what information was disclosed and what facts or information were omitted.

In the U.S., Rule 14a-9 under the *1934 Act* prohibits false or misleading statements in proxy materials. U.S. courts have considered at considerable length the test as to the materiality of any misstatement or omission in violation of Rule 14a-9.[8] While certain courts have concluded that a material fact includes a fact that a reasonable shareholder *might* consider important, two decisions[9] held this standard to be too low and opted for the test of whether a reasonable

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B.L.R. 186, 18 Alta. L.R. (2d) 119, 35 A.R. 71 (Q.B.).

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Sharbern Holding Inc. v. Vancouver Airport Centre Ltd. 2011 SCC 23, [2011] 2 S.C.R. 175, at para. 61.

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With respect to the similarity between U.S. and Canadian proxy rules, the court, in DeYoung v. Beddome, [1989] CCH Fed. Sec. L. Rep §94,322 (S.D. N.Y.), granted comity to a Canadian court's decision that proxy materials issued by a Canadian corporation prior to an amalgamation constituted full, true and plain disclosure, holding not only that the decision was full and fair, but that Canadian laws granted similar rights and standards of proof.

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Gerstle v. Gamble-Skogmo Inc. (1969), 298 F. Supp. 66 (E.D. N.Y.); modd and affd (1973), 478 F. 2d 1281 (2d Cir.); and Smallwood v. Pearl Brewing Co. (1974), 489 F. 2d 579 (5th Cir.); cert denied (1974) 95 S. Ct. 134, 419 U.S. 873 (U.S.).

person~~man~~ *would* attach importance to a fact in determining his or her course of action.[10] In *TSC Industries Inc. v. Northway Inc.*,[11] the U.S. Supreme Court held the standard of materiality to be that an omitted fact is material if there is a substantial likelihood that a reasonable shareholder would consider it important in deciding how to vote.[12]

While the contents of solicitation materials can be neither false nor misleading, there is a certain amount of latitude permitted in communications with shareholders. In *Kennecott Copper Corp. v. Curtiss-Wright Corp.*,[13] the court stated that fair accuracy and not perfection was the appropriate standard in reviewing the materiality of statements.[14] Provided the statement as a

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See also General Time Corp. v. Talley Industries Inc. (1968), 403 F. 2d 159 (2d Cir.); cert denied (1969), 393 U.S. 1026, 89 S. Ct. 631 (U.S.).

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TSC Industries Inc. v. Northway Inc. (1973), 361 F. Supp. 108 (U.S. D.C.); affd in part, revd in part (1975), 512 F. 2d 324 (Ct. App); revd (1976), 96 S. Ct. 2126, 426 U.S. 438; motion denied (1976), 97 S. Ct. 48, 429 U.S. 810 (U.S.).

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Proof that disclosure of the omitted fact would have caused a reasonable shareholder to change his or her vote is not required, only a demonstrable likelihood that under all the circumstances the omitted fact would have assumed actual significance in a reasonable shareholder's deliberation (Mills v. Electric Auto-Lite Co. (1970), 396 U.S. 375, 90 S. Ct. 616; appeal after remand (1977), 552 F. 2d 1239 (7th Cir.); cert denied (1977), 98 S. Ct. 398, 434 U.S. 922; rehg denied (1977), 98 S. Ct. 649, 434 U.S. 1002; Browning Debenture Holders' Ctee. v. DASA Corp. (1972), 357 F. Supp. 1010 (S.D. N.Y); affd (1975), 524 F. 2d 811 (2d Cir.); affd in part (1977), 560 F. 2d 1078 (S.D. N.Y.); on remand (1978), 454 F. Supp. 88 (S.D. N.Y); affd (1978), 605 F. 2d 35 (2d Cir.); on remand (1978), 81 F.R.D. 407 (S.D. N.Y). Alternatively, in GAF~~P~~ Corp. v. Heyman (1983), 724 F. 2d 727, at 737 (2d Cir.), it was held that an omitted fact is material if there is a substantial likelihood that had the omitted fact been disclosed, the reasonable investor would have viewed it as having significantly changed the "total mix" of information available. In United Paperworkers International Union v. International Paper Co., [1993] CCH Fed. Sec. L. Rep. §97,342 (2d Cir., CA), a paper manufacturer's proxy statement was held misleading in recommending defeat of a shareholder's environmental proposal, omitting a description of the company's record of environmental law non-compliance. News articles not published in the context of the proxy contest and the issuer's 10-K report were held not part of the mix of information reasonably available to the shareholders.

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Kennecott Copper Corp. v. Curtiss-Wright Corp. (1978), 449 F. Supp. 951 (S.D. N.Y); affd in part, revd in part (1978), 584 F. 2d 1195 (2d Cir.).

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See SEC v. Falstaff Brewing Corp., [1978] CCH Fed. Sec. L. Rep. §96,583 (D. D.C.); affd (1980), 629 F. 2d 62 (D.C. Cir.); Ash v. LFE Corp. (1975), 525 F. 2d 215 (3rd. Cir); Gerstle v. Gamble-Skogmo Inc. (1969), 298 F. Supp. 66 (E.D. N.Y.); modd and affd (1973), 478 F. 2d 1281

whole sufficiently discloses the matter to be voted on, particular items can be included or omitted, subject to management's judgment.[15] The materiality standard may be somewhat relaxed in cases of a proxy contest where the statements of one side may be countered to a degree by those of another[16] and where nit-picking is not looked on favourably.[17] The court, in *Lewis v. Potlatch Corp.*,[18] stated that proxy statements do not have to state what would be apparent to a reasonable shareholder or indicate the obvious consequences of disclosed information.

In *Virginia Bankshares Inc. v. Sandberg*,[19] the U.S. Supreme Court viewed knowingly false statements of directors' beliefs or reasons for a recommendation to shareholders with respect to a proposed transaction as actionable misstatements of material fact.

The opposing sides in a contest are not required to provide in their respective statements a balanced, dispassionate presentation of each other's position.[20] A contestant does not have to provide an exhaustive catalogue of arguments against the other's position, or indeed emphasize weaknesses in its own.

(2d Cir.). In General Time Corp. v. Talley Industries Inc. (1968), 403 F. 2d 159 (2d Cir.); cert denied (1969), 393 U.S. 1026, 89 S. Ct. 631 (U.S.), Friendly J. commented, at 162:

> "No one knows just what motivates stockholders in choosing between slates. Those experienced in contested elections are likely to doubt whether proxy statements are read with much precision, and determination of the influence of a particular omission or even misstatement is almost sheer guesswork ... Still, issuers of such statements should be held to fair accuracy even in the hurly-burly of election contests."

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Kaplan v. Goldsamt (1977), 380 A. 2d 556 (Del. Ch.). In Zirn v. VLI Corp. (1993), 621 A. 2d 773 (Del. S. Ct.), the Court held a material omission is not rendered immaterial simply because the party making the omission honestly believes it is insignificant.

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Electronic Specialty Co. v. International Controls Corp. (1969), 409 F. 2d 937 (2d Cir.).

17

United Canso Oil & Gas Ltd. v. Clark, [1980] CCH Fed. Sec. L. Rep. §97,543 (S.D. N.Y); Plant Industries Inc. v. Bregman (1980), 490 F. Supp. 265 (S.D. N.Y).

18

Lewis v. Potlatch Corp., [1989] CCH Fed. Sec. L. Rep. §94,516 (S.D. N.Y.).

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Virginia Bankshares Inc. v. Sandberg (1991), 59 L.W. 4888 (U.S.); ~~J.W. Oleason, "The Supreme Court Considers Materiality Again" (1991), 5:10 *Insights* 2.~~In *Omnicare, Inc. v. Laborers District Council Construction Industry Pension Fund*, 575 U.S. 175 (2015), the U.S. Supreme Court refined the standard for opinion-statement liability, holding that a sincerely held opinion may still be actionable if it omits material facts about its basis that would mislead a reasonable investor as to the speaker's degree of confidence.

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McConnell v. Lucht (1970), 320 F. Supp. 1162 (S.D. N.Y.).

Where there are outstanding offers, serious negotiations, statements of interest or planned transactions, there may be a duty to disclose.[21] The analysis should probably focus on the transaction's probability and on the materiality of it for thecé corporation in question.[22] In the U.S., there is a substantial body of case law dealing with the issue of when a proposal or plan becomes disclosable under section 13(d) of the *1934 Act*. Particular concerns surround third-party discussions regarding sales of assets, changes in personnel or transactions between the corporation and dissidents.[23]

Soft information, such as financial projections and *pro forma* valuations, may need to be disclosed where the predictions are substantially certain to be accurate and where non-disclosure may make other affirmative statements misleading.[24]

In *Smith v. Van Gorkom*,[25] where the board submitted a proposal for a buyout by an outsider, the court held that the proxy materials failed to disclose the material information that the board had not assessed the value of the stock of the corporation using the usual valuation techniques, and, that in fact it lacked reasonably adequate information indicative of this value.

Given the sensitivity of corporate law in general to the duties of fiduciaries, conflicts of

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Gerstle v. Gamble-Skogmo Inc. (1969), 298 F. Supp. 66 (E.D. N.Y.); modd and affd (1973), 478 F. 2d 1281 (2d Cir.); SEC v. Parklane Hosiery Co. (1976), 422 F. Supp. 477 (S.D. N.Y.); affd (1977), 558 F. 2d 1083 (2d Cir.); Goldman v. Lexington Ave. & 42nd St. Corp., [1987] CCH Fed. Sec. L. Rep. §93,189 (S.D. N.Y.); Kass v. Arden-Mayfair Inc. (1977), 431 F. Supp. 1037 (C.D. Cal.); Camelot Industries Corp. v. Vista Resources Inc. (1982), 535 F. Supp. 1174 (S.D. N.Y.).

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See Basic Inc. v. Levinson (1988), 108 S. Ct. 978, for a discussion of the materiality of premerger discussions.

23

C.L. Reisner, “The Use of the Proxy Machinery as a Catalyst for Fundamental Corporate Change” in Eppler and Gilroy, at 74 et seq.

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Isquith v. Middle South Utilities Inc., [1987-88] CCH Fed. Sec. L. Rep. §93,801 (5th Cir.); Starkman v. Marathon Oil Co. (1985), 772 F. 2d 231 (6th Cir.); cert denied (1986), 106 S. Ct. 1195 (U.S.); Flynn v. Bass Bros. Enterprises Inc. (1984), 744 F. 2d 978 (3rd Cir.); Lockspeiser v. Western Maryland Co. (1985), 768 F. 2d 558 (4th Cir.); Walker v. Action Industries (1986), 802 F. 2d 703 (4th Cir.); cert denied (1987), 107 S. Ct. 952; Panter v. Marshall Field & Co. (1980), 486 F. Supp. 1168 (N.D. Ill.); affd (1981), 646 F. 2d 271 (7th Cir.); cert denied (1981), 50 U.S.L.W. 3448; Weinberger v. Rio Grande Industries Inc. (1986), 519 A. 2d 116 (Del. Ch.). For examples of cases involving internal financial studies and preliminary valuations appraisals, see Citron v. E.I. Du Pont de Nemours & Co., [1990] CCH Fed. Sec. L. Rep. §95,420 (Del. Ch.); and In re Anderson, Clayton Shareholders Litigation (1986), 519 A. 2d 680 (Del. Ch.).

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Smith v. Van Gorkom (1985), 488 A. 2d 858 (Del. Sup. Ct.).

interest, whether potential or actual, or any substantial benefits to be derived by insiders will generally need to be disclosed.[26] Where expert reports or opinions are utilized or reproduced, there may be concerns in the case of non-independent experts, particularly where any potential relatedness or potential conflict of interest is not disclosed.[27]

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Gould v. American Hawaiian S.S. Co. (1971), 331 F. Supp. 981 (D. Del); Scott v. Multi-Amp Corp. (1974), 386 F. Supp. 44 (D. N.J.); Lewis v. Byrnes (1982), 538 F. Supp. 1221 (S.D.N.Y.); but see Lewis v. Dansker (1973), 357 F. Supp. 636 (S.D. N.Y.); modified on other grounds (1975), 68 F.R.D. 184 (S.D. N.Y); Pavlidis v. New England Patriots Football Club Inc., [1983-84] CCH Fed. Sec. L. Rep. §99,431 (D. Mass.); affd in part, vacated in part (1984), 737 F. 2d 1227 (1st Cir.), [1987-88] CCH Fed. Sec. L. Rep. §93,807 (1st Cir.). a separate head of obligation with respect to disclosure may potentially be founded on the fiduciary duties of directors to shareholders. See T. Gilroy and R.R. Levine, "Overview of Decisional Law in the Contest Area" in Eppler and Gilroy ("Gilroy and Levine"), at 73,104. In Zirn v. VLI Corp. (1993), 621 A. 2d 773 (Del. S. Ct.) the disclosure materials in connection with the subject tender offer and merger were held defective. The directors of the target were held personally liable for defective disclosure in spite of an exculpatory charter provision adopted under the DGCL s. 102(b)(7) because the duty of disclosure was held to be part of the duty of loyalty specifically excluded from the section's exculpatory protection. Previously, in In re Dataproducts Corporation Shareholders Litigation, [1991] CCH Fed. Sec. L. Rep. §96,227 (Del. Ch. Ct.), the exculpatory charter provision adopted under that section was held to shield directors from claims of deficient disclosure based on the duty of candour where directors were alleged to have breached the duty to exercise due care. Where, however, there is a preconceived plan with a breach of the duty of disclosure, including an intentional violation of the duty of loyalty, exculpatory charter provisions will not avail (In re Wheelabrator Technologies, Inc. Shareholders Litigation (1992), Del. Ch. Lexis 196).
In Tri-Star Pictures, Inc. Litigation (1993), 634A.2d 319 (Del. S. Ct.) it was held that shareholders alleging defective disclosure did not need to prove damages at the pleading stage as an element of a *prima facie* case of breach of the fiduciary duty of disclosure in a case involving alleged self-dealing by a controlling shareholder
In Loudon v. Archer, Daniels - Midland Co. (1997) 700 A.2d 135 (Del.) the Supreme Court reversed Tri-Star and concluded that damages would be available only where disclosure violations are concomitant with deprivation to shareholders' economic interests or impairment of their voting lights.
In Shell Petroleum, Inc. v. Smith, [1992] CCH Fed. Sec. L. Rep. §96,945 (Del. Sup. Ct.), it was held that the company's majority shareholder owed a duty, and was accountable for errors in disclosure materials, to minority shareholders to disclose information that might assist the minority in responding to a short form freeze out merger.

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Peterson, at §6.9, notes that such non-disclosed lack of independence in itself may be held to be misleading. See "Disclosure, Valuation, Review and Approval Requirements and Recommendations for Insider Bids, Issuer Bids, Going Private Transactions and Related Party Transactions" (1991), 14 *O.S.C. Bulletin* 3345.

The motives of management are generally not required to be disclosed.[28]

Courts have reached various conclusions when dealing with the prior conduct of participants.[29]

Where facts change prior to a meeting, steps may be required to be taken to amend the materials[30] and disseminate accurate and complete information. This may include, in some cases, an adjournment of the meeting.[31] Where the matter is material, a supplement must be issued before the meeting, even where this may involve significant expense and inconvenience.[32] The value thereof has been questioned where it is issued shortly before a vote and the amount of time to evaluate changes is limited.[33] A proxy statement may be so out of time as to fail to afford

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Kademian v. Ladish Co. (1986), 792 F. 2d 614 (7th Cir.); Rodman v. Grant Foundation (1979), 608 F. 2d 64 (2d Cir.); Lewis v. Oppenheimer (1979), 481 F. Supp. 1199 (S.D. N.Y.); Goldman v. Lexington Ave. & 42nd St. Corp., [1987] CCH Fed. Sec. L. Rep. §93,189 (S.D. N.Y.). *Cf.*Kaufman v. Cooper Co., [1989] CCH Fed. Sec. L. Rep. §94,535 (S.D. N.Y.), where the proxy statement failed to indicate that nominees were selected on the basis of whether they pledged to vote shares as shareholders in a certain way. Where disclosed, however, motives should be accurately stated (Washington Bancorp. v. Washington, [1989-90] CCH Fed. Sec. L. Rep. §94,893 (D.D.C.); Lewis v. Potlatch Corp., [1989] CCH Fed. Sec. L. Rep. §94,516 (S.D. N.Y.).

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GAFP Corp. v. Heyman (1983), 724 F. 2d 727, at 737 (2d Cir.), where suit for a breach of trust by a sister with regard to a family trust was held not a material omission. See also Seibert v. Sperry Rand Corp. (1978), 586 F. 2d 949 (2d Cir.), where a similar result was reached in respect of significant labour relations problems that had been experienced by a director in his position as CEO of an unrelated corporation. Material omissions have been found in Robinson v. Penn Central Co. (1971), 336 F. Supp. 655 (E.D. Pa.) (lawsuits against directors alleging fraud against the corporation and a breach of fiduciary duty); in S. & S. Realty Corp. v. Kleer-Vu Industries Inc. (1976), 384 N.Y.S. 2d 796 (App. Div.) (where loans to a director were uncollectible); and in Edelman v. Salomon (1983), 559 F. Supp. 1178 (D. Del.).

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Gould v. American Hawaiian S.S. Co. (1971), 331 F. Supp. 981 (D. Del); Metex Corporation Securities Litigation, [1993] CCH Fed. Sec. L. Rep. §97,668 (E.D.N.Y.). No provision for such amendment is contained in the *CBCA-type* corporate statutes or in the *OSA*.

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In re Anderson, Clayton Shareholders Litigation (1986), 519 A. 2d 680 (Del. Ch.); Smith v. Van Gorkom (1985), 488 A. 2d 858 (Del. Sup. Ct.).

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Allen v. Penn Central Co. (1972), 350 F. Supp. 697 (E.D. Pa.).

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Samuel M. Feinberg Testamentary Trust v. Carter (1987), 652 F. Supp. 1066 (S.D.N.Y.); rearg denied (1987), 664 F. Supp. 140 (S.D. N.Y.). In Maywalt v. Parker & Pansley Petroleum Co., 92

shareholders sufficient time to receive, consider and act upon material information.[34]

20:65. Meeting Materials-- Scienter[1]

The proxy solicitation misrepresentation offences under the *OBCA, CBCA* and *OSA* are subject to due diligence defences.[2] Neither knowledge nor intent need be proved.

With respect to the standard to be applied to conduct in the preparation of proxy materials in SEC Rule 14a-9 *(1934 Act)* violations, the U.S. courts have generally applied a negligence standard.

A person who participates in a solicitation may be found liable in the event of the use of materially false or misleading statements where he or she knew or ought to have known they were such.[3] Similarly, where a person allows his or her name to be used in a solicitation, such person cannot then be divorced from any improper actions.

In *Gerstle v. Gamble-Skogmo Inc.*,[4] it was held that, where the plaintiffs represent the very class who were asked to approve a merger on the basis of a misleading proxy statement and are seeking compensation from the beneficiary who is responsible for the preparation of the

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Civ. 1152 (RWS) (D.C.S.N.Y.), September 12, 1992, discussed in (1993) 25 S.R.L.R. 5, where supplemental materials allegedly remedying defects in the original materials were filed and distributed in such a way that they could not be distributed to shareholders before a special meeting at which proxies solicited on the basis of a defective proxy statement were voted, the assertion of compliance with the proxy rules would not suffice. In Larkin v. Baltimore Bancorp, [19912] CCH Fed. Sec. L. Rep. §96,434 (D.C. Md.) the court accepted the SEC's approval of a management provision accompanying new proxy materials to the effect that discretionary authority conferred by an earlier proxy would unless revoked be used to vote against dissidents' proposals. If forced to solicit new proxies at the last minute, management would have been substantially disadvantaged and the dissidents would have been rewarded for a strategy of delay, a precedent encouraging late filings by dissidents and violating the fundamental policy of promoting dissemination of accurate information to shareholders.

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AC Acquisitions Corp. v. Anderson, Clayton & Co. (1986), 519 A. 2d 103 (Del. Ch.).

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See E. Brodsky, "Liability for False Proxy Statements -- Negligence or Scienter" (May 1, 1989), N.Y.L.J. 3 & 6.

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OBCA subs. 256(4); *CBCA* subs. 250(3); *OSA* subs. 122(2).

3

Chris-Craft Industries Inc. v Independent Stockholders Ctee. (1973), 354 F. Supp. 895 (D. Del.).

4

Gerstle v. Gamble-Skogmo Inc. (1969), 298 F. Supp. 66 (E.D. N.Y.); modd and affd (1973), 478 F. 2d 1281 (2d Cir.).

statement, they are not required to establish any evil motive or even reckless disregard of the facts. In *Gould v. American Hawaiian S.S. Co.*,[5] the same standard was applied to outside directors.[6]

In *Herskowitz v. Nutri/System Inc.*,[7] it was held that an investment bank rendering a fairness opinion in connection with a leveraged buyout was subject to the same liability standard as management. The *scienter* requirement did not apply since the investment bank knew full well that its opinion would be used to solicit shareholder approval.

A *scienter* requirement, however, was applied in *Adams v. Standard Knitting Mills Inc.*[8] with respect to outside accountants.[9]

20:66. Meeting Materials-- Causation

U.S. courts have also discussed the significance of misrepresentation from the viewpoint of causation. If a proxy statement contains a material misrepresentation and the proxy solicitation is an essential link in the accomplishment of the proposed corporate transaction,[1] liability and the causal relation between the violation and injury can be established, even where the shareholder cannot prove reliance.[2]

A finding of material misrepresentation has been held to justify the conclusion that the misrepresentation would have affected a reasonable shareholder's vote. In *Mills v. Electric Auto-Lite Co.*,[3] the court held that there is no need to demonstrate that the alleged defect in the proxy

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Gould v. American Hawaiian S.S. Co. (1971), 331 F. Supp. 981 (D. Del).

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See Wilson v. Great American Industries Inc. (1988), 855 F. 2d 987 (2d Cir.).

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Herskowitz v. Nutri/System Inc., [1988-89] CCH Fed. Sec. L. Rep. §94,012 (3d Cir.).

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Adams v. Standard Knitting Mills Inc. (1980), 623 F. 2d 422 (6th Cir.); cert denied (sub nom. Adams v. Peat, Marwick, Mitchell & Co.) (1980), 449 U.S. 1067.

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In Fradkin v. Ernst (1983), 571 F. Supp. 829 (N.D. Ohio), the negligence standard was applied to the registrant and to corporate officials responsible for the preparation of the proxy statement.

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Weisberg v. Coastal States Gas Corp. (1979), 609 F. 2d 650 (2d Cir.), where such link was presumed to exist where the election of directors was concerned.

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Western District Council of Lumber Production and Industrial Workers v. Louisiana Pacific Corp., [1989-90] Fed. Sec. L. Rep. 94,845 (9th Cir.); *contra*Gaines v. Haughton (1981), 645 F. 2d 761 (9th Cir.); cert denied (1982), 102 S. Ct. 1006, 454 U.S. 1145.

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statement actually has a decisive effect on the outcome of the vote.

20:67. Meeting Materials-- Remedies[1]

The statutory provisions for relief in respect of proxy solicitation materials expressly, but not restrictively, contemplate the following:

(1) an order restraining a solicitation;

(2) an order restraining the holding of a meeting;

(3) an order restraining any person from implementing or acting on any resolution passed at a meeting;[2]

(4) an order requiring correction of any form of proxy or circular and a further solicitation;[3]

(5) an order adjourning a meeting;[4] and

(6) fines and/or imprisonment.

Notably, in the case of items (1) through (5), such relief may expressly be sought under the *OBCA* by the OSC, but, under the *CBCA*, by any interested person and the *CBCA* Director.

While declaratory or injunctive relief is apparently foreseen, it would appear that an action in damages might arguably also lie. Alternative remedies to consider are personal actions, general compliance and restraint orders or private causes of action for breach of statute.[5] It is clear that there are a large number of potential remedies that may be fashioned, and not every illegal solicitation will result in a voided election or other corporate action.

In Canada, the question of a private cause of action under the corporate and securities statutes has not been thoroughly canvassed.[6] The court is authorized to make any order it thinks

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Mills v. Electric Auto-Lite Co. (1970), 396 U.S. 375, 90 S. Ct. 616; appeal after remand (1977), 552 F. 2d 1239 (7th Cir.); cert denied (1977), 98 S. Ct. 398, 434 U.S. 922; rehg denied (1977), 98 S. Ct. 649, 434 U.S. 1002. In Stahl v. Gibraltar Financial Corp., [1992] CCH Fed. Sec. L. Rep. §96,837 (9th Cir.), it was held that a shareholder had standing to challenge a solicitation, although he had not relied on the allegedly misleading statement when voting. Such right existed even after a vote had been taken.

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See, generally, Peterson, §6.18 et seq.

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Peterson, §6.22.

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Peterson, §6.23.

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Peterson, §6.24.

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Peterson, §6.2.

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Peterson, §6.18.

fit. Personal causes of action may be seen to arise in cases of the breach of proxy solicitation legislation.[7]

Once again, due to the scarcity of Canadian precedent, Canadian courts have turned to U.S. case law. For instance, in *Brown v. Duby*,[8] it was held that, the object of the statute and relevant provisions being the benefit of shareholders, a shareholder has rights enforceable by action. In *J.I. Case Co. v. Borak*,[9] the U.S. Supreme Court determined that the broad remedial purposes of section 14(a) of the *1934 Act* to prevent deceptive or inadequate disclosure in proxy solicitations requires a recognition of an implied private right of action for violations thereof.[10]

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Charlebois v. Bienvenu, [1967] 2 O.R. 635, 64 D.L.R. (2d) 683 (H.C.); Babic v. Milinkovic (1971), 22 D.L.R. (3d) 732 (R.S.S.C.); Rudkin v. B.C. Automobile Ass'n (1969), 70 W.W.R. 649 (B.C.S.C.).

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Brown v. Duby (1980), 11 B.L.R. 129, 28 O.R. (2d) 745, 111 D.L.R. (3d) 418 (H.C.). In Capital Real Estate Investors Tax Exempt Fund Limited Partnership, et al. v. Schwartzberg, [1996] CCH Fed. Sec L. Rep. §99,221 (U.S.D.C. S.D.N.Y), a participant in a proxy contest relating to proposed mergers involving limited partnerships had standing to bring a proxy fraud claim notwithstanding that he was not a securityholder whose proxy was being solicited by the limited partnerships as he was locked in a contest with management and practically the only person situated to redress any violations of the proxy rules.

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J.I. Case Co. v. Borak (1964), 84 S. Ct. 1555, 377 U.S. 426 (U.S.). In Virginia Bankshares Inc. v. Sandberg (1991), 59 L.W. 4888 (U.S.), the U.S. Supreme Court limited the right of action to mis-statements made to shareholders whose votes could have determined the outcome. In Dominick v. Marcove, D.C. Colo. No. 91-B-1386, December 31, 1992 cited at (1993), 25 S.R.L.R. 43 the court held, as the votes of the minority shareholders were not necessary to authorize the sale in question, the causal link could not be established. Similarly, in Ciro, Inc. v. Gold, [1993] CCH Fed. Sec. L. Rep. §97,627 (D.C. Del.) the court held minority shareholders precluded from an implied private cause of action under s. 14(c) where they sought relief from a transaction they could not have prevented. See also Thouret v. Hudner, [1996] C.C.H. Fed. Sec. L. Rep. §99,037 (S.D.N.Y).

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U.S. courts have exercised wide discretion in fashioning relief in the case of violation of the proxy rules. This relief has often been granted for the purpose of ensuring a fair vote. In Stahl v. Gibraltar Financial Corp. (1992), CCH Fed. Sec. L. Rep. §96,837 (9th Cir., CA) it was held a shareholder had private standing to challenge an allegedly false proxy solicitation without having relied thereon in voting, and standing was held to exist even after the vote had been taken. In Diceon Electronics, Inc. v. Calvary Partners, L.P., [1991~~2~~] CCH Fed. Sec. L. Rep. §96,930 (D.C. Del.) it was held that a target had standing by implied private right of action to seek equitable relief under the *Exchange Act* s. 13(d) against persons who allegedly attempted to gain control by means of a fraudulent tender offer and proxy contest. In Wilson v. Great American Industries,

A solicitation is likely to be restrained only where proxies are exercised in a manner in which they would otherwise not have been exercised, and where there is unlikely to be a disclosure of the deficiency.[11] In *Sawyer v. Sawyer*,[12] where a motion was made to enjoin the holding of a meeting on the basis that defendants wrongly claimed the status of directors and officers and obtained proxies on the basis of false information, a serious issue was found to have been raised on the facts of the case and in light of potential prejudice to shareholders if a cease-trade order by the VSE were prolonged, yet the balance of convenience was found to be in favour of having the meeting proceed.

Where a proxy circular revealed that a meeting was called to vote upon the removal of a director, the circular was held to provide material sufficient enough for it not to be restrainable. Where there is conflicting affidavit evidence as to the existence of mis-statements or omissions in a circular, a trial will be required.[13]

An application to enjoin the holding of a meeting is subject to the general principles established by the House of Lords in *American Cyanamid Co. v. Ethicon Ltd.*[14] Restraint of the meeting could be appropriate if deficient disclosure can be rectified where the meeting or

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Inc. (1992), CCH Fed. Sec. L. Rep. §96,855 (N.D. N.Y.) former shareholders of a merged company fraudulently induced by a misleading proxy statement/prospectus (containing material misrepresentations and omissions regarding the merger) to tender their shares for less than their true value were held entitled to damages equal to the difference of actual value and what they should have received. In Westinghouse Electric Corp. v. Franklin (1993), CCH Sec. L. Rep. §97,455, no. 1558 (3d Cir., C.A.) it was held that the one-year-three-year statute of limitations under the *1934 Act* anti-fraud provisions would also apply to the proxy provisions of the *Exchange Act*, basing it on the similarity between the implied course of action and explicit courses of action in the statute.
In Capital Real Estate Investors Tax Exempt Third Limited Partnership, et al v. Schwartzenberg, [1996] CCH Fed. Sec L. Rep. paragraph 99,221 (US.DC, S.D.N.Y.) a participant in a proxy contest relating to proposed mergers involving limited partnerships had standing to bring a proxy fraud claim notwithstanding that he was not a security holder whose proxy was being solicited by the limited partnership as he was locked in a contest with management and practically the only person situated to redress any violations of the proxy rules.

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Peterson, §6.21; Smith v. First Merchant Equities Inc. (1988), 50 D.L.R. (4th) 369, 68 Sask. R. 161 (Q.B.); Corner v. Amertek Inc., Ont. H.C., 10 May 1988, Bowlby J. (unreported), summarized in (1988), 10 A.C.W.S. (3d) 18.

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Sawyer v. Sawyer, B.C.S.C., CCLR CL4:035, 30 January 1990, Scarth L.J.S.C. (unreported).

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Smith v. First Merchant Equities Inc. (1988), 50 D.L.R. (4th) 369, 68 Sask. R. 161 (Q.B.).

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American Cyanamid Co. v. Ethicon Ltd., [1975] A.C. 396 (H.L.).

business is postponed. If a proxy circular fails to disclose material facts that may cause shareholders to be misled, the court may grant and authorize continuance of an *ex parte* interim injunction restraining the defendant from considering such resolutions until the issues are resolved by a court. An annual meeting may still be held as long as it does not consider resolutions allegedly based on undisclosed facts.[15]

In *Robinson v. Toronto General Trusts Corp.*,[16] the court did not grant an injunction against a lawful shareholders' meeting, reasoning that if anything unlawful were done remedies could be had and that one should not assume illegality. The court may restrain the holding of a meeting to preserve the status quo where a *prima facie* case of fraud, oppression or unfairness has been made out.[17]

In the U.S., courts have: declared proxies void, adjourning the meeting to permit time for a resolicitation and to specify the corrective material to be included in the proxy document next time;[18] enjoined the meeting, ordering a resolicitation of proxies;[19] invalidated the annual meeting and prescribed conditions of eligibility for participation in a special meeting to be held in accordance with a court order;[20] ordered the circulation of corrected proxy materials, occasionally under direct court supervision of the contents thereof;[21] ordered a new annual-meeting date or a meeting postponement, typically for a period long enough to permit a resolicitation;[22] set aside an election and ordered a new election where material information was

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Kelvin Energy Ltd. v. Nalcap Holdings Inc. (1988), 71 Nfld. & P.E.I.R. 165 (Nfld. T.D.).

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Robinson v. Toronto General Trusts Corp. (1921), 19 O.W.N. 477 (Div. Ct.); revg (1921), 19 O.W.N. 471 (H.C.).

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Bruce v. Fuller, [1936] S.C.R. 124.

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Central Foundry Co. v. Gondelman (1958), 166 F. Supp. 429 (S.D. N.Y.); modd (sub nom. SEC v. Central Foundry Co.) (1958), 167 F. Supp. 821 (S.D. N.Y.).

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SEC v. Transamerica Corp. (1946), 67 F. Supp. 326 (D. Del.); modd and affd (1947), 163 F. 2d 511 (3d Cir.); cert denied (1948), 68 S. Ct. 351, 332 U.S. 847.

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Dillon v. Berg (1971), 326 F. Supp. 1214 (D. Del.); affd (1971), 453 F. 2d 876 (3rd Cir.).

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Gladwin v. Medfield Corp., [1974-75] CCH Fed. Sec. L. Rep §95,013 (M.D. Fla.); modd and affd (1976), 540 F. 2d 1266 (5th Cir.).

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Edelman v. Salomon (1983), 559 F. Supp. 1178 (D. Del.); Cooke v. Teleprompter Corp (1971),

withheld and the voting process was not informed;[23] provided for a cooling-off period to permit new solicitation materials to be sent out thereafter;[24] enjoined a scheduled meeting; voided proxies obtained; directed the recommencement of the solicitation process for rescheduled shareholders' meetings; and enjoined parties from any further violations of applicable regulations.[25]

In the U.S., the courts have also occasionally attempted to ensure the effectiveness of curative filings by postponing the meeting[26] with a consequent resolicitation on the basis of corrected materials. The court, however, may sometimes refuse to delay the meeting, calling for a resolicitation in the time remaining.[27]

The courts may be reluctant to interfere in a contest, except where proxies have been exercised in a manner in which they would not have been but for the improper solicitation.[28] Significantly, the SEC does not referee proxy contests or require that the opposing sides comport themselves with respect for each other; rather, it acts to assure full and accurate disclosure to shareholders.[29]

It is not a function of the courts to determine who should prevail in a contest, but rather to ensure that shareholders are fully informed.[30] In the U.S., courts have often expressed reluctance

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334 F. Supp. 467 (S.D. N.Y.); Studebaker Corp v. Allied Products Corp (1966), 256 F. Supp 173 (W.D. Mich.).

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Treadway Co. v. Care Corp. (1980), 638 F. 2d 357 (2d Cir.).

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Pabst Brewing Co. v. Jacobs (1982), 549 F. Supp. 1068 (D. Del.); affd without published opinion, (1982), 707 F. 2d 1394 (3d Cir.).

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Kaufman v. Cooper Co., [1989] CCH Fed. Sec. L. Rep. §94,535 (S.D. N.Y.).

26

Union Pacific Railroad Co. v. Chicago and Northwestern Railway Co. (1964), 226 F. Supp. 400 (N.D. Ill.).

27

Telvest Inc. v. Wisconsin Real Estate Investment Trust (1980), 489 F. Supp. 250 (E.D. Wis.).

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Peterson, §6.20.

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See D.A. Sirignano, “Review of Proxy Contests by the Staff of the Securities and Exchange Commission” in Eppler and Gilroy (“Sirignano”), at 485 et seq.

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Studebaker Corp v. Allied Products Corp (1966), 256 F. Supp 173 (W.D. Mich.).

to grant relief during a contest where the relief tips the balance toward one group or another.[31] The concern has often been that, despite all protestations to the contrary, the granting of even a preliminary injunction will be taken by shareholders as a determination of merit and as indicative of improper conduct.[32]

The restraint of any person acting upon or implementing a resolution passed appears to be an extreme form of intervention.[33] The court may also set aside resolutions on the grounds that they were based on a tricky circular.[34] A misleading proxy disclosure may invalidate actions taken at a shareholders' meeting.

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Cook United Inc. v. Stockholders' Protective Ctee. of Cook United Inc., [1979] CCH Fed. Sec. L. Rep. §96,875 (S.D. N.Y.); McConnell v. Lucht (1970), 320 F. Supp. 1162 (S.D.N.Y.); Kennecott Copper Corp. v. Curtiss-Wright Corp. (1978), 449 F. Supp. 951 (S.D. N.Y); affd in part, revd in part (1978), 584 F. 2d 1195 (2d Cir.). In re HoUy Farms Corp Shareholders Litigation, [1989] CCH Fed. Sec. L. Rep. §94,349 (Del. Ch.), a shareholder vote on a merger related to a lock-up agreement executed within the context of an auction was allowed to proceed, the court citing hesitation to interfere with a stockholder vote, the right to vote being incident to ownership and a valuable property right. If approved, however, the merger would be enjoined.

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D-Z Investment Co. v. Holloway, [1973-74] CCH Fed. Sec. L. Rep §94,588 (S.D. N.Y.); Kass v. Arden-Mayfair Inc. (1977), 431 F. Supp. 1037 (C.D. Cal.); Kauder v. United Board & Carton Corp (1961), 199 F. Supp 420 (S.D. N.Y.); Jewelcor Inc. v. Pearlman (1975), 397 F. Supp. 221 (S.D. N.Y.); see also Brown v. Duby (1980), 11 B.L.R. 129, 28 O.R. (2d) 745, 111 D.L.R. (3d) 418 (H.C.).

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Peterson, at §6.22.

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Baillie v. Oriental Telephone & Electric Co., [1915] 1 Ch. 503 (C.A.); Prudential Assurance Co. v. Newman Industries Ltd. (No.2), [1980] 3 W.L.R. 543, [1980] 2 All E.R. 841 (Ch.).